

PREMIUM STUDY GUIDE

LIFE & HEALTH INSURANCE LICENSING EXAM

FAST PASS KIT



Learn What Matters • Remember More • Pass Faster

2026 EDITION

WELCOME TO YOUR

Life & Health Insurance Exam

Fast Pass Kit

Congratulations on taking one of the most important steps toward your financial career.

Earning your Life & Health Insurance license is not just a professional milestone — it is the gateway to a career where you help real people protect what matters most. The **Fast Pass Kit** was built to honor your commitment: giving you exactly what you need to pass your state exam on the first attempt, and nothing that slows you down.

01

Not a Textbook

A precision-built study system. Only the highest-value material — focused on what actually appears on state licensing exams.

02

Skip the Noise

No obscure exceptions, no filler. Every term, trick, and question was selected because exam writers return to it again and again.

03

Consistency Wins

One focused hour per day outperforms a weekend cram session. The 30-Day Study Plan is designed for real people with real lives.

"You do not rise to the level of your goals. You fall to the level of your systems. This kit is your system. Use it."

Follow the plan. Trust the process. Walk into that testing center knowing you did the work.

How to Use This Kit

This kit is most effective when used in sequence. Each section was designed to build on the one before it — from orientation and vocabulary, through deep concept mastery, to active testing and final review. Follow these seven steps in order for best results.

1

STEP 1: Follow the 30-Day Study Plan

Start here. The 30-Day Study Plan is your roadmap. It organizes every topic in the kit into daily study sessions of one to two hours, calibrated for working adults. Each week has a milestone so you always know where you are and what comes next.

★ *Tip: Print the study plan and check off each day as you go. Visible progress builds momentum.*

2

STEP 2: Learn the Top 100 Must-Know Terms

Vocabulary is the foundation of everything. Before you can answer scenario-based exam questions, you need to recognize the terms in them. Work through the Top 100 Terms section in the order presented. Each term includes a plain-language definition, an exam tip, and a memory trick.

★ *Tip: Read each term, cover the definition, and try to recall it. Repeat until automatic.*

3

STEP 3: Study the Memory Tricks & Mnemonics Guide

The memory tricks section transforms abstract rules into concrete, memorable images and shortcuts. These are not gimmicks — they are proven recall tools. After learning the definitions in Step 2, this section locks them into long-term memory. Review the mnemonics until they feel natural, not forced.

★ *Tip: Focus extra time on the mnemonics marked as high-frequency. Those are the rules that show up most often on actual state exams.*

4

STEP 4: Master the Top 25 Exam Concepts

This section goes beyond vocabulary to teach you how the exam actually thinks. Each concept card explains what is being tested, what the common wrong answers are, why students miss it, and how to answer it correctly. Read each card actively — ask yourself what concept is being tested before reading the answer.

★ *Tip: After reading each concept card, close the guide and explain the concept out loud in your own words. If you can explain it, you can answer it.*

5

STEP 5: Study the Top 50 Exam Traps & Trick Questions

This is one of the most valuable sections in the kit. It exposes the specific misleading question structures, false answer choices, and distractor patterns that exam writers use. Understanding how traps are built is the single fastest way to improve your score. For each trap, read the wrong answer first — then understand exactly why it is wrong.

★ *Tip: Pay special attention to the 'Watch Words' for each trap. Training yourself to recognize those words in a question stem will save you points.*

6

STEP 6: Complete the 50 Practice Questions

Attempt all 50 questions under timed conditions before reading the explanations. A closed-book, focused attempt is the only way to accurately measure where you stand. After completing the set, review every explanation — including all four answer choices for each question. Understanding why wrong answers are wrong is as important as knowing why the right answer is right.

★ *Tip: Score yourself and identify the two or three categories where you missed the most questions. Spend the following day's study session reviewing only those areas.*

7

STEP 7: Use the Quick Review Sheets Before Exam Day

In the final 24 to 48 hours before your exam, stop studying new material. Instead, read through the five Quick Review Sheets — one for life insurance, one for health insurance, the confused concepts comparison tables, the must-know numbers, and the last-minute success guide. Then review the Exam Day Success Checklist the morning of the exam and write your key mnemonics on scratch paper before answering Question 1.

★ Tip: *Rest is part of your preparation. Memory consolidation happens during sleep. A good night's rest before the exam is as important as any last-minute review.*

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7 Tips for Passing the Life & Health Insurance Exam

Success on this exam is not about intelligence. It is about strategy, consistency, and preparation. These seven principles are drawn from the study habits of students who pass on their first attempt.

1

Study Consistently — Not in Marathons

One to two focused hours every day will always outperform a six-hour cram session on the weekend. Your brain consolidates memory during sleep, which means a study habit spread over 30 days is neurologically superior to the same number of total hours compressed into a few long sessions.

■ *Schedule your study sessions at the same time each day. Treat them like appointments you cannot cancel. Consistency builds the neural pathways that make recall automatic.*

2

Use Active Recall — Don't Just Re-Read

Re-reading notes feels productive but produces weak memory. Active recall — covering a definition and forcing yourself to remember it, answering a practice question without looking at the answer — is the most effective study technique proven by memory science.

■ *After reading any section, close the guide and write down everything you remember. What you cannot recall is exactly what you need to study next.*

3

Practice Questions Are Not Optional

Practice questions do two things that passive reading cannot: they reveal your knowledge gaps, and they train your brain to apply concepts under realistic conditions. A student who completes 50 well-explained practice questions understands the material differently than one who only read about it.

■ *Treat practice questions like a diagnostic tool. After each set, categorize your wrong answers by topic. Your weakest categories are tomorrow's study priorities.*

4

Review Your Mistakes — Every Single One

The most common study mistake is checking an answer, seeing it is wrong, and moving on. The explanation for a wrong answer is where the learning actually happens. Understanding why the correct answer is right AND why each wrong answer is wrong is the only way to close a knowledge gap permanently.

■ *Maintain a short 'mistake log.' Write down the concept behind every question you missed. Review this log before every subsequent study session.*

5

Use Memory Tricks and Mnemonics Aggressively

The licensing exam is not testing your intelligence. It is testing whether you can retrieve specific facts under time pressure. Memory tricks — mnemonics, analogies, acronyms, visual associations — are not shortcuts. They are the most scientifically supported method for moving information from short-term to long-term memory.

■ *In the first 90 seconds of your exam, write your key mnemonics on scratch paper before answering a single question. This offloads the recall burden and lets you focus entirely on applying what you know.*

6

Avoid Cramming in the Final 24 Hours

Attempting to learn new material the night before your exam is counterproductive. It increases anxiety, disrupts sleep, and does not give your brain time to consolidate new information. The night before should be reserved for light review of already-mastered material, logistics preparation, and rest.

■ *Use the Quick Review Sheets and Exam Day Checklist in your final 24 hours. These are designed specifically for this purpose — rapid reinforcement of what you already know, not new learning.*

7

Manage Test Anxiety — It Is a Skill

Anxiety is normal and even useful in small amounts. But unmanaged test anxiety causes students to second-guess solid first instincts, rush through questions, and misread stems they would understand perfectly in a calm state. The antidote to anxiety is preparation — and you have that. Trust your work.

■ *If you feel anxious during the exam, pause for three slow breaths before answering the next question. Read the question twice. Name the concept being tested before looking at any answer choice. Then trust what you know.*

Seven principles. Thirty days. One license. You are ready. Let's begin.

30-Day Study Plan

For full-time workers · 1–2 hours/day · Exam-ready in 30 days

30	50+	3	4
Study Days	Total Hours	Practice Tests	Review Days
 Study Day	 Review Day	 Practice Test	 Final Prep
 Exam Day			

Week 1		Life Insurance Foundations		Milestone: Master life insurance products & regulation		
Day 1 STUDY Insurance Fundamentals 1–1.5 hrs	Day 2 STUDY Insurance Regulation 1–1.5 hrs	Day 3 STUDY Life Insurance Basics 1.5–2 hrs	Day 4 STUDY Whole Life & Variations 1.5–2 hrs	Day 5 STUDY Universal & Variable Life 1.5–2 hrs	Day 6 STUDY Term Life & Annuities 1.5 hrs	Day 7 REVIEW Week 1 Review 1.5–2 hrs
Week 2		Health Insurance Core Concepts		Milestone: Master managed care plans & provisions		
Day 8 STUDY Annuity Types & Tax 1.5–2 hrs	Day 9 STUDY Life Policy Provisions 1.5–2 hrs	Day 10 STUDY Life Policy Riders 1.5 hrs	Day 11 STUDY Health Ins. Fundamentals 1.5–2 hrs	Day 12 STUDY HMO, PPO, POS Plans 1.5–2 hrs	Day 13 STUDY Disability Income Ins. 1.5 hrs	Day 14 REVIEW Week 2 Review 1.5–2 hrs
Week 3		Government Programs & ACA		Milestone: Practice test done + gov programs mastered		
Day 15 PRACTICE TEST Practice Test #1 2 hrs	Day 16 STUDY Long-Term Care Ins. 1.5 hrs	Day 17 STUDY Medicare & Medicaid 1.5–2 hrs	Day 18 STUDY Group Health Insurance 1.5 hrs	Day 19 STUDY Health Policy Provisions 1.5 hrs	Day 20 STUDY ACA & Federal Health Law 1.5 hrs	Day 21 REVIEW Week 3 Review 1.5–2 hrs
Week 4		Business Insurance, Final Prep & Exam		Milestone: Exam-ready — 80%+ on all practice tests		
Day 22 PRACTICE TEST Practice Test #2 2 hrs	Day 23 STUDY Business Life Insurance 1.5 hrs	Day 24 STUDY Tax Treatment of Ins. 1.5 hrs	Day 25 REVIEW Week 4 Review 1.5–2 hrs	Day 26 FINAL PREP Domain Review — Life 2 hrs		
Day 27 FINAL PREP Domain Review — Health 2 hrs	Day 28 PRACTICE TEST Practice Test #3 2.5 hrs	Day 29 FINAL PREP Rest & Reinforce 45 min	Day 30 EXAM DAY Exam Day —			

Final Exam Preparation Strategy

Days 26–27 — Full Domain Review Chapter summaries and flashcards only. No new material. Focus on weakest topics from practice tests.	Day 28 — Full Simulation Test All 150 questions, strictly timed. Analyze every missed question by domain and update your weak-topic list.
Day 29 — Rest & Reinforce Light review of key mnemonics and high-yield facts only. Confirm exam logistics: ID, location, arrival time. Sleep 8 hours.	Day 30 — Exam Day Arrive 30 minutes early. Read every question fully. Eliminate wrong answers. Flag uncertain ones and return.
Score Target Aim for 80%+ on all practice tests before sitting the real exam. Most states require a passing score of 70%.	Weak Domain Protocol After every practice test, identify your 3 lowest-scoring topics. Dedicate the next session entirely to those areas.

Life & Health Insurance

Exam Starter Kit

Top 100 Terms Every Student Must Know

Simple definitions · Exam importance · Memory tips · Commonly confused terms

100	7	3	★
Essential Terms	Key Categories	Features Per Term	Exam-Focused

How to Use This Guide

Definition	Each term is written in plain language at a 9th-grade reading level — no confusing jargon.
Exam Tip	Explains exactly why this term is tested and what the exam expects you to know about it.
Memory Tip	A quick trick to lock the term into your memory fast — great for last-minute review.
Confusion Alert	Flags terms that are frequently confused with each other. Pay extra attention to these pairs.

Categories in This Guide

Insurance Fundamentals	15 terms
Life Insurance	15 terms
Health Insurance	15 terms
Policy Provisions	15 terms
Underwriting	10 terms
Premiums and Benefits	15 terms
Legal and Ethical Concepts	15 terms

INSURANCE FUNDAMENTALS

1. Risk

DEFINITION

The chance that something bad — like an accident, illness, or death — might happen and cause a financial loss.

EXAM TIP

Risk is the foundational reason insurance exists. Exam questions often ask you to classify types of risk.

MEMORY TIP

Think: 'Risk = the possibility of losing money.'

2. Pure Risk

★ HIGH FREQUENCY

DEFINITION

A type of risk where you can only lose or break even — there is no chance of profit. Only pure risks are insurable.

EXAM TIP

The exam will test whether you can identify which risks are insurable. Pure risk = insurable. Speculative risk = NOT insurable.

MEMORY TIP

Pure = only BAD outcomes possible.

CONFUSION ALERT

Don't confuse with: Speculative Risk — Students frequently mix these two terms up. Study them side by side to lock in the difference.

3. Speculative Risk

★ HIGH FREQUENCY

DEFINITION

A risk where you could either win or lose — like gambling or investing in the stock market. These are NOT insurable.

EXAM TIP

A classic exam trap: knowing that only pure risks are insurable, not speculative ones.

MEMORY TIP

Speculative = you SPECULATE (gamble) — could go either way.

CONFUSION ALERT

Don't confuse with: Pure Risk — Students frequently mix these two terms up. Study them side by side to lock in the difference.

4. Insurable Interest

DEFINITION

The person buying an insurance policy must have a financial stake in what they are insuring. You must stand to lose money if the insured event happens.

EXAM TIP

Insurable interest must exist at the time the policy is issued for life insurance. Without it, a policy is void.

MEMORY TIP

Think: 'Would I LOSE money if this person died or this property was damaged?' If yes, you have insurable interest.

5. Indemnity

DEFINITION

The principle that insurance should restore you to the same financial position you were in before the loss — no better, no profit.

EXAM TIP

This principle governs how claims are paid. The exam tests whether you know it prevents profiting from a loss.

MEMORY TIP

Indemnity = 'Make me whole again' — not richer, just back to where I was.

6. Law of Large Numbers

DEFINITION	The more people in an insurance pool, the more accurately an insurer can predict losses. Larger groups = more predictable claims.
EXAM TIP	This is the mathematical basis for how insurance companies stay solvent. The exam often asks why insurers group people together.
MEMORY TIP	<i>More people = better predictions. Think of flipping a coin — flip it 10 times vs. 1,000 times. 1,000 gives you closer to 50/50.</i>

7. Adverse Selection

DEFINITION	The tendency for people who are most likely to file claims to seek out insurance more aggressively than healthy people.
EXAM TIP	Understanding adverse selection explains why insurers use underwriting. Expect exam questions linking this to underwriting controls.
MEMORY TIP	<i>Adverse = BAD. People with BAD health rush to buy insurance before they get sick.</i>

8. Subrogation

DEFINITION	After paying a claim, the insurance company takes over your legal right to sue the party responsible for your loss.
EXAM TIP	Subrogation prevents double recovery. The exam tests when it applies and that policyholders cannot sue after being made whole.
MEMORY TIP	<i>Sub = the insurer SUBSTITUTES itself into your shoes to chase the wrongdoer.</i>

9. Aleatory Contract

DEFINITION	An insurance contract where the amount each side pays or receives is unequal and depends on an uncertain event.
EXAM TIP	Insurance contracts are aleatory by nature. The exam distinguishes this from bilateral/unilateral contracts.
MEMORY TIP	<i>Aleatory sounds like 'lottery' — one side might pay a lot, the other very little, depending on chance.</i>

10. Utmost Good Faith

DEFINITION	Both the insurance company and the applicant must be completely honest and disclose all relevant information when forming the contract.
EXAM TIP	This principle is the foundation for concepts like misrepresentation, concealment, and fraud on the exam.
MEMORY TIP	<i>Good faith = total honesty. No hiding medical history, no half-truths.</i>

11. Concealment

★ HIGH FREQUENCY

DEFINITION	When an applicant intentionally hides important information from the insurer during the application process.
EXAM TIP	Concealment can void a policy. The exam tests the difference between innocent non-disclosure and deliberate concealment.
MEMORY TIP	<i>Concealment = deliberately hiding something the insurer would want to know.</i>
CONFUSION ALERT	Don't confuse with: Misrepresentation — Students frequently mix these two terms up. Study them side by side to lock in the difference.

12. Misrepresentation

★ HIGH FREQUENCY

DEFINITION	Making a false or misleading statement on an insurance application, whether intentional or not.
EXAM TIP	A material misrepresentation can void the policy. The exam frequently tests this alongside concealment and fraud.
MEMORY TIP	<i>Misrepresentation = saying something WRONG. Concealment = staying SILENT about something important.</i>
CONFUSION ALERT	Don't confuse with: Concealment — Students frequently mix these two terms up. Study them side by side to lock in the difference.

13. Warranty

★ HIGH FREQUENCY

DEFINITION	A statement in an insurance policy that is guaranteed to be absolutely true. If untrue, the policy can be voided.
EXAM TIP	Warranties are held to a higher standard than representations. The exam distinguishes these two concepts.
MEMORY TIP	<i>Warranty = guaranteed 100% true. Representation = believed to be true.</i>
CONFUSION ALERT	Don't confuse with: Representation — Students frequently mix these two terms up. Study them side by side to lock in the difference.

14. Representation

★ HIGH FREQUENCY

DEFINITION	A statement made by the applicant believed to be true to the best of their knowledge. It does not have to be 100% accurate.
EXAM TIP	Most statements on an application are representations, not warranties. This distinction appears on nearly every exam.
MEMORY TIP	<i>Rep = reported as I believe it. A minor error does not void the policy unless it is material.</i>
CONFUSION ALERT	Don't confuse with: Warranty — Students frequently mix these two terms up. Study them side by side to lock in the difference.

15. Stock Insurance Company

★ HIGH FREQUENCY

DEFINITION	An insurance company owned by shareholders who invest money and receive dividends if the company is profitable.
EXAM TIP	The exam tests the difference between stock and mutual companies, including who receives dividends and who owns the company.
MEMORY TIP	<i>Stock company = STOCKholders own it and get dividends.</i>
CONFUSION ALERT	Don't confuse with: Mutual Insurance Company — Students frequently mix these two terms up. Study them side by side to lock in the difference.

LIFE INSURANCE

16. Term Life Insurance

★ HIGH FREQUENCY

DEFINITION	Life insurance that provides coverage for a specific period of time — such as 10, 20, or 30 years. If you die within the term, a death benefit is paid. If not, coverage ends with no cash value.
EXAM TIP	Term life is the simplest and least expensive life insurance. The exam tests its features, types, and how it differs from permanent insurance.
MEMORY TIP	<i>Term = temporary. Like renting an apartment — protection for a set time, then it's gone.</i>
CONFUSION ALERT	Don't confuse with: Whole Life Insurance — Students frequently mix these two terms up. Study them side by side to lock in the difference.

17. Whole Life Insurance

★ HIGH FREQUENCY

DEFINITION	Permanent life insurance that covers you for your entire life, builds cash value over time, and has a guaranteed level premium.
EXAM TIP	Whole life is the most tested permanent life product. Know its three guarantees: death benefit, premium, and cash value.
MEMORY TIP	<i>Whole = your WHOLE life. You will always have coverage as long as you pay premiums.</i>
CONFUSION ALERT	Don't confuse with: Term Life Insurance — Students frequently mix these two terms up. Study them side by side to lock in the difference.

18. Universal Life Insurance

DEFINITION	Flexible permanent life insurance that lets you adjust your premium payments and death benefit amount. It earns interest on the cash value based on current market rates.
EXAM TIP	UL's flexibility is a major exam topic. Know how the flexible premium works and what happens if the cash value runs out.
MEMORY TIP	<i>Universal = flexible. You can adjust it like a universal remote — change channels (premiums) as needed.</i>

19. Variable Life Insurance

★ HIGH FREQUENCY

DEFINITION	Permanent life insurance where the cash value is invested in sub-accounts (like mutual funds). The death benefit and cash value can go up or down based on investment performance.
EXAM TIP	Variable products require a securities license (FINRA Series 6 or 7) in addition to the insurance license. This is a guaranteed exam point.
MEMORY TIP	<i>Variable = the value VARIES with the market. Risk shifts to the policyholder.</i>
CONFUSION ALERT	Don't confuse with: Variable Universal Life — Students frequently mix these two terms up. Study them side by side to lock in the difference.

20. Variable Universal Life (VUL)

★ HIGH FREQUENCY

DEFINITION	Combines the investment options of variable life with the premium flexibility of universal life. Both the premium and cash value are flexible and market-linked.
EXAM TIP	VUL combines features of both product types. The exam tests what makes it unique: both flexible premiums AND investment risk.
MEMORY TIP	<i>VUL = Variable + Universal. Double flexible, double market risk.</i>
CONFUSION ALERT	Don't confuse with: Variable Life Insurance — Students frequently mix these two terms up. Study them side by side to lock in the difference.

21. Cash Value

DEFINITION	The savings component built inside permanent life insurance policies. It grows over time on a tax-deferred basis and can be borrowed against or surrendered.
EXAM TIP	Cash value is a defining feature of all permanent life insurance. Know how it grows, how it can be accessed, and the tax treatment.
MEMORY TIP	<i>Cash value = the piggy bank inside your policy. It grows quietly while the death benefit protects your family.</i>

22. Death Benefit

DEFINITION	The amount of money paid to the beneficiary when the insured person dies. Also called the face amount.
EXAM TIP	Death benefit questions appear throughout the exam, especially around taxation (generally income-tax-free to beneficiaries).
MEMORY TIP	<i>Death benefit = the face amount on the policy. It's what the policy promises to pay when the insured dies.</i>

23. Beneficiary

DEFINITION	The person or entity named in a life insurance policy to receive the death benefit when the insured dies.
EXAM TIP	The exam tests primary vs. contingent beneficiaries, revocable vs. irrevocable, and how beneficiary changes work.
MEMORY TIP	<i>Beneficiary = the person who BENEFITS from the policy after death.</i>

24. Irrevocable Beneficiary

★ HIGH FREQUENCY

DEFINITION	A beneficiary who cannot be changed or removed without their own written consent. They have a permanent legal interest in the policy.
EXAM TIP	Irrevocable beneficiary designations limit the policyholder's control. This distinction is frequently tested.
MEMORY TIP	<i>Irrevocable = I cannot REVOKE it without their permission. They have veto power.</i>
CONFUSION ALERT	Don't confuse with: Revocable Beneficiary — Students frequently mix these two terms up. Study them side by side to lock in the difference.

25. Revocable Beneficiary

★ HIGH FREQUENCY

DEFINITION	A beneficiary who can be changed at any time by the policyholder without the beneficiary's consent.
EXAM TIP	Most beneficiaries are revocable by default. The exam tests which type gives the policyowner more control.
MEMORY TIP	<i>Revocable = I can REVOKE (change) it whenever I want.</i>
CONFUSION ALERT	Don't confuse with: Irrevocable Beneficiary — Students frequently mix these two terms up. Study them side by side to lock in the difference.

26. Annuity

DEFINITION	A financial product sold by insurance companies that provides a stream of income payments, usually for retirement. You pay in a lump sum or over time, then receive regular payments.
EXAM TIP	Annuities are heavily tested. Know the difference between fixed, variable, immediate, and deferred annuities.
MEMORY TIP	<i>Annuity = annual payments. Think of it as insurance against outliving your money.</i>

27. Immediate Annuity

★ HIGH FREQUENCY

DEFINITION	An annuity that begins making income payments to you right away — usually within one month of your lump-sum payment.
EXAM TIP	The exam tests when payments begin (immediately) and that immediate annuities are purchased with a single premium.
MEMORY TIP	<i>Immediate = income starts NOW. Single lump sum in, payments right away.</i>
CONFUSION ALERT	Don't confuse with: Deferred Annuity — Students frequently mix these two terms up. Study them side by side to lock in the difference.

28. Deferred Annuity

★ HIGH FREQUENCY

DEFINITION	An annuity where you save money over time (the accumulation phase), and income payments start at a future date you choose.
EXAM TIP	Know the two phases: accumulation (saving) and annuitization (receiving income). The exam loves this distinction.
MEMORY TIP	<i>Deferred = delayed. You save now, and income comes LATER.</i>
CONFUSION ALERT	Don't confuse with: Immediate Annuity — Students frequently mix these two terms up. Study them side by side to lock in the difference.

29. 1035 Exchange

DEFINITION	A tax-free transfer of funds from one life insurance policy or annuity to another similar contract, allowed under IRS Code Section 1035.
EXAM TIP	1035 exchanges prevent tax liability when switching products. The exam tests which types of exchanges qualify.
MEMORY TIP	<i>1035 = swap insurance products without paying taxes. Same type in, same type out.</i>

30. Modified Endowment Contract (MEC)

DEFINITION	A life insurance policy that has been funded too quickly — exceeding the IRS 7-pay test limit. MECs lose some tax advantages and are taxed more like annuities.
EXAM TIP	MEC questions appear on almost every exam. Know the 7-pay test triggers it and that loans/withdrawals are taxed gains-first.
MEMORY TIP	<i>MEC = overfunded policy. Too much money in too fast = the IRS changes the rules.</i>

HEALTH INSURANCE

31. HMO (Health Maintenance Organization)

★ HIGH FREQUENCY

DEFINITION	A managed care health plan that requires members to choose a Primary Care Physician (PCP) who coordinates all their care. You must stay in-network and get referrals to see specialists.
EXAM TIP	HMOs are one of the most tested plan types. Know: PCP required, referrals needed, no out-of-network coverage (except emergencies).
MEMORY TIP	<i>HMO = Home base. Everything goes through your home-base doctor (PCP).</i>
CONFUSION ALERT	Don't confuse with: PPO — Students frequently mix these two terms up. Study them side by side to lock in the difference.

32. PPO (Preferred Provider Organization)

★ HIGH FREQUENCY

DEFINITION	A health plan that lets you see any doctor without a referral. You pay less when you use in-network providers and more when you go out-of-network.
EXAM TIP	PPO vs HMO is a guaranteed exam comparison. PPO = more freedom, higher premiums. HMO = less freedom, lower cost.
MEMORY TIP	<i>PPO = Preferred but not required. You PREFER in-network but can go anywhere.</i>
CONFUSION ALERT	Don't confuse with: HMO — Students frequently mix these two terms up. Study them side by side to lock in the difference.

33. POS (Point of Service Plan)

DEFINITION	A hybrid health plan combining HMO and PPO features. You need a PCP and referrals for the lowest costs, but you can go out-of-network and pay more.
EXAM TIP	POS plans appear as a 'best of both worlds' option on the exam. Know that it requires a PCP but allows out-of-network access.
MEMORY TIP	<i>POS = at the Point Of Service, you choose: follow HMO rules (cheap) or go out-of-network (expensive).</i>

34. Deductible

★ HIGH FREQUENCY

DEFINITION	The amount you must pay out of your own pocket for covered health services before your insurance starts paying.
EXAM TIP	The exam tests the order of cost-sharing: deductible first, then coinsurance, until the out-of-pocket max is reached.
MEMORY TIP	<i>Deductible = what you Deduct from your wallet first before insurance kicks in.</i>
CONFUSION ALERT	Don't confuse with: Copay — Students frequently mix these two terms up. Study them side by side to lock in the difference.

35. Copay

★ HIGH FREQUENCY

DEFINITION	A fixed dollar amount you pay for a covered service at the time of your visit, like \$25 for a doctor's visit. It does not count toward the deductible.
EXAM TIP	Know that copays are flat fees paid at each visit, while coinsurance is a percentage. The exam tests this difference.
MEMORY TIP	<i>Copay = flat fee at the door. Same amount every time, no math needed.</i>
CONFUSION ALERT	Don't confuse with: Coinsurance — Students frequently mix these two terms up. Study them side by side to lock in the difference.

36. Coinsurance

★ HIGH FREQUENCY

DEFINITION	After meeting your deductible, coinsurance is the percentage of costs you and your insurer each pay. For example, 80/20 means the insurer pays 80% and you pay 20%.
EXAM TIP	The exam often presents cost-sharing scenarios. Master the sequence: deductible → coinsurance → out-of-pocket max.
MEMORY TIP	<i>Coinsurance = CO-paying together with your insurer. You split the bill by percentage.</i>
CONFUSION ALERT	Don't confuse with: Copay — Students frequently mix these two terms up. Study them side by side to lock in the difference.

37. Out-of-Pocket Maximum

DEFINITION	The most you will ever have to pay for covered health services in a policy year. Once reached, the insurer pays 100% of covered costs.
EXAM TIP	The out-of-pocket max is the cap on your financial exposure. The exam tests what counts toward it (deductibles and coinsurance).
MEMORY TIP	<i>Out-of-pocket max = your CEILING. After you hit it, insurance pays everything.</i>

38. Major Medical Insurance

DEFINITION	Comprehensive health coverage designed to cover the high costs of serious illnesses or injuries. It has a high benefit maximum and requires cost-sharing.
EXAM TIP	Major medical is the broad health insurance category most people have. The exam tests its features vs. limited benefit plans.
MEMORY TIP	<i>Major Medical = big coverage for big medical bills. Not routine care — think surgery, cancer, hospitalization.</i>

39. Disability Income Insurance

DEFINITION	Insurance that replaces a portion of your income (typically 60–70%) if you become disabled and cannot work.
EXAM TIP	Key exam topics: elimination period (waiting period), benefit period, own-occupation vs. any-occupation definition of disability.
MEMORY TIP	<i>Disability insurance = income insurance. It pays YOU (not medical bills) when illness or injury stops your paycheck.</i>

40. Elimination Period

DEFINITION	The waiting period between when a disability begins and when disability income benefits start being paid. Common periods are 30, 60, 90, or 180 days.
EXAM TIP	Longer elimination period = lower premium. This trade-off is a frequent exam calculation scenario.
MEMORY TIP	<i>Elimination period = like a deductible in time. Wait this many days before your benefits begin.</i>

41. Own-Occupation Definition

★ HIGH FREQUENCY

DEFINITION	A disability definition where you are considered disabled if you cannot perform the specific duties of YOUR current occupation.
EXAM TIP	Own-occ is the most favorable (and expensive) definition for the insured. The exam tests which definition provides better protection.
MEMORY TIP	<i>Own-occ = your OWN job. A surgeon with a hand injury is disabled even if they can do other work.</i>
CONFUSION ALERT	Don't confuse with: Any-Occupation Definition — Students frequently mix these two terms up. Study them side by side to lock in the difference.

42. Any-Occupation Definition

★ HIGH FREQUENCY

DEFINITION	A disability definition where you are only considered disabled if you cannot perform ANY job for which you are reasonably suited by education, experience, or training.
EXAM TIP	Any-occ is harder to qualify for and produces fewer claims. Know the contrast with own-occupation for the exam.
MEMORY TIP	<i>Any-occ = ANY job. If you can flip burgers, you are NOT disabled under this definition.</i>
CONFUSION ALERT	Don't confuse with: Own-Occupation Definition — Students frequently mix these two terms up. Study them side by side to lock in the difference.

43. Long-Term Care (LTC) Insurance

DEFINITION	Insurance that pays for extended care services — like nursing home, assisted living, or in-home care — when you cannot perform basic daily activities.
EXAM TIP	LTC triggers (2 of 6 ADLs or cognitive impairment) are guaranteed exam material. Know the elimination period and benefit period.
MEMORY TIP	<i>LTC = care for a LONG time when you cannot care for yourself.</i>

44. Activities of Daily Living (ADLs)

DEFINITION	The six basic self-care tasks used to determine LTC eligibility: bathing, dressing, eating, toileting, transferring, and continence.
EXAM TIP	LTC benefits are triggered when a person cannot perform at least 2 of the 6 ADLs. Memorize all six for the exam.
MEMORY TIP	<i>ADLs = B-D-E-T-T-C: Bathing, Dressing, Eating, Toileting, Transferring, Continence.</i>

45. COBRA

DEFINITION	A federal law that lets employees and their families continue their group health insurance coverage for up to 18–36 months after leaving a job or experiencing another qualifying event. The individual pays the full premium plus a 2% admin fee.
EXAM TIP	COBRA continuation periods (18 months standard, up to 36 months for certain events) and the 102% premium rule are exam favorites.
MEMORY TIP	<i>COBRA = continuation. Like a bridge — keeps your coverage going until you find new insurance.</i>

POLICY PROVISIONS

46. Free Look Period

DEFINITION

A required period — usually 10 to 30 days after receiving a new policy — during which you can review the policy and return it for a full refund if you are not satisfied.

EXAM TIP

The free look period is a consumer protection provision. Know the typical time frames: 10 days for most policies, 30 days for Medicare supplement plans.

MEMORY TIP

Free look = trial period. If you don't like it, return it like a store purchase.

47. Grace Period

DEFINITION

A period after a premium due date during which a late payment can be made and the policy stays active. Typical grace periods: 7 days (weekly premiums), 10 days (monthly), 31 days (all others).

EXAM TIP

Grace period questions test the time frames and the fact that coverage continues during the grace period.

MEMORY TIP

Grace period = extra time to pay without losing coverage. The insurer gives you grace.

48. Reinstatement

DEFINITION

The process of restoring a lapsed (cancelled) insurance policy back to active status. The insured must pay back premiums and often prove insurability.

EXAM TIP

Reinstatement requires meeting certain conditions. The exam tests the time limit (usually 3 years) and what is required to reinstate.

MEMORY TIP

Reinstatement = bringing a dead policy back to life. Pay what you owe and prove you are still insurable.

49. Incontestability Clause

DEFINITION

After a policy has been in force for 2 years, the insurance company cannot deny a claim or void the policy based on misstatements in the original application — even if there was fraud.

EXAM TIP

This is one of the most tested provisions. Know the 2-year period, that suicide during the first 2 years can still be excluded, and that material fraud is not protected.

MEMORY TIP

Incontestable = cannot contest (challenge) after 2 years. After that, the insurer cannot deny most claims.

50. Misstatement of Age Provision

DEFINITION

If an insured misstated their age on an application, the insurer will adjust the death benefit to the amount the premium would have purchased at the correct age — rather than voiding the policy.

EXAM TIP

The misstatement of age provision adjusts benefits rather than voiding the policy. This reasonable fix is a common exam topic.

MEMORY TIP

Misstatement of Age = wrong age = adjusted benefit. The policy survives with a recalculated payout.

51. Non-Forfeiture Options

DEFINITION	Guaranteed options that give the policyholder value when they stop paying premiums on a permanent life insurance policy, so they don't lose everything. Options: cash surrender, reduced paid-up, and extended term.
EXAM TIP	Non-forfeiture options protect the insured's cash value. Knowing all three options and when each applies is a high-frequency exam topic.
MEMORY TIP	<i>Non-forfeiture = you don't FORFEIT your value. You choose how to keep it.</i>

52. Reduced Paid-Up

★ HIGH FREQUENCY

DEFINITION	A non-forfeiture option where the policyholder stops paying premiums and the cash value is used to purchase a smaller, fully paid permanent policy with no further premiums due.
EXAM TIP	Reduced paid-up maintains the SAME TYPE of coverage (permanent) but reduces the face amount. The exam distinguishes this from extended term.
MEMORY TIP	<i>Reduced Paid-Up = smaller whole life policy, zero future premiums needed.</i>
CONFUSION ALERT	Don't confuse with: Extended Term — Students frequently mix these two terms up. Study them side by side to lock in the difference.

53. Extended Term

★ HIGH FREQUENCY

DEFINITION	A non-forfeiture option where the cash value purchases term insurance for the original face amount for as long as the cash value will last.
EXAM TIP	Extended term keeps the SAME face amount as the original policy, just as term coverage. This is the default non-forfeiture option for most policies.
MEMORY TIP	<i>Extended Term = same death benefit, but only for a limited time (term).</i>
CONFUSION ALERT	Don't confuse with: Reduced Paid-Up — Students frequently mix these two terms up. Study them side by side to lock in the difference.

54. Waiver of Premium

DEFINITION	A policy rider that waives (cancels) the premium payments if the insured becomes totally disabled, keeping the policy active at no cost.
EXAM TIP	The waiver of premium rider is a common rider on the exam. Know that coverage continues and premiums are waived during disability.
MEMORY TIP	<i>Waiver of Premium = disability = free policy. The insurer pays your premium for you.</i>

55. Assignment

DEFINITION

The legal transfer of the rights and ownership of an insurance policy from one person to another. Absolute assignment transfers ALL rights; collateral assignment transfers partial rights as loan security.

EXAM TIP

The exam tests both types of assignment. Absolute = permanent full transfer. Collateral = temporary, limited transfer for a loan.

MEMORY TIP

Assignment = handing over your policy rights. Absolute = give it all away. Collateral = just borrow against it.

56. Spendthrift Clause

DEFINITION

A policy provision that prevents a beneficiary's creditors from seizing the death benefit or policy proceeds before they are paid out.

EXAM TIP

The spendthrift clause protects beneficiaries from their own creditors. The exam tests that it is a protective provision.

MEMORY TIP

Spendthrift = protecting someone who might spend unwisely or have debt issues. Creditors cannot touch these funds.

57. Automatic Premium Loan

DEFINITION

A policy feature that automatically borrows from the cash value to pay a premium when the policyholder has not paid it, preventing the policy from lapsing.

EXAM TIP

The automatic premium loan prevents unintentional policy lapse. Know that it only works if there is sufficient cash value.

MEMORY TIP

Automatic Premium Loan = the policy borrows from itself to keep itself alive.

58. Dividend Options

DEFINITION

The different ways a policyholder can receive dividends from a participating (mutual company) life insurance policy: cash, reduce premiums, accumulate at interest, paid-up additions, or buy term insurance.

EXAM TIP

Dividend options appear frequently. Know all five options and that dividends are a return of excess premium (not taxable).

MEMORY TIP

Dividends = the insurer returning money it overcharged you. Options for how to use it: cash, reduce bills, save, or buy more coverage.

59. Suicide Clause

DEFINITION

A policy provision that excludes payment of the death benefit if the insured dies by suicide within the first 1 or 2 years of the policy. After that period, the full benefit is paid.

EXAM TIP

The suicide clause appears regularly. Know the typical exclusion period (1–2 years) and that premiums are returned if death occurs during this period.

MEMORY TIP

Suicide clause = 1–2 year waiting period. After that, full benefit is paid even for suicide.

60. Settlement Options

DEFINITION	The different ways a beneficiary can receive life insurance death benefit proceeds: lump sum, interest only, fixed period, fixed amount, or life income.
EXAM TIP	Settlement options are a high-frequency exam category. Know all five and that the beneficiary — not the insured — typically chooses the option after death.
MEMORY TIP	<i>Settlement options = how the payout is delivered. Lump sum is the default, but others provide steady income.</i>

UNDERWRITING

61. Underwriting

DEFINITION	The process insurance companies use to evaluate an applicant's risk level and decide whether to offer coverage, and at what premium rate.
EXAM TIP	Underwriting is the foundation of risk management for insurers. The exam tests the purpose, process, and outcomes of underwriting.
MEMORY TIP	<i>Underwriting = writing under the risk. The insurer decides: accept, rate up, or reject.</i>

62. Standard Risk

★ HIGH FREQUENCY

DEFINITION	An applicant whose health and lifestyle match the average insured population. They qualify for standard (regular) premium rates.
EXAM TIP	Standard vs. substandard vs. preferred classifications appear frequently. Know what each classification means for premium pricing.
MEMORY TIP	<i>Standard = average person = average price.</i>
CONFUSION ALERT	Don't confuse with: Preferred Risk — Students frequently mix these two terms up. Study them side by side to lock in the difference.

63. Preferred Risk

★ HIGH FREQUENCY

DEFINITION	An applicant who is healthier or has a lower risk profile than average. They qualify for lower-than-standard premium rates.
EXAM TIP	Preferred risk is a better-than-average classification. The exam tests that preferred risks pay LOWER premiums.
MEMORY TIP	<i>Preferred = preferred customer = lower price.</i>
CONFUSION ALERT	Don't confuse with: Standard Risk — Students frequently mix these two terms up. Study them side by side to lock in the difference.

64. Substandard Risk

DEFINITION

An applicant who presents a higher-than-average risk due to health issues, dangerous hobbies, or other factors. Coverage may be offered with higher premiums, exclusions, or riders.

EXAM TIP

Substandard risks are NOT automatically declined. The exam tests that they can still get coverage — just at a higher cost or with limitations.

MEMORY TIP

Substandard = below standard = higher risk = higher premium.

65. Medical Information Bureau (MIB)

DEFINITION

A database shared among insurance companies that stores coded medical information from previous insurance applications to help detect fraud and assess risk.

EXAM TIP

The MIB is a key underwriting tool. Know that applicants must be notified it may be used, and they have the right to access and correct their file.

MEMORY TIP

MIB = shared medical intel among insurers. Like a credit bureau, but for insurance health history.

66. Attending Physician Statement (APS)

DEFINITION

A report from an applicant's doctor, requested by the insurer during underwriting, to verify health conditions listed on the application.

EXAM TIP

The APS provides medical verification. The exam tests when it is requested and who pays for it (the insurance company).

MEMORY TIP

APS = the doctor's report card on your health, ordered by the insurer.

67. Paramedical Exam

DEFINITION

A medical exam performed by a trained health professional (not a full doctor) ordered by the insurance company to evaluate an applicant's health status during underwriting.

EXAM TIP

The paramedical exam is required for large coverage amounts. The insurer orders and pays for it.

MEMORY TIP

Paramedical = partial medical. A trained pro takes blood, vitals, and health history — not a full doctor's visit.

68. Exclusion Rider

DEFINITION

An amendment added to a policy that excludes coverage for a specific pre-existing health condition of the insured.

EXAM TIP

Exclusion riders allow insurers to cover substandard risks while limiting exposure for known conditions. The exam tests this as an underwriting tool.

MEMORY TIP

Exclusion rider = coverage with an asterisk. Everything covered EXCEPT that one thing.

69. Rating

DEFINITION

Charging a higher premium than the standard rate to cover an applicant who has a higher-than-average risk. Also called a table rating.

EXAM TIP

Rating is one method to handle substandard risks. The exam tests the options available for substandard applicants: rate up, exclusion, or decline.

MEMORY TIP

Rating = extra charge for extra risk. The insurer 'rates up' the premium.

70. Field Underwriting

DEFINITION

The initial evaluation done by the insurance agent when helping a client complete an application. The agent screens for obvious insurability issues before submitting to the home office.

EXAM TIP

Agents are the first line of underwriting. The exam tests the agent's responsibility to ask complete, honest questions and submit clean applications.

MEMORY TIP

Field underwriting = the agent's job at the kitchen table. Gather info accurately before sending it in.

PREMIUMS AND BENEFITS

71. Premium

DEFINITION

The payment — made monthly, quarterly, semiannually, or annually — that the policyholder pays to keep an insurance policy active.

EXAM TIP

Premiums are fundamental to every policy. The exam tests premium mode (frequency) and its effect on total cost.

MEMORY TIP

Premium = the price of protection. Pay it or lose your coverage.

72. Net Premium

★ HIGH FREQUENCY

DEFINITION

The pure cost of providing insurance coverage, calculated using mortality tables and interest assumptions — before administrative expenses are added.

EXAM TIP

Net premium is the actuarial base before expenses. The exam tests the difference between net and gross premium.

MEMORY TIP

Net premium = bare bones cost. No expenses, just the math of risk.

CONFUSION ALERT

Don't confuse with: Gross Premium — Students frequently mix these two terms up. Study them side by side to lock in the difference.

73. Gross Premium

★ HIGH FREQUENCY

DEFINITION	The total premium charged to the policyholder. It includes the net premium plus a loading charge for company expenses, profit, and contingencies.
EXAM TIP	Gross premium is what the customer actually pays. The exam asks what is included in the gross premium calculation.
MEMORY TIP	<i>Gross premium = net premium + expenses. The full price tag the customer sees.</i>
CONFUSION ALERT	Don't confuse with: Net Premium — Students frequently mix these two terms up. Study them side by side to lock in the difference.

74. Level Premium

DEFINITION	A premium that stays the same amount for the entire life of the policy. Common in whole life insurance.
EXAM TIP	Level premiums are the foundation of whole life insurance. The exam contrasts them with increasing premiums in term insurance.
MEMORY TIP	<i>Level = flat. The premium never changes, ever.</i>

75. Mode of Premium

DEFINITION	How often the policyholder pays their premium: annually, semiannually, quarterly, or monthly. Paying annually is the least expensive; monthly is the most expensive.
EXAM TIP	The exam tests that more frequent payment = higher total cost per year due to the insurer's administrative costs.
MEMORY TIP	<i>Mode = frequency. Annual = cheapest. Monthly = most convenient but costs more overall.</i>

76. Waiver of Premium Rider

DEFINITION	An add-on to a life insurance policy that waives (eliminates) premium payments if the insured becomes totally disabled. The policy remains in full force.
EXAM TIP	The waiver of premium rider is one of the most commonly tested riders. Know the elimination period before the waiver takes effect (usually 6 months).
MEMORY TIP	<i>Waiver = free pass. Disabled = no premium due. Policy stays alive.</i>

77. Accidental Death Benefit (ADB)

DEFINITION	A rider that pays an additional death benefit (usually double the face amount) if the insured dies as a direct result of an accident. Also called Double Indemnity.
EXAM TIP	ADB is called 'double indemnity' because it doubles the payout for accidental death. This nickname appears on exams frequently.
MEMORY TIP	<i>ADB = Double Indemnity. Accident = 2x the money. Think of it as a bonus for accidental death.</i>

78. Face Amount

DEFINITION

The stated death benefit on a life insurance policy — the amount the insurer promises to pay the beneficiary when the insured dies.

EXAM TIP

Face amount is the core number on any life policy. The exam uses it interchangeably with 'death benefit.'

MEMORY TIP

Face amount = the number on the front (face) of the policy.

79. Surrender Value

DEFINITION

The amount of money the policyholder receives when they voluntarily cancel a permanent life insurance policy before the insured's death. It equals the cash value minus any surrender charges.

EXAM TIP

Surrender value is one of the non-forfeiture options. Know that surrender charges decrease over time and the difference between cash value and surrender value.

MEMORY TIP

Surrender = give up the policy and walk away with your money (minus any fees).

80. Policy Loan

DEFINITION

Borrowing money from the cash value of a permanent life insurance policy. The loan is not taxable and does not have to be repaid, but unpaid loans reduce the death benefit.

EXAM TIP

Policy loans are tax-free and require no credit check. The exam tests that they reduce the death benefit if unpaid at death.

MEMORY TIP

Policy loan = borrow from yourself. No credit check, no tax, but the death benefit shrinks if you don't pay it back.

81. Return of Premium Rider

DEFINITION

A life insurance rider that returns all or some of the premiums paid if the insured outlives the policy term or cancels after a set period.

EXAM TIP

The return of premium rider makes term insurance more expensive but adds a savings element. The exam tests what triggers the premium return.

MEMORY TIP

ROP rider = money-back guarantee. Outlive the term and get your payments back.

82. Experience Rating

★ HIGH FREQUENCY

DEFINITION

A method of setting group insurance premiums based on the actual claims history of that specific group, rather than using general population averages.

EXAM TIP

Experience rating is used in group insurance. The exam tests that large groups often use experience rating while small groups use community rating.

MEMORY TIP

Experience = your GROUP's track record determines your rate. Good history = lower premium.

CONFUSION ALERT

Don't confuse with: Community Rating — Students frequently mix these two terms up. Study them side by side to lock in the difference.

83. Community Rating

★ HIGH FREQUENCY

DEFINITION	A method of setting health insurance premiums where everyone in a geographic area pays the same rate, regardless of age, health, or claims history.
EXAM TIP	The ACA expanded community rating. The exam tests that community rating cannot charge based on health status.
MEMORY TIP	<i>Community = everyone in the community pays the same rate. No cherry-picking healthy people.</i>
CONFUSION ALERT	Don't confuse with: Experience Rating — Students frequently mix these two terms up. Study them side by side to lock in the difference.

84. Participating Policy

★ HIGH FREQUENCY

DEFINITION	A life insurance policy (usually from a mutual company) that is eligible to receive dividends paid by the insurance company.
EXAM TIP	Participating policies pay dividends; non-participating do not. Dividends represent a return of excess premium and are NOT guaranteed.
MEMORY TIP	<i>Participating = gets to PARTICIPATE in company profits through dividends.</i>
CONFUSION ALERT	Don't confuse with: Non-Participating Policy — Students frequently mix these two terms up. Study them side by side to lock in the difference.

85. Non-Participating Policy

★ HIGH FREQUENCY

DEFINITION	A life insurance policy that does not pay dividends to the policyholder. These are typically issued by stock insurance companies.
EXAM TIP	Non-par policies have no dividend eligibility. The exam tests this as a feature of stock company policies.
MEMORY TIP	<i>Non-participating = no dividends. Stock company owned = shareholders get the profits, not policyholders.</i>
CONFUSION ALERT	Don't confuse with: Participating Policy — Students frequently mix these two terms up. Study them side by side to lock in the difference.

LEGAL AND ETHICAL CONCEPTS

86. Twisting

★ HIGH FREQUENCY

DEFINITION	Convincing a policyholder to cancel an existing insurance policy and replace it with a new one by making misleading or incomplete comparisons — primarily to generate a new commission.
EXAM TIP	Twisting is illegal and unethical. It is one of the most tested unfair trade practices. The exam will present scenarios and ask you to identify the violation.
MEMORY TIP	<i>Twisting = spinning a false story to make someone switch policies for your benefit.</i>
CONFUSION ALERT	Don't confuse with: Churning — Students frequently mix these two terms up. Study them side by side to lock in the difference.

87. Churning

★ HIGH FREQUENCY

DEFINITION	Convincing a policyholder to replace their existing policy with a new one from the SAME insurance company, often using the policy's own cash value, to generate a new commission.
EXAM TIP	Churning is similar to twisting but happens within the same company. Both are illegal and unethical.
MEMORY TIP	<i>Churning = 'churning butter' inside the same company. Same insurer, new policy, new commission — bad for the client.</i>
CONFUSION ALERT	Don't confuse with: Twisting — Students frequently mix these two terms up. Study them side by side to lock in the difference.

88. Rebating

DEFINITION	Offering a portion of an agent's commission or any other financial incentive to a customer as an inducement to buy an insurance policy. This is illegal in most states.
EXAM TIP	Rebating is a prohibited trade practice. The exam tests that both giving AND receiving a rebate is illegal in most states.
MEMORY TIP	<i>Rebating = illegal kickback. 'I'll split my commission with you if you buy this policy' = ILLEGAL.</i>

89. Misrepresentation (Agent)

DEFINITION	An agent making false, deceptive, or misleading statements about a policy, a competitor's policy, or an insurance company to induce a sale.
EXAM TIP	Agent misrepresentation is an unfair trade practice. The exam distinguishes application misrepresentation from agent misrepresentation.
MEMORY TIP	<i>Agent misrepresentation = lying to make a sale. Prohibited and can cost an agent their license.</i>

90. Fiduciary Duty

DEFINITION	The legal and ethical obligation an agent has to act in the best interest of the client at all times, placing the client's needs above their own.
EXAM TIP	Fiduciary duty is the ethical cornerstone for agents. The exam tests that agents must recommend suitable products and act honestly.
MEMORY TIP	<i>Fiduciary = trusted guardian. Act for the client's benefit, not your own wallet.</i>

91. Insurable Interest (Legal Requirement)

DEFINITION	At the time a life insurance policy is issued, the applicant must have a legitimate financial or emotional stake in the continued life of the insured. This prevents people from taking out policies on strangers.
EXAM TIP	Insurable interest must exist at policy inception for life insurance — but NOT at the time of claim. This exam point is frequently tested.
MEMORY TIP	<i>You must CARE (financially or emotionally) about the person being insured — spouse, business partner, or yourself.</i>

92. Producer

DEFINITION	A licensed individual who sells, solicits, or negotiates insurance contracts on behalf of an insurance company. Also called an agent or broker.
EXAM TIP	Producer, agent, and broker are common exam terms. Know that brokers represent the client and agents represent the insurer.
MEMORY TIP	<i>Producer = the person who PRODUCES new insurance business. Agent = insurer's rep. Broker = client's rep.</i>

93. Agent

★ HIGH FREQUENCY

DEFINITION	A licensed insurance professional who is legally authorized to represent one or more insurance companies and sell their policies to clients.
EXAM TIP	The agent's authority — express, implied, and apparent — is a key exam topic. Agents bind the insurer, not the client.
MEMORY TIP	<i>Agent = representative of the insurance COMPANY. Whatever the agent does within their authority, the company is responsible for.</i>
CONFUSION ALERT	Don't confuse with: Broker — Students frequently mix these two terms up. Study them side by side to lock in the difference.

94. Broker

★ HIGH FREQUENCY

DEFINITION	A licensed insurance professional who represents the CLIENT (not the insurance company) and shops multiple insurers to find the best coverage and rates.
EXAM TIP	The key distinction: agents = company side, brokers = client side. The exam will test this repeatedly.
MEMORY TIP	<i>Broker = B for Buyer's rep. Works for YOU, not the insurance company.</i>
CONFUSION ALERT	Don't confuse with: Agent — Students frequently mix these two terms up. Study them side by side to lock in the difference.

95. Express Authority

DEFINITION	The authority an agent has that is explicitly stated in writing in the agent's contract with the insurance company.
EXAM TIP	The three types of agent authority — express, implied, and apparent — are a major exam topic. Express authority is the most clear-cut.
MEMORY TIP	<i>Express = written. It's EXPRESSED clearly in the contract.</i>

96. Implied Authority

DEFINITION	Authority that is not explicitly stated but is reasonably assumed to be necessary for the agent to do their job effectively. For example, the authority to use office supplies or advertise.
EXAM TIP	Implied authority fills in the gaps. The exam tests all three authority types and which applies in scenario questions.
MEMORY TIP	<i>Implied = assumed. Not written, but obvious it's needed to get the job done.</i>

97. Apparent Authority

DEFINITION

Authority that exists because the agent APPEARS to have it based on their actions and the impression they give to the public — even if they were not actually authorized.

EXAM TIP

Apparent authority protects innocent third parties. If an insurer lets an agent act as if they have authority, the insurer is bound.

MEMORY TIP

Apparent = how it APPEARS to others. If it looks like you have authority, you legally have it.

98. Suitability

DEFINITION

The requirement that an insurance agent recommends products that are appropriate for the client's specific financial situation, needs, age, and goals.

EXAM TIP

Suitability requirements are especially important for annuity and life insurance sales. The exam tests what factors determine a suitable recommendation.

MEMORY TIP

Suitability = does this product FIT this person? The right product for the right client.

99. HIPAA

DEFINITION

The Health Insurance Portability and Accountability Act. It protects the privacy of patient health information and guarantees portability of health coverage between jobs.

EXAM TIP

HIPAA's two main functions on the exam: privacy protection and portability (continuous coverage guarantees when changing jobs).

MEMORY TIP

HIPAA = Health Insurance Privacy And Accountability. Protects your health info and your right to keep coverage.

100 ERISA

DEFINITION

The Employee Retirement Income Security Act. A federal law that sets minimum standards for retirement and health benefit plans offered by private employers.

EXAM TIP

ERISA preempts state insurance laws for self-funded employer health plans. This preemption concept is a guaranteed exam topic.

MEMORY TIP

ERISA = Employee Rights in benefits. Federal rules trump state rules for employer-sponsored plans.

Quick Reference — Commonly Confused Term Pairs

These pairs trip up students most often. Study both sides together.

TERM A	KEY DISTINCTION	TERM B
Pure Risk	Pure = only loss possible = INSURABLE. Speculative = can win or lose = NOT insurable.	Speculative Risk
Concealment	Misrepresentation = saying something FALSE. Concealment = hiding something TRUE.	Misrepresentation
Warranty	Warranty = guaranteed true. Representation = believed to be true.	Representation
Stock Insurance Company	Stock = owned by shareholders. Mutual = owned by policyholders.	Mutual Insurance Company
Term Life Insurance	Study both definitions side by side.	Whole Life Insurance
Variable Life Insurance	Study both definitions side by side.	Variable Universal Life
Variable Universal Life (VUL)	Study both definitions side by side.	Variable Life Insurance
Irrevocable Beneficiary	Irrevocable = cannot change without their consent. Revocable = change anytime.	Revocable Beneficiary
Immediate Annuity	Immediate = income starts now. Deferred = income starts later.	Deferred Annuity
HMO (Health Maintenance Organization)	Study both definitions side by side.	PPO
PPO (Preferred Provider Organization)	Study both definitions side by side.	HMO
Deductible	Deductible = annual threshold paid before insurance helps. Copay = flat fee per visit.	Copay
Copay	Copay = fixed dollar amount. Coinsurance = percentage split after deductible.	Coinsurance
Own-Occupation Definition	Own-occ = can't do YOUR job. Any-occ = can't do ANY job.	Any-Occupation Definition
Reduced Paid-Up	Reduced = smaller PERMANENT policy. Extended = same death benefit as TERM for limited time.	Extended Term
Standard Risk	Standard = average risk = standard rate. Preferred = below average risk = lower rate.	Preferred Risk
Net Premium	Net = pure risk cost only. Gross = net + expenses (what customer pays).	Gross Premium
Experience Rating	Experience = your group's history sets rate. Community = everyone pays the same.	Community Rating
Participating Policy	Participating = eligible for dividends (mutual). Non-par = no dividends (stock).	Non-Participating Policy
Twisting	Twisting = replace policy at different company. Churning = replace at SAME company.	Churning

Agent	Agent = represents the INSURER. Broker = represents the CLIENT.	Broker
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You now have the vocabulary foundation to pass the Life & Health Insurance licensing exam with confidence. Review this guide daily, test yourself on the confusion pairs, and use the memory tips during practice exams. Good luck.

Life & Health Insurance Exam Starter Kit

Memory Tricks, Mnemonics & Visual Associations

The fastest way to lock 100 exam concepts into memory before exam day.

45+	7	7	★
Memory Tricks	Categories	Trick Types	Exam-Focused

Trick Types in This Guide

ACRONYM	First letters spell a memorable sequence.
STORY	A short scenario embeds the concept in narrative.
VISUAL	A mental image ties the term to its meaning.
RHYME	A catchy phrase makes the rule stick.
ANALOGY	Compares the concept to something familiar.
NUMBER	Tricks for critical numbers, time frames, percentages.
CONTRAST	Side-by-side comparisons lock in differences between similar terms.

How to use: Read each trick once, then cover the mnemonic and try to recall it from the concept title alone. Test yourself with the exam questions. Pay special attention to WATCH OUT boxes — those are the most common wrong-answer traps.

1. Pure Risk vs. Speculative Risk

CONTRAST

Pure Risk = only LOSS possible = INSURABLE Speculative Risk = WIN or LOSE = NOT insurable
"Pure = PAIN only. Speculative = Stock market (could profit)."

WHY IT WORKS

The word 'pure' implies nothing good can come from it — only neutral or bad outcomes. Speculation always includes a chance of gain, which disqualifies it from being insurable. This distinction is fundamental to underwriting.

EXAM QUESTION

Which type of risk is insurable? A) Speculative B) Pure C) Both D) Neither Answer: B — Pure risk. Only situations where you can only lose qualify for insurance.

Watch out: Students often think 'pure' sounds positive, but in insurance, pure means purely negative outcomes only.

2. Law of Large Numbers

ANALOGY

Flip a coin 10 times → unpredictable results. Flip it 10,000 times → nearly exactly 50/50. MORE PEOPLE = MORE PREDICTABLE LOSSES "More people = better math. Insurance loves big groups."

WHY IT WORKS

The coin-flip analogy is universally intuitive. The brain understands that large samples stabilize toward averages. This principle explains why group insurance exists and why insurers use actuaries to pool thousands of risks.

EXAM QUESTION

Why do insurance companies prefer to insure large groups rather than individuals? Answer: Larger groups allow more accurate loss prediction, keeping the company financially stable.

Note: This principle is WHY adverse selection must be controlled — if only sick people buy insurance, the law of large numbers breaks down.

3. Insurable Interest — WHEN Required

RHYME

Life Insurance: interest required at INCEPTION (when policy starts) Property Insurance: interest required at LOSS (when claim is filed) "Life at the START, Property at the HEART of the claim."

WHY IT WORKS

This distinction consistently trips up students because they apply the property rule to life insurance. The rhyme creates two separate hooks — one anchored to the start, one anchored to the claim event.

EXAM QUESTION

John takes out a life policy on his business partner. Three years later, the partnership dissolves. The partner then dies. Is the claim paid? Answer: Yes — insurable interest for life insurance only needs to exist at policy inception, not at death.

Watch out: This is one of the most commonly missed exam questions. For LIFE insurance: interest at inception only.

4. Aleatory Contract

VISUAL

Picture a **LOTTERY TICKET**. You pay \$2 and could win \$1,000,000 — **OR nothing**. Insurance is **ALEATORY**: unequal exchange based on chance. "Aleatory sounds like 'lottery.' Small payment in, huge payout possible."

WHY IT WORKS

The lottery visual captures aleatory perfectly — a tiny premium paid in, a potentially massive payout out, all based on an uncertain future event. Once you see the lottery ticket, the concept locks in.

EXAM QUESTION

Which characteristic of an insurance contract describes the potentially unequal exchange of value based on a chance event?
Answer: Aleatory — the amounts exchanged are unequal and depend on an uncertain future event.

Note: Other key contract characteristics: Unilateral (only insurer makes legally binding promise), Adhesion (take it or leave it), Conditional (insured must meet conditions).

5. Misrepresentation vs. Concealment

CONTRAST

MISREPRESENTATION = Saying something WRONG (a false statement) CONCEALMENT = Staying SILENT about something TRUE (hiding a fact) "Rep = Wrong WORDS. Conceal = NO words." One lies actively; one hides passively.

WHY IT WORKS

The contrast locks in the directional difference: misrepresentation is active (saying false things) and concealment is passive (staying quiet). Students who memorize this direction rarely confuse them again on the exam.

EXAM QUESTION

An applicant knows he has high blood pressure but doesn't mention it on his application. This is best described as: Answer: Concealment — he withheld a material fact rather than making a false statement.

Watch out: Both can void the policy if material. The exam distinguishes them by action: false speaking vs. deliberate silence.

6. Stock vs. Mutual Insurance Companies

CONTRAST

STOCK company = owned by SHAREHOLDERS → investors receive dividends MUTUAL company = owned by POLICYHOLDERS → policyholders may receive dividends "STOCK = STOCKholders. MUTUAL = policyholders are mutual owners."

WHY IT WORKS

Connecting 'stock' to the stock market (where shareholders trade) creates an instant memory anchor. Mutual funds are owned by their participants — same ownership logic applies to mutual insurance companies.

EXAM QUESTION

Which type of insurance company is owned by its policyholders, who may share in company profits? Answer: Mutual insurance company — policyholders are the owners and receive dividends when profits allow.

Note: Only PARTICIPATING policies (usually from mutual companies) pay dividends to policyholders. Non-participating policies (usually from stock companies) do not.

7. Subrogation

STORY

You get hit by a reckless driver. Your insurer pays your claim. Now YOUR INSURER puts on your shoes and sues the driver in your place. "SUBrogation = SUBstitute. The insurer SUBS IN for you." The insured cannot sue AND collect from insurance — no double dipping.

WHY IT WORKS

The word 'sub' literally means 'in place of.' The car accident story is a vivid scenario that makes the concept concrete. Once you picture the insurer walking in your shoes, the mechanism never leaves memory.

EXAM QUESTION

After paying a health claim resulting from a car accident caused by another driver, the insurer has the right to: Answer: Sue the at-fault driver for reimbursement — this is the right of subrogation.

Watch out: After the insurer pays and exercises subrogation, the insured cannot also sue the at-fault party. Double recovery is not permitted.

8. Term vs. Permanent Life Insurance

ANALOGY

TERM = RENTING an apartment (temporary, no equity, pay monthly, walk away at end — nothing to show for it) **PERMANENT = BUYING** a house (builds equity/cash value, you own it forever, value grows) "Rent disappears. Equity builds. Same with insurance."

WHY IT WORKS

The rent vs. buy distinction is universally understood and maps perfectly onto the insurance concepts. No cash value in term (rent is gone), cash value in permanent (equity builds). This single analogy answers dozens of exam questions.

EXAM QUESTION

Which type of life insurance provides a death benefit but accumulates NO cash value? Answer: Term life insurance — coverage for a set period with no savings component.

Note: Term is the cheapest option for pure death protection. Permanent costs more but builds cash value over time.

9. Whole Life — The Three GUARANTEES

NUMBER

Whole Life has EXACTLY 3 guarantees. All start with D: 1. Death benefit — guaranteed amount paid at death 2. Dollar premium — guaranteed LEVEL forever (never increases) 3. Dollars grow — cash value guaranteed to accumulate "3 Ds: Death, Dollar level, Dollars grow"

WHY IT WORKS

Grouping the three guarantees under the number 3 with a consistent first letter (D) creates a tight memory cluster. The exam loves to test whether students know all three exist simultaneously in a whole life policy.

EXAM QUESTION

Which of the following is NOT guaranteed in a whole life insurance policy? Answer: Investment returns tied to the market. Whole life guarantees the death benefit, level premium, and cash value growth — it does NOT invest in the market.

Watch out: Variable life = market-linked = NO guaranteed cash value. This is the critical distinction from whole life.

10. Universal Life — The FLEXIBLE Policy

ACRONYM

UL = Ultimate Flexibility: F — Flexible premiums (pay more, pay less, even skip within limits) A — Adjustable death benefit (raise or lower it over time) "UL = You Adjust Like a Universal remote. Change channels anytime." BUT: if cash value runs dry, the policy LAPSES.

WHY IT WORKS

The universal remote analogy captures UL's defining feature instantly — you can adjust channels (premiums) and volume (death benefit) freely, unlike the fixed whole life policy. Students who learn this never confuse UL with whole life.

EXAM QUESTION

Which type of permanent life insurance allows the policyowner to vary the amount and timing of premium payments? Answer: Universal life insurance — its defining feature is flexible premium payments.

Watch out: Flexibility has consequences. If premiums are too low and the cash value runs out, the policy lapses. The UL policy is NOT invincible.

11. Variable Life — Who Bears the Risk?

VISUAL

Picture a SEESAW: Left side: **INSURER** bears risk → Fixed accounts (Whole Life, UL) Right side: **POLICYHOLDER** bears risk → Separate accounts (Variable) "Variable = the value VARIES with the market. You tip the seesaw onto yourself." Variable products require a **SECURITIES LICENSE (FINRA Series 6 or 7)**.

WHY IT WORKS

The seesaw makes the risk-transfer immediately intuitive. Choosing variable tips the seesaw toward the policyholder. This also explains why variable products require a securities license — they ARE investment products subject to market risk.

EXAM QUESTION

Which life insurance product requires the producer to hold a securities license in addition to an insurance license? Answer: Variable life (and variable annuities) — the cash value is invested in separate accounts tied to market performance.

Watch out: Variable = separate accounts = market risk = securities license required. This is a guaranteed exam question in most states.

12. Modified Endowment Contract (MEC)

STORY

Imagine stuffing **TOO MUCH** cash into a piggy bank **TOO FAST**. The IRS sees this and stamps it: **'MEC — TAXED LIKE AN ANNUITY NOW.'** "MEC = Money Entered too quickly = Consequences apply" **7-Pay Test:** if premiums paid in first 7 years exceed the limit → **MEC** After MEC: loans and withdrawals taxed **GAINS-FIRST + 10% penalty (under 59½)**

WHY IT WORKS

The overstuffed piggy bank story creates a visual trigger: too much money too fast = IRS attention = MEC classification. The 7-pay number is a critical exam figure that students forget unless anchored to a story.

EXAM QUESTION

A policyholder pays one very large single premium into a whole life policy. What is the likely tax consequence? Answer: The policy may be classified as a MEC. Loans and withdrawals will then be taxed on a gains-first basis, with a 10% penalty if under age 59½.

Note: A regular life policy allows withdrawals up to basis tax-free. A MEC taxes ALL withdrawals as gains first. This is a major difference.

Watch out: The 7-pay test tracks cumulative premiums over 7 years. Even spreading large payments can trigger MEC if the limit is exceeded.

13. 1035 Exchange

RHYME

"1035: Keep it alive — swap contracts without the tax jive." Allowed (tax-free): Life → Life YES Life → Annuity YES Annuity → Annuity YES Annuity → Life NO (you cannot go backwards) "You can trade UP or ACROSS — never backwards."

WHY IT WORKS

The rhyme embeds the key rule. The one prohibited direction (annuity to life) is always on the exam — the 'backwards' framing makes it immediately recognizable and hard to forget.

EXAM QUESTION

A client wants to exchange her annuity for a life insurance policy tax-free. Is this a valid 1035 exchange? Answer: No — annuity to life insurance is NOT a qualifying 1035 exchange. The exchange can only go forwards, not backwards.

Watch out: Life to Annuity = YES. Annuity to Life = NO. This exact scenario appears on most state licensing exams.

14. Immediate vs. Deferred Annuity

CONTRAST

IMMEDIATE = Pay lump sum NOW, income starts IMMEDIATELY (within 30 days) DEFERRED = Save money now, income starts LATER (deferred to future) "Immediate = income NOW. Deferred = income NOT YET." Key rule: Immediate annuities ALWAYS require a single premium.

WHY IT WORKS

The contrast builds a clean binary. The single-premium requirement for immediate annuities is the key exam hook — students who don't know this get scenario questions wrong. You cannot fund an immediate annuity with installments because payments start right away.

EXAM QUESTION

A retiree hands an insurance company \$200,000 and begins receiving monthly income within 30 days. This is an example of:
Answer: A single premium immediate annuity (SPIA).

15. Annuity Phases — Accumulation vs. Annuitization

ANALOGY

Think of a SNOWBALL rolling down a hill: ACCUMULATION = pushing the snowball UP the hill (saving, tax-deferred growth) ANNUITIZATION = letting it roll DOWN (converting savings into income payments) "Save uphill. Spend downhill." Once annuitization begins, it generally cannot be reversed.

WHY IT WORKS

The snowball analogy captures both phases in a single continuous image — the effort of saving and the reward of receiving income. The irreversibility of annuitization is an important exam point that the analogy naturally suggests (you can't push a rolling snowball back up).

EXAM QUESTION

During which phase of an annuity does money grow tax-deferred? Answer: The accumulation phase — contributions grow tax-deferred until the annuitization phase begins.

16. HMO vs. PPO vs. POS

ACRONYM

HMO = HOME base. Must stay home (in-network). PCP is the gatekeeper. PPO = PORTABLE. Go anywhere — pay more outside the network. No referral needed. POS = POINT OF SWITCH. At each visit, switch between HMO rules (cheap) or PPO rules (flexible). Spectrum: Most Restrictive → HMO → POS → PPO → Least Restrictive

WHY IT WORKS

The home-base, portable, switch-point images each capture the defining feature of the plan. The restrictiveness spectrum helps students rank them instantly. HMO's gatekeeper concept is the most tested feature of all three plans.

EXAM QUESTION

Which health plan requires members to select a primary care physician and obtain referrals to see specialists? Answer: HMO — the PCP acts as a gatekeeper who controls access to specialists.

Note: EPO (Exclusive Provider Organization): like HMO — no out-of-network coverage — but NO referral required. A less common but testable fourth plan type.

Watch out: HMO = referral needed. PPO = no referral. POS = referral for in-network benefits, self-refer for out-of-network. Don't mix these up.

17. The Cost-Sharing Staircase

NUMBER

THREE steps — always in this order: Step 1: DEDUCTIBLE — you pay 100% until you hit the annual threshold Step 2: COINSURANCE — you and insurer split costs (e.g., 80% insurer / 20% you) Step 3: OUT-OF-POCKET MAX — once reached, insurer pays 100% of covered costs "D-C-O: Deductible first, Co-pay split, Out-of-pocket ceiling."

WHY IT WORKS

The staircase gives each cost-sharing element a physical position you climb through in order. The D-C-O acronym provides quick recall under exam pressure. Students who skip steps — jumping straight to coinsurance — miss scenario calculation questions.

EXAM QUESTION

A patient has a \$1,000 deductible and 80/20 coinsurance. She receives a \$3,000 bill. She hasn't met any deductible yet. How much does she pay? Answer: \$1,000 deductible + 20% of remaining \$2,000 (\$400) = \$1,400. The insurer pays \$1,600.

Watch out: Copays typically do NOT count toward the deductible. Coinsurance does. Know which cost-sharing type applies to which step.

18. Copay vs. Coinsurance

CONTRAST

COPAY = Constant flat fee. Same dollar amount every visit. (\$30 every time.) COINSURANCE = Calculated percentage. 80/20, 70/30. Changes with the bill size. "CoPAY = Pay the SAME flat amount. CoINSURANCE = INSURANCE-style percentage split." Copay: predictable. Coinsurance: variable.

WHY IT WORKS

The alliterative contrast creates a binary anchor. Copay is predictable and simple; coinsurance is variable and percentage-based. Linking copay to 'same' and coinsurance to 'percentage split' reinforces the structural difference permanently.

EXAM QUESTION

A patient pays \$30 every time she visits her doctor, regardless of what services are performed. This payment is called a: Answer: Copay — a fixed dollar amount paid at each visit, the same every time.

19. Disability Income — Elimination Period

ANALOGY

The elimination period is a DEDUCTIBLE IN TIME — not money. "You wait X days before benefits start — just like you pay \$X before insurance pays." Longer elimination period → LOWER premium (you self-insure the waiting period) Shorter elimination period → HIGHER premium (insurer starts paying sooner) Common periods: 30, 60, 90, 180 days.

WHY IT WORKS

The 'deductible in time' framing instantly explains both what the elimination period is and why it affects the premium. Students who understand this trade-off stop confusing elimination periods with grace periods.

EXAM QUESTION

Which change to a disability income policy would DECREASE the annual premium? Answer: Lengthening the elimination period — waiting longer before benefits start reduces the insurer's claim exposure.

Watch out: Do NOT confuse: elimination period (disability income — WAITING period) vs. grace period (premium payment — LATE payment window). Completely different concepts.

20. Own-Occ vs. Any-Occ Disability

STORY

DR. SMITH, a surgeon, loses three fingers in an accident. **OWN-OCC** definition: 'I cannot perform surgery. I am **DISABLED**.' Benefits paid — even if she could teach. **ANY-OCC** definition: 'Can you teach? Drive? Do anything you're qualified for? Then **NOT** disabled.' "Own-occ = YOUR job. Any-occ = ANY job you could do."

WHY IT WORKS

The surgeon story is specific and emotionally memorable. The contrast between the two outcomes is stark. Once you visualize Dr. Smith in both scenarios, the distinction is permanent. This scenario appears on virtually every state exam.

EXAM QUESTION

A surgeon becomes unable to perform surgery due to a hand injury but could work as a medical consultant. Under which definition would she receive disability benefits? Answer: Own-occupation — she cannot perform her specific occupation regardless of ability to do other work.

Note: Own-occ is the more favorable (and expensive) definition for the insured. Most individual disability policies use own-occ for the first 2–5 years, then shift to any-occ.

Watch out: Own-occ = BETTER protection for the insured. Any-occ = harder to collect on. This comparison is guaranteed to appear on your exam.

21. Long-Term Care — The 6 ADLs

ACRONYM

B-D-E-T-T-C: Bathing · Dressing · Eating · Toileting · Transferring · Continence "Big Dogs Eat Tasty Tender Chunks" LTC TRIGGER: Cannot perform 2 of these 6 ADLs — OR cognitive impairment

WHY IT WORKS

The dog-food sentence is deliberately silly — ridiculous sentences are remembered better than logical ones (this is the 'bizarreness effect' in memory research). Each first letter matches an ADL. The trigger (2 of 6) must be memorized alongside the list.

EXAM QUESTION

Long-term care benefits are typically triggered when the insured cannot perform how many activities of daily living? Answer: 2 of the 6 ADLs — OR a diagnosis of cognitive impairment such as Alzheimer's disease.

Note: The 6th ADL — Continence — is the most commonly forgotten. 'Chunks' in the mnemonic is your anchor for it.

Watch out: BOTH triggers matter: 2 of 6 ADLs is the most tested, but cognitive impairment (like Alzheimer's) is an INDEPENDENT trigger — even if all 6 ADLs can be performed.

22. Medicare Parts A, B, C, D

ACRONYM

A = ADMIT to hospital (Hospital insurance — inpatient care) B = BASIC medical (Doctor visits, outpatient, preventive care) C = CHOICE (Medicare Advantage — private plans bundling A+B+usually D) D = DRUGS (Prescription drug coverage) "A for Admit, B for Basic, C for Choice, D for Drugs"

WHY IT WORKS

Each letter maps directly to its function through its first sound or association. Part C (Advantage) is hardest to remember, so 'Choice' anchors it — you choose a private plan instead of original Medicare. D for Drugs is universally remembered without effort.

EXAM QUESTION

Which part of Medicare covers outpatient physician services and preventive care? Answer: Medicare Part B — outpatient medical services, doctor visits, and preventive screenings.

Note: Part A: funded by payroll taxes — no premium if you've worked 40+ quarters. Part B: requires a monthly premium. Both have deductibles and cost-sharing.

Watch out: Medicare Advantage (Part C) is offered by PRIVATE insurance companies approved by Medicare — NOT directly by the federal government.

23. COBRA — Four Critical Numbers

NUMBER

18 months — standard continuation (job loss, reduced hours) 29 months — disabled individuals (extended from 18 months by Social Security disability) 36 months — other qualifying events (divorce, death of employee, dependent aging off) 102% — maximum premium charged (employee pays 100% + 2% administration fee) "18, 29, 36, 102: The four COBRA numbers the exam always tests."

WHY IT WORKS

These four numbers are the most consistently tested COBRA facts. Grouping them as a closed set of four creates a complete mental list — students know exactly what to memorize and can scan the list rapidly during the exam.

EXAM QUESTION

After an employee is terminated, how long may they continue group health coverage under COBRA? Answer: Up to 18 months — paying up to 102% of the group premium cost.

Watch out: COBRA does NOT require the employer to pay any portion of the premium after termination. The former employee bears the full cost plus the 2% administration fee.

24. Grace Period — Three Time Frames

NUMBER

Weekly premium mode → 7-day grace period Monthly premium mode → 10-day grace period All other modes (quarterly, semiannual, annual) → 31-day grace period "7-10-31" Memory anchor: Weekly=7 (days in a week!), Monthly=10, Everything else=31 Key fact: Coverage CONTINUES during the grace period.

WHY IT WORKS

The 7 = days in a week is a built-in memory hook. Monthly gets the odd 10. All others get 31, associated with 'a full month.' Most exam questions test the 31-day grace because it's most common in the real world.

EXAM QUESTION

A policyholder who pays quarterly premiums is 25 days late on a payment. Is the policy still in force? Answer: Yes — quarterly premiums fall under 'all other modes' with a 31-day grace period. Coverage continues through day 31.

Watch out: If the insured dies DURING the grace period, the death benefit IS still paid — minus the overdue premium. The policy didn't lapse.

25. Incontestability Clause — 2 Years

STORY

Picture an insurance company as a skeptical detective. For the first 2 YEARS after issue, they can investigate your application. After 2 years, the detective CLOSES the case. The policy becomes bulletproof. "2 years to contest. After that, the policy is airtight." Exceptions: non-payment of premiums, impersonation fraud, suicide clause.

WHY IT WORKS

The detective story creates a vivid countdown with a definitive ending — the closed case. The 'bulletproof' metaphor makes the protection feel absolute (within the limits). The exam regularly tests both the 2-year window AND the exceptions.

EXAM QUESTION

An insured misstated his age on an application and died 3 years after the policy was issued. Can the insurer void the policy? Answer: No — the 2-year incontestability period has passed. However, the benefit may be adjusted under the misstatement of age provision.

Note: Misstatement of age does NOT void the policy — ever. The benefit is recalculated to what the premium would have purchased at the correct age.

Watch out: Incontestability clause does NOT protect against: (1) non-payment of premiums, (2) impersonation fraud (someone else took the physical exam), (3) the suicide exclusion period.

26. Non-Forfeiture Options — All Three

ACRONYM

C-R-E: CASH surrender — take the cash value and walk away (taxable on gains) REDUCED paid-up — smaller PERMANENT policy, zero future premiums required EXTENDED term — same ORIGINAL death benefit as TERM for as long as cash value lasts "CRE-ate value even when you stop paying." Default option = Extended Term (most policies)

WHY IT WORKS

The CRE acronym creates one word ('create') linking all three options. The one-line descriptions emphasize what changes: the amount (Reduced) vs. the time period (Extended). Students who reverse these two rarely make that mistake after learning this mnemonic.

EXAM QUESTION

A policyholder stops paying premiums on her whole life policy. She wants to maintain the same death benefit but only needs coverage for a limited time. Which option is best? Answer: Extended term — keeps the original face amount as term coverage for as long as the cash value will sustain it.

Note: Reduced paid-up = PERMANENT coverage, smaller face amount. Extended term = TERM coverage, same face amount. These are the two most frequently confused options.

Watch out: Reduced Paid-Up = PERMANENT type, SMALLER amount. Extended Term = TERM type, SAME amount. Students constantly reverse these two on the exam.

27. Settlement Options — All Five

ACRONYM

L-I-F-F-L: Lump Sum (default) · Interest Only · Fixed Period · Fixed Amount · Life Income "LIFFL: Like Insurance For Family Later" Safest/most guaranteed = Fixed Period or Fixed Amount Most income risk = Life Income only (die early = get less) Who chooses: the BENEFICIARY (after death), not the insured.

WHY IT WORKS

The LIFFL acronym contains all five options in sequence. The contrast between fixed options (guaranteed regardless of lifespan) and life income (stops at death) is a critical exam point. The 'who chooses' detail is frequently tested.

EXAM QUESTION

Which settlement option provides income for the rest of the beneficiary's life, with no further payments after death regardless of total paid? Answer: Life income (life only) — payments last for life but cease at death, even if only one payment was made.

Note: Life income with period certain = guaranteed minimum payments even if beneficiary dies early. Reduces the risk of the pure life-only option but also reduces payment size.

28. Waiver of Premium Rider

VISUAL

Picture your life insurance policy as a house plant. You stop watering it (paying premiums) because you're sick. The **WAIVER OF PREMIUM RIDER** is a robot that **WATERS IT FOR YOU** while you're disabled. "**Disabled = robot pays. Policy stays alive.**" Elimination period: typically 6 months before waiver activates. Premiums are then waived **RETROACTIVELY** back to disability onset.

WHY IT WORKS

The plant analogy makes the stakes (let it die or keep it alive) and the mechanism (the insurer steps in as a robot caretaker) immediately vivid. The key exam point is that coverage continues in **FULL FORCE** during disability — the policy doesn't change, only the premium obligation does.

EXAM QUESTION

A policyholder becomes totally disabled. Her life insurance has a waiver of premium rider. What happens to her coverage?
Answer: Premiums are waived and the policy remains fully active as if premiums were being paid normally.

Watch out: Waiver of premium has a 6-month elimination period. The policy stays in force during this waiting period, but the insured still pays premiums until the waiver kicks in — then they are refunded.

29. Suicide Clause

NUMBER

Exclusion period: 2 years (1 year in some states) DURING exclusion: insurer returns PREMIUMS PAID only (not death benefit) AFTER exclusion: FULL death benefit is paid — even for suicide "2 years to establish the policy's legitimacy. After that, all causes are covered." Logic: prevents people from buying a policy specifically to commit suicide.

WHY IT WORKS

The '2 years to establish legitimacy' framing explains the policy logic clearly — the exclusion period exists to prevent fraud, not to punish. After the exclusion, the policy is legitimate and all causes of death are covered. This reasoning is memorable because it makes sense.

EXAM QUESTION

An insured commits suicide 18 months after the policy is issued. What does the insurer pay? Answer: A return of premiums paid — not the face amount. The suicide occurred within the 2-year exclusion period.

Watch out: After the exclusion period, suicide is treated like ANY other cause of death. Full death benefit is payable. Many students incorrectly think suicide is never covered.

30. The Three Risk Classifications

CONTRAST

PREFERRED = Below-average risk → LOWER than standard premium
STANDARD = Average risk → STANDARD (regular) premium
SUBSTANDARD = Above-average risk → HIGHER premium OR exclusion rider OR modified benefits
"Preferred-Standard-Substandard: cheap, normal, more expensive — in that order."
Critical: Substandard = NOT automatically declined. Coverage can still be issued.

WHY IT WORKS

The PS-S hierarchy flows logically from cheapest to most expensive. The key exam point — substandard applicants are NOT automatically rejected — is highlighted because most students assume rejection is the only outcome.

EXAM QUESTION

An applicant with a history of controlled diabetes applies for life insurance. The insurer approves the policy at a higher premium. This applicant is classified as: Answer: Substandard risk — approved but at a higher premium to reflect the elevated risk.

Watch out: Substandard does NOT mean declined. The insurer has four options: issue standard, issue rated (higher premium), issue with exclusion rider, or decline. Decline is just one option.

31. Adverse Selection

VISUAL

Picture SICK PEOPLE RUSHING to the insurance store before they collapse. Healthy people stay home — they don't feel urgency. Result: the risk pool fills up with HIGH-RISK people only. "Adverse = BAD selection. The BAD risks select themselves into the pool." Solution: underwriting.

WHY IT WORKS

The rushing-sick-person image is vivid and slightly exaggerated — which is exactly what makes it stick. The visual explains why underwriting must exist: without it, only sick people would buy insurance, making it unaffordable for everyone.

EXAM QUESTION

An insurance company eliminates its underwriting process and accepts all applicants at the same premium. What is the most likely result? Answer: Adverse selection — higher-risk individuals will disproportionately buy coverage, increasing claims and making the pool unaffordable.

32. Medical Information Bureau (MIB)

ANALOGY

MIB = CREDIT BUREAU for insurance health history. Just as a bank checks your credit score before a loan, an insurer checks the MIB before issuing a policy. "MIB: Medical Intelligence Bureau — the insurer's background check." Key rights: applicants must be told MIB may be checked. They have the right to see and correct their file.

WHY IT WORKS

The credit bureau analogy is universally understood and maps perfectly — coded information from past applications, shared among member companies, used for risk assessment. The consumer rights aspect (notification + correction right) is the most commonly tested MIB fact.

EXAM QUESTION

Which organization maintains coded health information from previous insurance applications to help detect fraud and inconsistencies? Answer: The Medical Information Bureau (MIB) — shared among member insurers to flag anomalies.

Note: MIB records contain only coded FLAGS from previous insurance applications — not full medical records or doctor notes.

Watch out: Applicants must be notified that MIB may be checked. They also have the legal right to request and correct their MIB report if inaccurate.

33. APS and Paramedical Exam — Who Pays?

RHYME

"If the INSURER requests it, the INSURER pays for it." Attending Physician Statement (APS) = ordered by insurer = insurer pays Paramedical exam = ordered by insurer = insurer pays Applicant-requested records = applicant pays "Whoever ORDERS the exam PAYS for the exam."

WHY IT WORKS

The simple rhyme eliminates all ambiguity. Students consistently guess wrong, assuming the applicant pays since it's their own health information. The principle — whoever orders pays — creates a clean logical rule.

EXAM QUESTION

During underwriting, the insurance company orders an Attending Physician Statement from the applicant's doctor. Who pays for this report? Answer: The insurance company — they requested it, so they are responsible for the cost.

34. Net Premium vs. Gross Premium

ANALOGY

NET PREMIUM = INGREDIENT COST of a pizza (just mortality tables + investment assumptions)
GROSS PREMIUM = MENU PRICE of the pizza (ingredients + labor + overhead + profit margin) "Net = naked cost. Gross = full price at the register." Gross is ALWAYS larger than net. Gross = what the customer actually pays.

WHY IT WORKS

The pizza analogy maps perfectly: ingredient cost = the pure actuarial calculation; menu price = everything added on top (expenses, profit, contingencies). Students never forget which is larger after this single image.

EXAM QUESTION

The premium that includes mortality assumptions, investment returns, AND company expenses is called the: Answer: Gross premium — also called the office premium — which includes the net premium plus the loading charge for expenses.

Watch out: The NET premium never includes expenses. The GROSS premium always does. The exam tests both definitions and the relationship between them.

35. Premium Mode and Total Annual Cost

NUMBER

Annual = CHEAPEST total annual cost (one payment, insurer gets money upfront) **Semiannual = slightly more than annual** **Quarterly = more expensive still** **Monthly = MOST EXPENSIVE** total annual cost "Pay once, pay LEAST. Pay often, pay MOST." Rule: more frequent = higher total per year due to administrative costs.

WHY IT WORKS

The pay-once/pay-most rhyme creates a simple inverse relationship: frequency and cost move in the same direction. This is the exam trap — students intuitively expect monthly to be cheapest because each payment is small. The total annual cost is what matters.

EXAM QUESTION

Which premium payment mode results in the HIGHEST total annual cost for the policyholder? Answer: Monthly — the most frequent payment mode carries the highest total annual cost due to multiple administrative transactions.

Watch out: Don't confuse the SIZE of each payment with the TOTAL annual cost. Monthly payments are small individually but add up to the most per year.

36. Accidental Death Benefit (ADB) — Double Indemnity

VISUAL

Picture a scale with '1x' on one side and '2x' on the other. Natural death → 1x face amount (normal payout) Accidental death → 2x face amount (scale tips to DOUBLE) "ADB = Double Down. Accident = the insurer doubles the payout." Nickname: DOUBLE INDEMNITY (both terms appear on the exam)

WHY IT WORKS

The scale image with 1x and 2x makes the multiplier concrete. 'Double Down' reinforces the 2x multiplier with a phrase most people already know from poker or common usage. The 'double indemnity' nickname must be linked to ADB for the exam.

EXAM QUESTION

A life insurance policy has an accidental death benefit rider and a \$100,000 face amount. The insured dies in a car accident. The beneficiary receives: Answer: \$200,000 — the face amount doubled because death resulted directly from an accidental cause.

Note: ADB only pays if death is a DIRECT result of accidental means, typically within 90 days of the accident. Indirect or disease-related deaths do not trigger ADB.

Watch out: ADB does not double ALL deaths — only accidental ones. Illness, suicide, and other causes receive only the standard face amount.

37. Participating Policy Dividends

ANALOGY

PAR policy = Member of a FOOD COOPERATIVE (you share in profits = receive dividends at year end) NON-PAR policy = Customer at a REGULAR GROCERY STORE (no profit sharing — just pay and leave) "PAR = PARTicipate in profits." Key exam fact: Dividends are NOT guaranteed — they are a return of excess premium and are NOT taxable.

WHY IT WORKS

The cooperative vs. regular store analogy explains the ownership and profit-sharing difference in one image. The critical exam trap is on the tax treatment — dividends from life insurance are NOT taxable because they are a return of your own overpaid premium.

EXAM QUESTION

Dividends paid on a participating life insurance policy are best described as: Answer: A non-taxable return of excess premium — not guaranteed, issued by participating (typically mutual) companies.

Watch out: Life insurance policy dividends = tax-free return of YOUR overpaid premiums. NOT the same as corporate stock dividends, which ARE taxable. This distinction is frequently tested.

38. Policy Loan Rules

RHYME

"Borrow from a life policy, TAX-FREE — no questions asked. But die with the loan unpaid, and the death benefit gets SLASHED." Key rules: **1. Policy loans are NOT taxable income (not a distribution)**
2. No repayment schedule or credit check required **3. Outstanding loan + interest reduces the death benefit dollar-for-dollar**

WHY IT WORKS

The rhyme captures the two most-tested policy loan facts in one couplet. The word 'slashed' is strong and memorable — it anchors the death benefit reduction consequence that students most often forget on exam questions.

EXAM QUESTION

A policyholder borrows \$10,000 from his whole life policy's cash value and never repays it. He then dies. What happens to the death benefit? Answer: The death benefit is reduced by \$10,000 (plus accumulated interest on the outstanding loan).

Watch out: Policy loans are not free money — they reduce the death benefit. Additionally, if the loan exceeds the cash value, the policy can lapse, causing a potentially taxable event.

39. Twisting vs. Churning

CONTRAST

TWISTING = Convincing a client to replace a policy at a **DIFFERENT** company (new commission)
CHURNING = Convincing a client to replace a policy at the **SAME** company (new commission)
 "Twisting = **TORNADO** (blows you to a different company) Churning = **BUTTER CHURN** (same container, goes round and round in place)" Both are **ILLEGAL**. Both benefit the **AGENT**, not the client.

WHY IT WORKS

The tornado vs. butter churn images create vivid spatial associations: a tornado throws you to a new location (different company); churning spins in place (same company). The shared motivation — agent's new commission — is the ethical core of both violations.

EXAM QUESTION

An agent convinces a client to cancel her policy with Company A and buy a nearly identical policy from Company B, exaggerating Company A's weaknesses. This is: Answer: Twisting — replacing a policy at a different company using misleading comparisons.

Watch out: If the **SAME** company is involved, it's **CHURNING**. If a **DIFFERENT** company is involved, it's **TWISTING**. The exam will present both scenarios — know the company distinction.

40. Rebating — Both Parties Are Liable

RHYME

"Give it or take it — BOTH are guilty." Agent offers a rebate → **ILLEGAL** for the **AGENT** Client **ACCEPTS** a rebate → **ALSO ILLEGAL** for the **CLIENT** A rebate = any valuable inducement: cash, gifts, special services, premium discount "Two to rebate, two to violate."

WHY IT WORKS

The 'both guilty' rhyme extends liability in both directions simultaneously. Students almost universally think only the agent is liable — the exam specifically tests whether the **CLIENT** accepting the rebate is also in violation. They are.

EXAM QUESTION

An agent offers to share half her commission with a client as an inducement to buy a policy. The client agrees. Which statement is true? Answer: Both the agent **AND** the client have violated insurance law — giving **AND** receiving a rebate are both illegal in most states.

Note: A few states (Florida, California) allow certain forms of rebating under specific rules. Know your state — but the default exam answer is: rebating is illegal for both parties.

Watch out: A rebate doesn't have to be cash. Any item of value given to induce a sale — a gift, a dinner, a discount — can constitute an illegal rebate.

41. Three Types of Agent Authority

ACRONYM

E-I-A: Express, Implied, Apparent **EXPRESS** = Written in the contract (explicitly stated, most clear-cut) **IMPLIED** = Not written but logically necessary to do the job (using the company copier) **APPARENT** = How it **APPEARS** to outsiders — even if not truly authorized "EIA: Explicit, Invisible, Apparent" Apparent authority protects innocent third parties who reasonably relied on the appearance.

WHY IT WORKS

The EIA acronym moves from most concrete to least concrete. Apparent authority is the hardest concept because it protects people based on perception, not fact. The exam loves scenario questions about apparent authority — if the insurer created the appearance of authority, they are bound by it.

EXAM QUESTION

An insurer allows an agent to use its office, letterhead, and logo for years without formal authorization. A client signs a contract relying on this representation. What type of authority applies? Answer: Apparent authority — the insurer created the appearance of authority through its conduct and is bound by it.

Watch out: Apparent authority protects the **INNOCENT THIRD PARTY** who relied on appearances. If the insurer allowed an agent to act like they had authority, the insurer cannot later deny the agent's actions.

42. Suitability — FANG Framework

ACRONYM

FANG: the four factors that determine a suitable product recommendation **F** — Financial situation (income, assets, liquidity needs, net worth) **A** — Age (retirement timeline, health, life stage) **N** — Needs (what specific problem is this product solving?) **G** — Goals (short-term vs. long-term? income? death protection? accumulation?) "Check the FANG before recommending — unsuitable products **BITE** back."

WHY IT WORKS

FANG is a memorable word with a built-in cautionary meaning — unsuitable products are dangerous, they bite. Each letter maps cleanly to a core suitability factor that regulators, the NAIC, and the exam all emphasize. Documentation of suitability analysis is increasingly required.

EXAM QUESTION

Before recommending a 10-year deferred annuity to a 79-year-old client with limited liquid savings, an agent should primarily consider: Answer: Suitability — specifically the client's age, liquidity needs, and financial goals. A long-term illiquid product may not be suitable for an elderly client with limited accessible funds.

Note: Suitability requirements are **ESPECIALLY** important for annuity sales. Many states have adopted the NAIC Suitability in Annuity Transactions Model Regulation, requiring agents to document their analysis.

Watch out: Recommending a product because it pays the highest commission, not because it fits the client's needs, is a suitability violation and can result in license revocation.

43. HIPAA — Two Functions

ACRONYM

HIPAA does TWO things: P + P PRIVACY: Protects your health information from unauthorized disclosure PORTABILITY: Guarantees you can 'port' (keep) health coverage when changing jobs
"HIPAA = Health Insurance Privacy And Accountability Act" Visual: A HIPPO in a PRIVATE pool, PORTING from job to job.

WHY IT WORKS

The double-P structure simplifies HIPAA into its two exam-relevant functions. The hippo visual is deliberately ridiculous — ridiculous = memorable. A hippo in a private pool, moving from job to job, encodes both PRIVACY and PORTABILITY in one absurd image.

EXAM QUESTION

An employee switches jobs and wants her new plan to credit her previous coverage toward any pre-existing condition waiting period. Which law protects her? Answer: HIPAA — its portability provisions limit pre-existing condition exclusions and guarantee creditable coverage rights when changing group health plans.

Note: HIPAA portability requires the prior insurer to issue a 'Certificate of Creditable Coverage' so the new plan can credit prior coverage toward any waiting period.

Watch out: HIPAA's privacy rules apply to 'covered entities' — insurers, healthcare providers, and clearinghouses. Violations carry substantial civil and criminal penalties.

44. ERISA — Federal Preemption

ANALOGY

ERISA = The FEDERAL REFEREE for employer benefit plans. ERISA sets minimum standards for retirement and health benefit plans. Key power: ERISA PREEMPTS (overrides) state insurance laws for SELF-FUNDED employer plans. "ERISA = Employer's Rules In Superseding All (state laws)"
Self-funded plans are exempt from state insurance regulation.

WHY IT WORKS

The 'federal referee' analogy makes ERISA's preemption power intuitive — when the federal ref steps onto the field, state rules step aside. The preemption rule for self-funded plans is the most consistently tested ERISA concept on state insurance exams.

EXAM QUESTION

A large corporation self-funds its employee health benefit plan. The state enacts a new insurance regulation. Does this regulation apply to the employer's self-funded plan? Answer: No — ERISA preempts state insurance laws for self-funded employer health plans. The state regulation does not apply.

Watch out: ERISA preemption applies to SELF-FUNDED plans only. Fully insured group health plans (where the employer buys a group policy from an insurer) ARE subject to state insurance regulation.

45. Express vs. Implied vs. Apparent Authority — Quick Contrast

CONTRAST

EXPRESS = The agent's **CONTRACT** says they can do it. (Written permission.) **IMPLIED** = Common sense says they need to do it to function. (No one writes 'you may use a pen.') **APPARENT** = The public **REASONABLY BELIEVES** they have authority based on how the insurer presents the agent. "Written → Assumed → Perceived" All three bind the insurer. Only apparent authority can bind **WITHOUT** actual permission.

WHY IT WORKS

The three-step sequence (written → assumed → perceived) creates a clean progression from most explicit to most implicit. Apparent authority is the most counterintuitive — it binds the insurer even when no actual authority was granted — so it generates the most exam questions.

EXAM QUESTION

An agent without binding authority accepts a premium payment from a client and issues a receipt on company letterhead. The insurer has allowed this practice for years. If a claim arises before the policy is approved, the insurer is likely: Answer: Bound by apparent authority — the insurer's long-standing practice created a reasonable appearance of authority to accept premiums and bind coverage.

Watch out: If an insurer lets an agent **LOOK** authorized, they cannot deny coverage to an innocent third party who relied on that appearance. Apparent authority is the insurer's consequence for sloppy supervision.

Master Quick-Reference: All 45 Memory Tricks

Use this table for rapid review in the 48 hours before your exam. Cover the Mnemonic column and try to recall each trick from the Concept alone.

#	CONCEPT	TYPE	CORE MNEMONIC
1	Pure Risk vs. Speculative Risk	CONTRAST	Pure = PAIN only = INSURABLE. Speculative = WIN or LOSE = NOT insurable.
2	Law of Large Numbers	ANALOGY	Flip coin 10x = unpredictable. 10,000x = nearly 50/50. More people = predictable losses.
3	Insurable Interest — When?	RHYME	Life: interest at INCEPTION. Property: interest at LOSS. 'Life at the START.'
4	Aleatory Contract	VISUAL	Picture a LOTTERY TICKET. Unequal exchange based on chance.
5	Misrepresentation vs. Concealment	CONTRAST	Rep = Wrong WORDS (false statement). Conceal = NO words (hiding a truth).
6	Stock vs. Mutual Companies	CONTRAST	STOCK = shareholders own it. MUTUAL = policyholders own it and may get dividends.
7	Subrogation	STORY	Insurer SUBSTITUTES into your shoes to sue the wrongdoer. No double recovery.
8	Term vs. Permanent Life	ANALOGY	Term = RENTING (no equity). Permanent = BUYING (builds equity/cash value).
9	Whole Life — 3 Guarantees	NUMBER	3 Ds: Death benefit, Dollar-level premium, Dollars grow in cash value.
10	Universal Life Flexibility	ANALOGY	UL = Universal remote. Adjust premiums (F) and death benefit (A) freely.
11	Variable Life — Risk Bearer	VISUAL	SEESAW: insurer bears risk (fixed) vs. policyholder bears risk (variable).
12	MEC / 7-Pay Test	STORY	Too much cash too fast = IRS stamps MEC. Loans/withdrawals taxed gains-first.
13	1035 Exchange	RHYME	'1035: Keep it alive, swap without tax jive.' Life→Annuity YES. Annuity→Life NO.
14	Immediate vs. Deferred Annuity	CONTRAST	Immediate = income NOW (single premium). Deferred = income NOT YET (save first).
15	Annuity Phases	ANALOGY	SNOWBALL: push UP hill (accumulate) → rolls DOWN hill (annuitize/receive income).
16	HMO vs. PPO vs. POS	ACRONYM	HMO = Home base (gatekeeper). PPO = Portable (no referral). POS = Switch point (hybrid).
17	Cost-Sharing Staircase	NUMBER	D-C-O: Deductible → Coinsurance → Out-of-pocket max. Always in that order.
18	Copay vs. Coinsurance	CONTRAST	Copay = flat fee (same every visit). Coinsurance = percentage split (varies with bill).
19	Elimination Period	ANALOGY	Deductible in TIME. Longer wait = lower premium. You self-insure the gap.
20	Own-Occ vs. Any-Occ Disability	STORY	Surgeon loses fingers: Own-occ = DISABLED. Any-occ = 'Can you teach?' NOT disabled.
21	LTC — 6 ADLs	ACRONYM	B-D-E-T-T-C: 'Big Dogs Eat Tasty Tender Chunks.' Trigger = 2 of 6 OR cognitive impairment.
22	Medicare Parts A-D	ACRONYM	A = Admit (hospital). B = Basic (doctor/outpatient). C = Choice (Advantage). D = Drugs.
23	COBRA Key Numbers	NUMBER	18 months (job loss). 29 months (disability). 36 months (other events). 102% premium max.
24	Grace Period Time Frames	NUMBER	7-10-31: Weekly=7, Monthly=10, All others=31. Coverage CONTINUES during grace period.
25	Incontestability Clause	STORY	Detective closes case after 2 years. Policy becomes bulletproof (with exceptions).
26	Non-Forfeiture Options	ACRONYM	C-R-E: Cash surrender, Reduced paid-up (permanent/smaller), Extended term (same/term).
27	Settlement Options	ACRONYM	L-I-F-F-L: Lump sum, Interest only, Fixed period, Fixed amount, Life income.
28	Waiver of Premium Rider	VISUAL	Robot waters the plant (policy) while you're disabled. Coverage stays fully alive.
29	Suicide Clause	NUMBER	2-year exclusion → premiums returned only. After 2 years → full death benefit paid.
30	Three Risk Classifications	CONTRAST	Preferred < Standard < Substandard. All can receive coverage; substandard = not declined.
31	Adverse Selection	VISUAL	Sick people rush the store. Healthy stay home. Pool fills with high-risk. Solution = underwriting.

32	Medical Information Bureau	ANALOGY	MIB = credit bureau for insurance health history. Applicant has right to correct their file.
33	APS / Paramedical — Who Pays?	RHYME	'If the INSURER requests it, the INSURER pays for it.' Always.
34	Net vs. Gross Premium	ANALOGY	Net = ingredient cost (actuarial only). Gross = menu price (ingredients + all expenses).
35	Premium Mode and Cost	NUMBER	Annual = cheapest. Monthly = most expensive. Pay often = pay MORE in total per year.
36	Accidental Death Benefit	VISUAL	Scale tips to 2x. Natural death = 1x. Accident = Double Down (2x = Double Indemnity).
37	Participating Policy Dividends	ANALOGY	PAR = cooperative member (profit share, not taxable). Non-PAR = regular customer (no share).
38	Policy Loan Tax Rules	RHYME	Borrow tax-free. Die with loan unpaid → death benefit slashed dollar-for-dollar.
39	Twisting vs. Churning	CONTRAST	Twisting = Tornado (different company). Churning = Butter churn (same company).
40	Rebating — Both Parties Liable	RHYME	'Give it or take it — both are guilty.' Agent AND client violate the law.
41	Three Types of Agent Authority	ACRONYM	E-I-A: Express (written), Implied (assumed), Apparent (how it looks to outsiders).
42	Suitability Factors	ACRONYM	FANG: Financial situation, Age, Needs, Goals. Always check before recommending.
43	HIPAA — Two Functions	ACRONYM	P+P: Privacy (health info) + Portability (keep coverage between jobs). Hippo in private pool.
44	ERISA — Federal Preemption	ANALOGY	Federal referee overrides state rules for self-funded employer plans.
45	Express vs. Implied vs. Apparent	CONTRAST	Written (express) → Assumed (implied) → Perceived (apparent). All three bind the insurer.

Last-minute exam tip: Take 90 seconds at the start of your exam to write down your top mnemonics on scratch paper — ADLs (B-D-E-T-T-C), Medicare parts (A-B-C-D), grace periods (7-10-31), COBRA numbers (18-29-36-102), and non-forfeiture options (C-R-E). Having them written removes the retrieval burden so you can focus on applying them.

Top 25 Exam Concepts You Must Master

Ranked by exam frequency · 9 components per concept · Trap answers exposed · Pass on your first attempt

25	9	25+	★
Ranked Concepts	Sections / Concept	Trap Answers	First-Attempt Focus

Exam Priority Ratings

CRITICAL	Appears on virtually every state exam. Must know cold.
HIGH PRIORITY	Appears frequently. A common source of wrong answers.
MODERATE	Tested regularly. Often tested in combination with other concepts.

How to use this guide: Work through concepts in rank order. Pay extra attention to the Trap Answers — they represent the exact wrong answer the exam is designed to make you choose. Read the Practice Question before the answer, and use the Memory Shortcut to anchor the concept before test day.

Concept Priority Index

All 25 concepts ranked from most to least exam-critical.

#	CONCEPT TITLE	RATING	CATEGORY
#01	Cost-Sharing: Deductible, Copay & Coinsurance	CRITICAL	Health Insurance
#02	HMO vs. PPO vs. POS vs. EPO	CRITICAL	Health Insurance
#03	Grace Period — Three Time Frames	CRITICAL	Policy Provisions
#04	Incontestability Clause — The 2-Year Rule	CRITICAL	Policy Provisions
#05	Non-Forfeiture Options	CRITICAL	Life Insurance
#06	Insurable Interest — When Required	CRITICAL	Fundamentals
#07	Twisting vs. Churning	CRITICAL	Ethics & Law
#08	Term Life vs. Whole Life vs. Universal Life	CRITICAL	Life Insurance
#09	Own-Occ vs. Any-Occ Disability	CRITICAL	Health Insurance
#10	Medicare Parts A, B, C & D	CRITICAL	Government Programs
#11	Revocable vs. Irrevocable Beneficiary	HIGH PRIORITY	Policy Provisions
#12	Preferred vs. Standard vs. Substandard Risk	HIGH PRIORITY	Underwriting
#13	Concealment vs. Misrepresentation vs. Fraud	HIGH PRIORITY	Fundamentals
#14	Immediate vs. Deferred Annuity	HIGH PRIORITY	Life Insurance
#15	Agent vs. Broker Authority	HIGH PRIORITY	Ethics & Law
#16	Pure Risk vs. Speculative Risk	HIGH PRIORITY	Fundamentals
#17	1035 Exchange — Allowed vs. Prohibited	HIGH PRIORITY	Life Insurance
#18	COBRA Continuation Coverage	HIGH PRIORITY	Health Insurance
#19	Waiver of Premium vs. Disability Income	HIGH PRIORITY	Policy Provisions
#20	ADLs & Long-Term Care Triggers	HIGH PRIORITY	Health Insurance
#21	Modified Endowment Contract (MEC)	MODERATE	Life Insurance
#22	Rebating — Who Is Liable	MODERATE	Ethics & Law
#23	Settlement Options — All Five	MODERATE	Life Insurance
#24	ACA Metal Tiers & Essential Benefits	MODERATE	Health Insurance
#25	Stock vs. Mutual Insurance Company	MODERATE	Fundamentals

#01 Cost-Sharing: Deductible, Copay & Coinsurance

CRITICAL

WHY IT'S TESTED

This concept is the backbone of nearly every health insurance scenario question. Exam writers build calculation traps around students who confuse the order of cost-sharing or mix up copay with coinsurance. Expect 5–10 questions on this concept across any state exam.

SIMPLE EXPLANATION

When you have a health insurance claim, you pay costs in a specific ORDER — like climbing a staircase. Step 1: you pay the full deductible (your annual threshold). Step 2: once the deductible is met, you and the insurer split costs as a percentage — that's coinsurance (e.g., 80/20 means insurer pays 80%, you pay 20%). Step 3: once you hit your out-of-pocket maximum, the insurer pays 100%. A copay is different — it's a flat fee you pay per visit (\$30 each time) and doesn't affect the deductible.

Common Mistakes:

1. Applying coinsurance BEFORE the deductible is met.
2. Assuming copays count toward the deductible — they typically don't.
3. Confusing 'out-of-pocket max' with 'deductible.'
4. Forgetting the insurer pays 100% once the OOP max is hit.

Trap Answers:

'The patient pays 20% of all medical bills' — TRAP: this ignores the deductible phase. 'Copays count toward meeting the deductible' — TRAP: this is usually FALSE. 'After the deductible, the patient owes nothing' — TRAP: coinsurance still applies until OOP max.

Fast Memory Shortcut: The D-C-O STAIRCASE: Deductible first → then Coinsurance split → then Out-of-pocket ceiling. Climb all three steps before the insurer pays everything. Copay = flat fee, stands alone.

PRACTICE QUESTION

A patient has a \$1,000 deductible, 80/20 coinsurance, and a \$4,500 out-of-pocket maximum. She has met \$0 of her deductible and receives a \$2,000 bill. How much does she owe? A) \$200 B) \$1,000 C) \$1,200 D) \$2,000

ANSWER & EXPLANATION

C — \$1,200. She first pays the \$1,000 deductible in full. The remaining \$1,000 is then split 80/20: she pays 20% = \$200. Total: \$1,000 + \$200 = \$1,200. Trap answer A (\$200) ignores the deductible step entirely.

#02 HMO vs. PPO vs. POS vs. EPO

CRITICAL

WHY IT'S TESTED

Managed care plan comparisons appear on every state exam. Questions test referral requirements, out-of-network coverage, PCP requirements, and premium differences. The exam uses scenario-based questions to force you to identify the correct plan type.

SIMPLE EXPLANATION

HMO (Health Maintenance Organization): You must pick a Primary Care Physician (PCP) who refers you to specialists. You MUST stay in-network (no out-of-network coverage except emergencies). Lowest premiums, most restrictions. PPO (Preferred Provider Organization): No PCP required. No referrals needed. You CAN go out-of-network — just pay more. Most flexible, higher premiums. POS (Point of Service): Hybrid. You have a PCP and need referrals for in-network benefits. You CAN go out-of-network but pay significantly more. EPO (Exclusive Provider Organization): Like a PPO — no referrals needed — but like an HMO — no out-of-network coverage at all.

Common Mistakes:

1. Thinking POS plans have no out-of-network option — they do.
2. Confusing EPO with HMO — EPO has no referral requirement.
3. Assuming all plans require a PCP.
4. Forgetting that HMO is the most restrictive and has the lowest premiums.

Trap Answers:

'A PPO requires a referral to see a specialist' — TRAP: that's HMO, not PPO. 'A POS plan never covers out-of-network services' — TRAP: it does, just at a higher cost. 'An EPO requires a referral to see a specialist' — TRAP: EPO is no-referral.

Fast Memory Shortcut: H-P-P-E Restrictiveness Scale: HMO (most restricted, cheapest) → POS (hybrid) → PPO (flexible) → EPO (exclusive but no referral). Referral needed: HMO (yes) and POS (in-network yes). Gatekeeper = HMO only.

PRACTICE QUESTION

A patient visits a specialist without a referral and without going through her primary care physician. Her plan covers this visit but at a higher cost-sharing rate. Which plan does she most likely have? A) HMO B) PPO C) POS D) EPO

ANSWER & EXPLANATION

C — POS (Point of Service). In a POS plan, you can self-refer out of network but pay more. An HMO would not cover this at all. A PPO requires no referral and would cover it at in-network rates. A POS matches: you CAN go without referral, but you'll pay a premium for it.

#03 Grace Period — Three Time Frames

CRITICAL

WHY IT'S TESTED

Grace period questions appear on every state exam with exact time frame scenarios. The exam tests all three modes and whether coverage continues or lapses during the grace period — including what happens if the insured dies during this window.

SIMPLE EXPLANATION

A grace period is extra time after a missed premium payment — the policy stays ACTIVE during this time. The length depends on how often you pay (the 'mode'): If you pay WEEKLY: 7-day grace period. If you pay MONTHLY: 10-day grace period. If you pay any OTHER mode (quarterly, semiannual, annual): 31-day grace period. If the insured dies during the grace period, the death benefit IS still paid — minus the overdue premium.

Common Mistakes:

1. Assuming the policy lapses the moment a payment is missed — it doesn't. 2. Confusing grace period with reinstatement (reinstatement is AFTER a lapse). 3. Forgetting the 31-day rule for all non-weekly, non-monthly modes. 4. Thinking no benefit is paid if death occurs during the grace period.

Trap Answers:

'The policy lapses on the day a premium is missed' — TRAP: the grace period begins. 'A quarterly policyholder gets a 10-day grace period' — TRAP: quarterly = 31 days, not 10. 'If the insured dies during the grace period, no benefit is paid' — TRAP: full benefit is paid minus the overdue premium.

Fast Memory Shortcut: 7-10-31: Weekly = 7 (days in a week), Monthly = 10 (a ten-day buffer), Everything else = 31 (a full month's grace). Coverage LIVES on during the grace period.

PRACTICE QUESTION

A policyholder who pays premiums quarterly misses his payment. He dies 25 days later. What does the insurer pay? A) Nothing — policy lapsed B) Full death benefit with no deductions C) Full death benefit minus the overdue premium D) Return of premiums only

ANSWER & EXPLANATION

C — Full death benefit minus the overdue premium. Quarterly premiums fall under 'all other modes' with a 31-day grace period. Day 25 is still within the grace period, so the policy is in force. The insurer pays the full benefit but deducts the unpaid premium. Trap answer A is wrong because the 31-day grace period has not expired.

#04 Incontestability Clause — The 2-Year Rule

CRITICAL

WHY IT'S TESTED

This provision generates some of the most challenging exam questions because it appears alongside fraud, misrepresentation, and misstatement of age scenarios. The exam tests the 2-year window, what survives the clause (non-payment, impersonation), and how it interacts with misstatement of age (which adjusts — not voids — the benefit).

SIMPLE EXPLANATION

After a life insurance policy has been in force for 2 years, the insurance company can no longer challenge or void it based on misstatements or errors in the original application — even if there was fraud. After 2 years, the policy is locked in. However, three things are still allowed after 2 years: (1) the insurer can still deny a claim for non-payment of premiums, (2) cases of impersonation during the medical exam, and (3) the suicide exclusion during its defined period. Importantly, a misstatement of age NEVER voids the policy — the benefit is simply recalculated.

Common Mistakes:

1. Assuming the clause protects ALL fraud forever — impersonation fraud is never protected. 2. Confusing 'policy voided' with 'benefit adjusted' for misstatement of age — misstatement of age ADJUSTS, never voids. 3. Forgetting that non-payment is always a valid defense for the insurer, even after 2 years.

Trap Answers:

'After 2 years, the insurer can never deny a claim for any reason' — TRAP: non-payment is always valid. 'A misstatement of age voids the policy' — TRAP: it adjusts the benefit, never voids. 'The incontestability clause protects the insured from day one' — TRAP: it only applies after 2 years.

Fast Memory Shortcut: 2-Year Lock: After 2 years, the insurer's investigation window CLOSES. Exceptions: No-pay (non-payment), No-show (impersonation fraud), and Suicide clause. Age mistake = Adjust, NEVER void.

PRACTICE QUESTION

An insured stated she was a non-smoker on her life insurance application but had been smoking for 10 years. She dies 3 years after the policy was issued. The insurer discovers the misstatement. What happens?
A) The policy is voided; no benefit is paid B) The benefit is paid in full with no adjustment C) The benefit is adjusted to what the premium would have purchased for a smoker D) The insurer may contest and deny the claim

ANSWER & EXPLANATION

C — The benefit is adjusted. After 2 years, the incontestability clause prevents voiding the policy. However, the misstatement of age/classification provision allows the insurer to adjust the benefit to what the premium would have purchased at the correct risk classification (smoker rate). The policy is not voided, and the insurer cannot completely deny the claim.

#05 Non-Forfeiture Options

CRITICAL

WHY IT'S TESTED

Non-forfeiture options are tested in scenario format where students must identify the correct option based on the policyholder's specific goal. The exam tests all three options and which one is the default. Reduced Paid-Up and Extended Term are the most commonly confused pair on all state exams.

SIMPLE EXPLANATION

When a permanent life insurance policyholder stops paying premiums, they don't lose everything — that would be 'forfeiture.' The three non-forfeiture options let them keep some value: (1) Cash Surrender: Take the cash value in a lump sum and walk away. Policy ends. Taxable on any gains above premiums paid. (2) Reduced Paid-Up: The cash value buys a SMALLER whole life policy — same type, smaller death benefit, ZERO future premiums ever. (3) Extended Term: The cash value buys term insurance for the ORIGINAL face amount for as long as the cash value will last. Same death benefit, but only temporary. Extended Term is the DEFAULT option if the policyholder does not choose.

Common Mistakes:

1. Reversing Reduced Paid-Up and Extended Term — the most common exam error. 2. Assuming cash surrender is tax-free — only amounts up to the basis (total premiums paid) are tax-free. 3. Forgetting that Extended Term is the default, not Reduced Paid-Up.

Trap Answers:

'Reduced paid-up keeps the same death benefit' — TRAP: that's Extended Term. 'Extended term is permanent coverage' — TRAP: Extended Term is term (temporary) coverage. 'Non-forfeiture options require the policyowner to pay additional premiums' — TRAP: all three eliminate future premium requirements.

Fast Memory Shortcut: CRE: Cash (walk away with money), Reduced (smaller permanent policy, zero premiums), Extended (same death benefit as term, limited time). Extended = DEFAULT. Reduced = PERMANENT but smaller. Extended = SAME amount but temporary.

PRACTICE QUESTION

A whole life policyholder stops paying premiums. He wants to maintain the original death benefit amount but doesn't need lifelong coverage. He makes no election. Which non-forfeiture option automatically applies? A) Cash Surrender B) Reduced Paid-Up C) Extended Term D) Waiver of Premium

ANSWER & EXPLANATION

C — Extended Term. This is the DEFAULT non-forfeiture option. It maintains the original face amount as term insurance for as long as the cash value will sustain it. Reduced Paid-Up (B) is permanent coverage but at a reduced face amount — that's the trap. Cash Surrender ends the policy. Waiver of Premium is a rider, not a non-forfeiture option.

#06 Insurable Interest — When Required

CRITICAL

WHY IT'S TESTED

This concept generates one of the single most frequently missed questions on state licensing exams. The exam specifically tests the timing difference between life insurance (inception) and property insurance (time of loss). Nearly every exam presents a scenario designed to exploit this confusion.

SIMPLE EXPLANATION

Insurable interest means you must have a financial stake in what you're insuring — you would suffer a financial loss if the covered event happened. For LIFE INSURANCE: insurable interest must exist at the TIME THE POLICY IS ISSUED (inception). It does NOT need to exist at the time of the claim. For PROPERTY/CASUALTY INSURANCE: insurable interest must exist at the TIME OF THE LOSS. This distinction is critical. Example: If you take out a life policy on your business partner and later dissolve the partnership, the policy remains valid — insurable interest only needed to exist when the policy was issued.

Common Mistakes:

1. Applying the property rule (time of loss) to life insurance — the most common error. 2. Assuming insurable interest must exist at BOTH inception AND death for life insurance. 3. Forgetting that spouses, parents, and business partners all have automatic insurable interest.

Trap Answers:

'A life insurance policy is void if insurable interest ends after issue' — TRAP: for life insurance, interest only needs to exist at inception. 'A business partner cannot insure the life of a partner after the partnership ends' — TRAP: if the policy existed during the partnership, it remains valid. 'Insurable interest is required at the time of the claim for life insurance' — TRAP: this is the property rule, not the life rule.

Fast Memory Shortcut: Life = LOCKED IN at inception. Property = present at LOSS. 'Life at the START, Property at the HEART of the claim.' Once a valid life policy is issued, it stays valid.

PRACTICE QUESTION

Sarah and Tom are business partners. Sarah insures Tom's life under a key person life insurance policy. Two years later, they dissolve the partnership and Tom is no longer connected to the business. Tom dies the following year. Is the claim payable? A) No — insurable interest no longer exists B) Yes — insurable interest existed at policy inception C) No — key person insurance requires the insured to remain employed D) Yes — but only the return of premiums is paid

ANSWER & EXPLANATION

B — Yes. For life insurance, insurable interest only needs to exist when the policy is ISSUED, not at the time of death. Since Sarah had a valid insurable interest in Tom's life when the key person policy was issued, the claim is fully payable even though the partnership ended.

#07 Twisting vs. Churning**CRITICAL****WHY IT'S TESTED**

Unfair trade practices — particularly twisting and churning — appear on every state exam. The exam tests the COMPANY distinction (same vs. different insurer) and whether students know that BOTH practices are illegal and motivated by the agent's desire for a new commission rather than the client's benefit.

SIMPLE EXPLANATION

Both twisting and churning involve convincing a client to unnecessarily replace an insurance policy — and both are illegal because they harm the client (new contestability period, new exclusions, higher premiums) while benefiting the agent (new commission). The ONLY difference: TWISTING = replacement at a DIFFERENT insurance company. CHURNING = replacement at the SAME insurance company (using the policy's own cash value). Both require that the agent use misleading or incomplete comparisons to convince the client.

Common Mistakes:

1. Confusing which practice involves which company (same vs. different). 2. Assuming only the agent is liable — in some states the new insurer or receiving agent is also liable. 3. Thinking twisting requires an intentional lie — misleading OR incomplete comparisons qualify. 4. Confusing twisting with replacement (replacement can be legitimate; twisting is always illegal).

Trap Answers:

'Churning involves replacing a policy with one from a different company' — TRAP: that's twisting; churning uses the SAME company. 'Replacing an insurance policy is always an example of twisting' — TRAP: legitimate replacement with full, honest disclosure is NOT twisting. 'Only the agent who initiated the replacement can be charged with twisting' — TRAP: the receiving agent and new insurer may also face liability.

Fast Memory Shortcut: TWISTING = Tornado (blows client to a DIFFERENT company). CHURNING = Butter churn (spins in SAME container/company). Both illegal. Both benefit agent, not client.

PRACTICE QUESTION

An agent convinces a client to surrender her existing whole life policy with Company A and buy a new policy with Company A, using the cash value to fund the new policy — primarily to earn a new commission. This is best described as: A) Twisting B) Churning C) Replacement D) Rebating

ANSWER & EXPLANATION

B — Churning. The same insurance company is involved. Twisting would require the replacement to be at a DIFFERENT company. Replacement itself is legal when done honestly; the deceptive motivation for commission makes this churning. Rebating involves sharing commission or giving valuable inducements, which is a separate violation.

#08 Term Life vs. Whole Life vs. Universal Life

CRITICAL**WHY IT'S TESTED**

Life insurance product comparisons are among the highest-frequency exam questions. The exam tests which product is appropriate for a given scenario, what features distinguish each type, and the guaranteed vs. non-guaranteed elements of each policy type.

SIMPLE EXPLANATION

TERM LIFE: Temporary coverage for a set period (10, 20, 30 years). Pure death protection — NO cash value. Lowest premiums. If you outlive the term, coverage ends with nothing. Best for maximum death benefit at lowest cost. **WHOLE LIFE:** Permanent coverage (your whole life). Has THREE guarantees: level premium forever, guaranteed death benefit, guaranteed growing cash value. Most expensive. **UNIVERSAL LIFE (UL):** Permanent coverage with FLEXIBILITY. Adjustable premiums (pay more, pay less) and adjustable death benefit. Cash value earns interest based on current market rates. Risk: if premiums are too low and cash value runs out, the policy lapses.

Common Mistakes:

1. Thinking UL and whole life have the same guarantees — UL premiums are NOT guaranteed level. 2. Assuming term builds any cash value — it never does. 3. Forgetting that whole life's three guarantees are ALL three simultaneously — premium, death benefit, AND cash value growth. 4. Thinking UL can never lapse — it can if the cash value is depleted.

Trap Answers:

'Whole life premiums increase as the insured ages' — TRAP: whole life premiums are LEVEL and GUARANTEED. 'Universal life has a guaranteed cash value' — TRAP: UL cash value is NOT guaranteed; it depends on interest rates and premium payments. 'Term life is best for someone who wants lifelong coverage' — TRAP: term ends; whole life is permanent.

Fast Memory Shortcut: TERM = Temporary, no equity (renting). WHOLE = 3 Guarantees (death, dollar-level premium, dollars grow). UNIVERSAL = Ultimate Flexibility (adjust both premium and death benefit). Whole life: SET. UL: FLEXIBLE. Term: TEMPORARY.

PRACTICE QUESTION

Which type of life insurance policy offers a flexible premium, an adjustable death benefit, and cash value growth tied to current interest rates? A) Term life B) Whole life C) Universal life D) Variable life

ANSWER & EXPLANATION

C — Universal Life. The flexible premium and adjustable death benefit are the defining features of UL. Whole life has level, guaranteed premiums (not flexible). Term has no cash value. Variable life ties cash value to separate investment accounts (not current interest rates, which is UL's feature). The phrase 'current interest rates' is the key distinguisher between UL and variable products.

#09

Own-Occupation vs. Any-Occupation Disability

CRITICAL

WHY IT'S TESTED

Disability income insurance definitions appear on every state exam in scenario format. The exam presents a specific person in a specific occupation and asks which definition applies or which is more favorable. Students who don't understand the real-world difference between these definitions routinely miss these questions.

SIMPLE EXPLANATION

These definitions determine when a disabled person QUALIFIES for disability income benefits. **OWN-OCCUPATION:** You are considered disabled if you cannot perform the specific duties of YOUR current occupation — even if you could do a completely different job. This is the most favorable definition for the insured. Example: A surgeon who loses a hand is disabled under own-occ even if she could teach or consult. **ANY-OCCUPATION:** You are only considered disabled if you cannot perform ANY job for which you are reasonably suited by your education, training, or experience. This is harder to qualify for. That same surgeon would NOT qualify under any-occ if she could work as a medical professor.

Common Mistakes:

1. Assuming own-occ is the standard definition for all disability policies — many group policies use any-occ after a period of time.
2. Thinking 'any occupation' means literally ANY job in existence — it means any job the person is REASONABLY QUALIFIED for.
3. Forgetting that own-occ is more expensive because it pays benefits more easily.

Trap Answers:

'Under own-occupation, benefits stop if the insured can perform any other type of work' — TRAP: own-occ only requires inability to perform YOUR OWN job. 'Any-occupation means you cannot do any job in the world to qualify' — TRAP: it means any job you are REASONABLY suited for by your background. 'Own-occupation and any-occupation cost the same premium' — TRAP: own-occ costs more because it's easier to qualify for benefits.

Fast Memory Shortcut: OWN = YOUR job. If you can't do your specific job, you're disabled — period. ANY = ANY job you're qualified for. Surgeon can teach → NOT disabled under any-occ. Own-occ = better for insured. Any-occ = better for insurer.

PRACTICE QUESTION

A dentist becomes unable to perform dental procedures due to a severe hand tremor. She is capable of working as a dental school professor. Under which disability definition would she receive income benefits?
A) Any-occupation only B) Own-occupation only C) Both own-occupation and any-occupation D) Neither — she must be totally incapable of any work

ANSWER & EXPLANATION

B — Own-occupation only. Under own-occupation, she cannot perform her specific occupation (dentistry) and qualifies for benefits regardless of her ability to do other work. Under any-occupation, she can perform a job she is reasonably qualified for (teaching), so she would NOT qualify. This exact scenario is the most tested question type for disability income definitions.

#10 Medicare Parts A, B, C & D

CRITICAL

WHY IT'S TESTED

Medicare questions appear on every Life & Health exam — typically 5–8 questions. Students are tested on what each part covers, who pays for it, enrollment rules, and the difference between Original Medicare and Medicare Advantage (Part C). Medigap supplement plans are also frequently tested alongside this concept.

SIMPLE EXPLANATION

PART A — Hospital: Covers inpatient hospital care, skilled nursing facility, hospice. Most people pay NO premium (if they worked 40+ quarters). Has a deductible per benefit period. PART B — Basic Medical: Covers outpatient doctor visits, preventive care, lab work, durable medical equipment. Requires a monthly PREMIUM. Has an annual deductible and 80/20 coinsurance. PART C — Choice (Medicare Advantage): PRIVATE insurance plans approved by Medicare. Must cover everything A and B cover, usually includes D (drugs). Replaces Original Medicare. PART D — Drugs: Prescription drug coverage. Offered through private insurers. Requires a premium. Medigap supplements cover the gaps (deductibles, coinsurance) in Parts A and B — they are NOT Part C.

Common Mistakes:

1. Confusing Medicare Advantage (Part C) with Medigap — completely different products. 2. Assuming Part A is always free — only free if you have 40+ work quarters. 3. Forgetting Part B requires a monthly premium everyone pays. 4. Thinking Medigap covers prescription drugs — Medigap plans no longer include drug coverage (must get Part D separately).

Trap Answers:

'Medicare Part C is provided directly by the federal government' — TRAP: Part C is offered by PRIVATE insurers approved by Medicare. 'Medigap is the same as Medicare Advantage' — TRAP: Medigap supplements Original Medicare; Advantage replaces it. 'Part A is free for all Medicare beneficiaries' — TRAP: only those with 40+ work quarters pay no premium.

Fast Memory Shortcut: A = Admit to hospital. B = Basic doctor (you pay B-ill/premium). C = Choice (private plans, replaces A+B). D = Drugs. Medigap = fills the GAPS in A and B. Advantage = REPLACES A and B.

PRACTICE QUESTION

A Medicare beneficiary enrolled in Original Medicare receives a large hospital bill with significant cost-sharing. She wants a private insurance policy that will help pay the deductibles and coinsurance that Medicare Part A and B do not cover. She should purchase: A) Medicare Part C B) Medicare Part D C) A Medigap supplement policy D) A Medicare Advantage plan

ANSWER & EXPLANATION

C — A Medigap supplement policy. Medigap is specifically designed to fill the cost-sharing gaps (deductibles, coinsurance) in Original Medicare Parts A and B. Medicare Part C (Advantage) and Medigap are mutually exclusive — a beneficiary enrolled in Advantage cannot also buy Medigap. Part D covers prescription drugs, not cost-sharing gaps.

#11 Revocable vs. Irrevocable Beneficiary

HIGH PRIORITY

WHY IT'S TESTED

Beneficiary designation questions appear frequently, particularly around the policyowner's ability to make policy changes. The exam tests whether the policyowner can change the beneficiary, take a policy loan, surrender the policy, or assign the policy — all of which require irrevocable beneficiary consent.

SIMPLE EXPLANATION

A REVOCABLE beneficiary can be changed at any time by the policyowner — no permission needed. This is the DEFAULT. Most policies use revocable beneficiaries unless stated otherwise. An IRREVOCABLE beneficiary CANNOT be changed without their written consent. The irrevocable beneficiary has a VESTED interest in the policy. This means the policyowner ALSO cannot: take a policy loan, surrender the policy for cash, assign the policy, or even change the payment mode — without the irrevocable beneficiary's written consent. This is a major limitation of power for the policyowner.

Common Mistakes:

1. Assuming both types require consent to change — only irrevocable requires consent. 2. Not realizing that irrevocable beneficiary consent is needed for ANY policy change, not just beneficiary changes. 3. Confusing primary and contingent beneficiaries with revocable and irrevocable distinctions.

Trap Answers:

'A policyowner with an irrevocable beneficiary can still take a policy loan without consent' — TRAP: they CANNOT — irrevocable beneficiary must consent to any policy change including loans. 'Revocable means the beneficiary cannot be changed without going to court' — TRAP: revocable means the policyowner can change it freely at any time, no court needed. 'Contingent beneficiary is the same as irrevocable beneficiary' — TRAP: these are completely different concepts.

Fast Memory Shortcut: REVOCABLE = the policyowner can REVOKE it anytime (maximum control). IRREVOCABLE = cannot REVOKE without their written consent (minimum control). Irrevocable = beneficiary holds VETO POWER over all policy changes.

PRACTICE QUESTION

A policyowner named his wife as the irrevocable beneficiary on his life insurance policy. He now wants to take out a policy loan. Which of the following is correct? A) He may take the loan without restriction since he owns the policy B) He must obtain his wife's written consent before taking the loan C) He can take the loan but must notify his wife within 30 days D) Policy loans are never permitted when an irrevocable beneficiary is named

ANSWER & EXPLANATION

B — He must obtain his wife's written consent. An irrevocable beneficiary has a vested interest in the policy, which extends to ALL policy changes — not just changes to the beneficiary designation. This includes loans, surrenders, assignments, and changes to the premium mode. The irrevocable beneficiary effectively has co-owner rights.

#12 Preferred vs. Standard vs. Substandard Risk**HIGH PRIORITY****WHY IT'S TESTED**

Risk classification questions appear across underwriting sections of every state exam. The critical points tested are: what happens to substandard applicants (they are NOT automatically declined), what options the insurer has for substandard risks, and the direction premium pricing moves with each classification.

SIMPLE EXPLANATION

Insurance companies classify applicants into risk categories before deciding whether to issue a policy and at what premium. **PREFERRED:** Below-average risk. Healthier than average. Qualifies for LOWER than standard premiums. **STANDARD:** Average risk. Average health and lifestyle. Qualifies for the regular published premium rate. **SUBSTANDARD (Impaired Risk):** Above-average risk due to health issues, hazardous occupation, or dangerous hobbies. The insurer can still issue coverage — options include: (a) charge a higher premium (table rating), (b) add an exclusion rider for the specific condition, (c) offer a modified benefit policy, or (d) decline coverage entirely. MOST substandard applicants are offered coverage — just at modified terms.

Common Mistakes:

1. Automatically assuming substandard applicants are declined — this is the most common error. 2. Thinking preferred risk is just 'approved' — it's specifically LOWER than standard premium. 3. Confusing 'rated policy' (substandard with higher premium) with 'declined.'

Trap Answers:

'An applicant with a history of controlled diabetes will be declined for life insurance' — TRAP: they will likely be classified as substandard and offered modified coverage. 'Preferred risk pays the standard published premium rate' — TRAP: preferred pays LOWER than standard. 'The only options for a substandard applicant are approval or denial' — TRAP: there are four options including rating, exclusion riders, and modified benefits.

Fast Memory Shortcut: P-S-S Staircase: Preferred (cheapest, healthiest) → Standard (average, regular rate) → Substandard (expensive, but NOT automatically declined). Four options for substandard: Rate it up, Exclude it, Modify it, Decline it.

PRACTICE QUESTION

An applicant for life insurance has a history of heart disease but is currently stable and managing it with medication. The underwriter is most likely to: A) Decline the application automatically B) Issue the policy at the standard rate C) Issue the policy at a higher premium or with modified terms D) Issue the policy at a preferred rate due to the medication

ANSWER & EXPLANATION

C — Issue at a higher premium or with modified terms. The applicant's history of heart disease makes them a substandard risk, but this does NOT mean automatic declination. The underwriter has several options: charge a higher premium (table rating), add an exclusion for heart-related claims, or offer a modified benefit policy. Most substandard applicants receive some form of coverage.

#13 Concealment vs. Misrepresentation vs. Fraud

HIGH PRIORITY

WHY IT'S TESTED

The principle of utmost good faith generates multiple exam questions per exam. The exam distinguishes between concealment (silent), misrepresentation (false statement), and fraud (intentional deception) — and tests what each can do to a policy. These concepts also interact with the incontestability clause.

SIMPLE EXPLANATION

All three violate the principle of **UTMOST GOOD FAITH** that insurance contracts require. **CONCEALMENT:** Intentionally staying **SILENT** about a material fact you know the insurer would want to know. You don't say anything false — you just don't disclose. **MISREPRESENTATION:** Making a statement that is **FALSE** or misleading. It can be innocent (unintentional) or deliberate. A material misrepresentation can void the policy during the contestability period. **FRAUD:** An intentional misrepresentation made with the intent to deceive the insurer for financial gain. Most serious. May be grounds for voiding the policy even after the 2-year incontestability period in some cases. A **MATERIAL** fact is one that would have changed the insurer's decision to issue the policy or the premium charged.

Common Mistakes:

1. Thinking all misrepresentations void a policy — only **MATERIAL** misrepresentations void a policy. 2. Confusing concealment (silence) with misrepresentation (false words). 3. Assuming all fraud is protected after 2 years — impersonation fraud is never protected by the incontestability clause.

Trap Answers:

'A minor misrepresentation on an application always voids the policy' — TRAP: only **MATERIAL** misrepresentations void the policy. 'Concealment is only relevant if the applicant lied on the application' — TRAP: concealment is staying silent, not lying — there are no false words. 'After 2 years, the incontestability clause protects all fraud' — TRAP: impersonation fraud (having someone else take the medical exam) is never protected.

Fast Memory Shortcut: The Deception Spectrum: Concealment = SAY NOTHING. Misrepresentation = SAY SOMETHING FALSE. Fraud = LIE INTENTIONALLY to steal. Materiality test: Would it have changed the insurer's decision? If YES, it's material. Only MATERIAL violations void the policy.

PRACTICE QUESTION

An applicant for health insurance knows she was recently diagnosed with diabetes but chooses not to mention it on her application, answering 'no' to health history questions. After 1 year, she files a claim for diabetic treatment. The insurer discovers the omission. What is this called and what can the insurer do? A) Concealment; the insurer must pay the claim B) Misrepresentation; the insurer may void the policy C) Material misrepresentation; the insurer may deny the claim and void the policy D) Fraud; the insurer must report her to law enforcement

**ANSWER &
EXPLANATION**

C — Material misrepresentation. She answered 'no' to a direct question she knew was false — this is a misrepresentation, not concealment (which would be failing to disclose when no direct question was asked). It is material because a diabetes diagnosis would change the insurer's decision. Within the 2-year contestability period, the insurer may void the policy and deny the claim.

#14 Immediate vs. Deferred Annuity

HIGH PRIORITY

WHY IT'S TESTED

Annuity types appear consistently on every state exam. The exam tests: when income payments begin, how each is funded (lump sum vs. installments), the two phases of annuities (accumulation vs. annuitization), and tax treatment. The most tested trap is whether an immediate annuity can be funded with installment payments.

SIMPLE EXPLANATION

Annuities provide a guaranteed income stream — insurance against outliving your money. **IMMEDIATE ANNUITY:** You give the insurer a **SINGLE LUMP SUM** premium. Income payments start **IMMEDIATELY** — within 30 days (monthly pay) or within one year (annual pay). There is **NO** accumulation phase. Used by people at or near retirement who want income right away. **DEFERRED ANNUITY:** You accumulate money over time (the **ACCUMULATION** phase). Income payments are deferred to a **FUTURE** date of your choosing (the **ANNUITIZATION** phase). Can be funded with a single premium or with regular installments. Tax advantage: money grows **TAX-DEFERRED** during accumulation.

Common Mistakes:

1. Thinking immediate annuities can be funded with regular installment payments — they are **ALWAYS** single-premium only.
2. Confusing the accumulation phase with the annuitization phase — accumulation = saving, annuitization = receiving income.
3. Forgetting that deferred annuities can use either a single premium or periodic payments.

Trap Answers:

'An immediate annuity can be purchased with monthly installment payments' — **TRAP:** immediate annuities require a single lump-sum premium only. 'A deferred annuity begins paying income immediately' — **TRAP:** deferred means income is delayed until a future date. 'Once annuitization begins, the contract owner can cancel and take the balance in cash' — **TRAP:** annuitization is generally irrevocable.

Fast Memory Shortcut: IMMEDIATE = Income IMMEDIATELY. Single lump sum only. No waiting. DEFERRED = Income DEFERRED (later). Can accumulate over time. Tax-deferred growth. Snowball: Push UP hill (accumulate) → rolls DOWN (annuitize). Immediate = no hill to climb.

PRACTICE QUESTION

A 65-year-old retiree gives an insurance company \$200,000 and begins receiving monthly income checks within 30 days. Which product has she purchased? A) Deferred annuity B) Variable life insurance C) Single premium immediate annuity D) Whole life with an annuity rider

**ANSWER &
EXPLANATION**

C — Single Premium Immediate Annuity (SPIA). The key identifiers are: (1) single lump-sum payment, (2) income begins immediately (within 30 days). Deferred annuities begin income payments at a future date. Variable life is insurance, not an annuity. The description precisely matches the definition of an SPIA.

#15 Agent vs. Broker — Authority & Representation

HIGH PRIORITY

WHY IT'S TESTED

The distinction between agents and brokers — and the three types of agent authority — appear on every state exam. Scenario questions test whether the insurer is bound by an agent's action and who the agent legally represents. Express, implied, and apparent authority questions test the limits of agent power.

SIMPLE EXPLANATION

AGENT: Represents the **INSURANCE COMPANY**. Acts on behalf of the insurer. Has three types of authority: (1) **EXPRESS** — written in the agent's contract. (2) **IMPLIED** — assumed to be necessary to do the job (not written but reasonable). (3) **APPARENT** — based on how the insurer presents the agent to the public, even if the agent exceeded actual authority. The insurer is bound by apparent authority if they created the impression of authority. **BROKER:** Represents the **CLIENT** (the insured), not the insurer. Shops multiple companies to find the best coverage. A broker's error may make the broker (not the insurer) liable. **KEY RULE:** Whatever an agent does within the scope of their authority binds the insurance company.

Common Mistakes:

1. Thinking the agent represents the client — agents represent the **COMPANY**. 2. Confusing apparent authority with implied authority — apparent = how it looks to outsiders, implied = what's logically needed to do the job. 3. Assuming the insurer is never bound by an agent who exceeded their authority — apparent authority **CAN** bind the insurer.

Trap Answers:

'Insurance agents represent the policyholder's best interests' — **TRAP:** agents represent the **INSURER**, not the policyholder (brokers represent the client). 'An agent who exceeds their written authority can never bind the insurer' — **TRAP:** apparent authority can bind the insurer even without written permission. 'A broker is an agent of the insurance company' — **TRAP:** brokers represent the **CLIENT**, not the company.

Fast Memory Shortcut: **AGENT = represents the INSURER (Agent = A for the insurance compAny).** **BROKER = represents the BUYER (Broker = B for the Buyer).** **Authority: Express = written, Implied = assumed, Apparent = how it appears. All three can bind the insurer.**

PRACTICE QUESTION

An insurance company has allowed an agent to operate from a company office, use company letterhead, and introduce himself as a company representative for years — despite not being formally authorized to bind coverage. A client signs an application relying on this representation. Which type of authority is at issue? A) Express authority B) Implied authority C) Apparent authority D) The insurer is not bound because the agent lacked formal authority

ANSWER & EXPLANATION

C — Apparent authority. The insurer created the appearance of authority through its conduct (allowing the agent to use the office and letterhead for years). Even though no formal written authority existed, the insurer is bound because it created a reasonable impression of authority that an innocent third party relied upon. This is why insurers must carefully supervise how agents represent themselves.

#16 Pure Risk vs. Speculative Risk

HIGH PRIORITY

WHY IT'S TESTED

This foundational distinction establishes the boundary of what is insurable. The exam tests this concept in multiple forms — including scenario identification and the reasoning behind underwriting. Nearly every state exam opens with questions from the fundamentals section, and this is among the most tested.

SIMPLE EXPLANATION

PURE RISK: A situation where there are only two possible outcomes — LOSS or BREAK EVEN. There is ZERO chance of financial gain. Only pure risks are insurable. Examples: your house burning down, getting into a car accident, dying prematurely. **SPECULATIVE RISK:** A situation where you could GAIN, LOSE, or break even. There is a chance of profit. Speculative risks are NEVER insurable. Examples: gambling, investing in stocks, starting a business. The reason pure risks are insurable: the insurer can calculate and pool the probability of loss. The reason speculative risks are NOT: you could profit, making it a gamble, not insurance.

Common Mistakes:

1. Thinking 'pure' means something positive or good — in insurance, pure means purely negative outcomes only. 2. Assuming some speculative risks (like business losses) can be insured — they cannot, because a profit motive exists. 3. Confusing personal risk with business risk — some business property risks ARE pure risks (fire, theft) while others are speculative (business failure).

Trap Answers:

'A business owner who may lose or gain money from an investment has a pure risk' — TRAP: gain potential = speculative risk. 'Gambling losses can be insured because the gambler risks financial loss' — TRAP: the possibility of gain makes gambling a speculative risk, not insurable. 'Life insurance covers speculative risk because the insured could live a long time' — TRAP: life insurance covers pure risk — the LOSS of a life with no possibility of profit.

Fast Memory Shortcut: PURE = PAIN only (loss or neutral). No profit possible. INSURABLE. SPECULATIVE = could WIN or LOSE. Profit possible. NOT insurable. Test: Can you PROFIT from this outcome? If yes → speculative → NOT insurable.

PRACTICE QUESTION

Which of the following is an example of a pure risk? A) An investor who may profit or lose money on a stock purchase B) A business owner who may gain or lose customers C) A homeowner whose house may be damaged by fire D) A gambler who may win or lose at a casino

ANSWER & EXPLANATION

C — A homeowner's house being damaged by fire. There are only two outcomes: the fire occurs (loss) or it doesn't (no gain, no loss). This is a pure risk. All other options (A, B, D) involve the possibility of financial gain, making them speculative risks that cannot be insured.

#17 1035 Exchange — Allowed vs. Prohibited

HIGH PRIORITY

WHY IT'S TESTED

The 1035 exchange appears on every state exam because it involves both insurance product knowledge and tax rules. The most consistently tested question is the ONE prohibited exchange direction: annuity to life insurance. Students who don't know this specific rule miss this question every time.

SIMPLE EXPLANATION

A Section 1035 Exchange (from IRS Code Section 1035) allows you to swap one insurance or annuity contract for another similar contract WITHOUT paying taxes on the gain inside the original contract. This prevents a tax liability when upgrading or changing products. **ALLOWED** (tax-free): Life insurance to Life insurance. Life insurance to Annuity. Annuity to Annuity. Long-term care to Long-term care. Life insurance to Long-term care. **PROHIBITED** (NOT a valid 1035 exchange): Annuity to Life insurance — this is the one that cannot be exchanged tax-free. The logic: you can exchange 'forward' (life → annuity) as products become more income-oriented, but not 'backward.'

Common Mistakes:

1. Thinking any insurance contract can be exchanged for any other — the annuity to life direction is prohibited. 2. Forgetting that the exchange must be direct (insurer to insurer) to be tax-free — if you cash out first, you trigger taxes. 3. Assuming 1035 exchanges are always tax-free — if cash is received in the exchange, the cash portion may be taxable.

Trap Answers:

'A policyholder can exchange an annuity for a life insurance policy tax-free under Section 1035' — TRAP: annuity → life insurance is NOT a valid 1035 exchange. 'A 1035 exchange is tax-free even if you receive the cash personally first and then buy the new policy' — TRAP: must be a direct transfer to remain tax-free. 'A 1035 exchange eliminates all taxes permanently' — TRAP: it only defers the tax; taxes are owed when the new contract is eventually surrendered.

Fast Memory Shortcut: 1035: You can go FORWARD (life → annuity) or SIDEWAYS (life → life, annuity → annuity) but NEVER BACKWARD (annuity → life). 'Keep it alive, swap without tax jive — but never go backwards.'

PRACTICE QUESTION

A client wants to exchange her existing fixed annuity for a whole life insurance policy to get the death benefit she now realizes she needs. Under Section 1035, this exchange: A) Is allowed tax-free because both are insurance products B) Is not allowed — annuity to life insurance is a prohibited exchange C) Is allowed but only if she is under age 59½ D) Is allowed if her annuity has accumulated value above her basis

ANSWER & EXPLANATION

B — Not allowed. Annuity to life insurance is the one prohibited 1035 exchange direction. You can exchange life to annuity (forward direction) but not annuity to life (backward direction). If she wants a life policy, she would need to surrender the annuity (potentially triggering taxes on gains) and separately purchase life insurance.

#18 COBRA Continuation Coverage

HIGH PRIORITY

WHY IT'S TESTED

COBRA questions appear on every health insurance exam, consistently testing the exact continuation periods (18, 29, 36 months), the maximum premium charged (102%), and qualifying events. The distinction between the standard 18-month period and the extended periods is the most common COBRA trap.

SIMPLE EXPLANATION

COBRA (Consolidated Omnibus Budget Reconciliation Act) allows employees and their covered dependents to CONTINUE group health insurance coverage after certain events that would otherwise end coverage. KEY NUMBERS: 18 months: Standard continuation for job loss or reduction in hours (the most common scenario). 29 months: Extended period for individuals determined to be disabled by Social Security at the time of the qualifying event (18 + 11 additional months). 36 months: For other qualifying events — death of the covered employee, divorce or legal separation, employee becomes entitled to Medicare, dependent child ages off the plan. PREMIUM: The individual pays up to 102% of the group premium cost (100% + 2% administration fee). Employers with fewer than 20 employees are generally exempt from COBRA.

Common Mistakes:

1. Applying the 36-month period to job loss — job loss = 18 months only. 2. Forgetting the 102% premium rule — many students think the employer still contributes after termination. 3. Assuming all employers must offer COBRA — employers with fewer than 20 employees are generally exempt.

Trap Answers:

'After termination, the employer continues to pay a portion of the COBRA premium' — TRAP: the former employee pays the FULL cost — up to 102% — with no employer contribution required. 'A terminated employee can continue COBRA coverage for 36 months' — TRAP: termination triggers 18 months, not 36. 'A dependent who divorces from the covered employee can continue for 18 months' — TRAP: divorce triggers the 36-month period, not 18.

Fast Memory Shortcut: COBRA Numbers: 18 (job loss/reduced hours), 29 (disability), 36 (death/divorce/Medicare/age off). 102% = what you pay. Employer exemption: fewer than 20 employees.

PRACTICE QUESTION

An employee is terminated from her job. She elects COBRA continuation coverage. The monthly group premium was \$500. What is the maximum monthly amount she can be required to pay? A) \$500 B) \$510 C) \$250 D) \$0 — the employer must continue paying

ANSWER & EXPLANATION

B — \$510. Under COBRA, the individual pays up to 102% of the group premium. 102% of \$500 = \$510. The employer has NO obligation to contribute to the premium after termination. \$500 (A) would be 100% — the insurer may also charge the 2% admin fee. \$250 (C) and \$0 (D) are traps based on misunderstanding who bears the cost.

#19

Waiver of Premium vs. Disability Income Insurance

HIGH PRIORITY

WHY IT'S TESTED

Students frequently confuse these two disability-related provisions because both involve disability. The exam uses scenario-based questions where you must identify which product/provision applies and what it pays. Knowing the key difference — WHAT gets paid and TO WHOM — is critical.

SIMPLE EXPLANATION

WAIVER OF PREMIUM RIDER: An add-on to a life or health insurance policy. When the insured becomes totally disabled (after a 6-month elimination period), the **INSURANCE COMPANY** pays the premiums **FOR** the insured. The **POLICY** stays in full force. No cash goes to the insured — the benefit is the continued coverage, not money. **DISABILITY INCOME INSURANCE:** A standalone policy or rider. When the insured becomes totally disabled (after the elimination period), the insured receives a monthly **INCOME BENEFIT** (usually 60–70% of their pre-disability income). The money goes directly **TO THE INSURED** to replace lost wages — it does **NOT** pay insurance premiums specifically. **KEY DIFFERENCE:** Waiver of Premium = insurer pays **YOUR** policy premiums. Disability Income = insurer pays **YOU** a monthly income.

Common Mistakes:

1. Confusing the two by thinking waiver of premium pays the insured cash income — it only pays the policy premiums.
2. Forgetting that waiver of premium has a 6-month elimination period.
3. Thinking disability income insurance is the same as health insurance — it replaces **INCOME**, not medical bills.

Trap Answers:

'The waiver of premium rider pays the insured a monthly cash benefit during disability' — **TRAP:** it pays the **POLICY PREMIUMS**, not cash to the insured. 'Disability income insurance pays for medical expenses during disability' — **TRAP:** disability income replaces **INCOME** (wages), not medical costs — that's health insurance. 'The waiver of premium rider eliminates all premium obligations permanently' — **TRAP:** it only applies **DURING** disability; premiums resume when the disability ends.

Fast Memory Shortcut: **WAIVER** = Insurer **WAIVES** your premium — policy stays alive for **FREE** during disability. **NO CASH TO YOU.** **DISABILITY INCOME** = Insurer pays **YOU** monthly **INCOME** to replace wages. Cash to you. Different products, different benefits.

PRACTICE QUESTION

A policyholder with both a waiver of premium rider and a disability income policy becomes totally disabled after a 6-month waiting period. Which statement correctly describes the benefits she receives? A) The waiver of premium rider pays her a monthly cash income B) The disability income policy pays her life insurance premiums C) The waiver of premium rider keeps her policy active while the disability income policy pays her a monthly income D) Both products pay her a combined monthly cash income

ANSWER & EXPLANATION

C — The correct answer describes both benefits accurately. The waiver of premium rider has the insurer pay her life insurance premiums (keeping the policy in force at no cost to her). The disability income policy separately pays her a monthly income to replace her lost wages. These are two separate, complementary products that work together — not one combined payment.

#20

Activities of Daily Living (ADLs) & Long-Term Care Triggers

HIGH PRIORITY

WHY IT'S TESTED

LTC insurance triggers appear on every health insurance exam because they define when benefits begin. The exam tests all 6 ADLs by name, the trigger threshold (2 of 6), and the alternative cognitive impairment trigger. The cognitive impairment trigger is consistently the most missed element.

SIMPLE EXPLANATION

Long-Term Care (LTC) insurance benefits are triggered when the insured needs help with basic self-care activities for an extended period. The policy pays for nursing home, assisted living, or home care. **TWO WAYS TO TRIGGER LTC BENEFITS:** (1) Cannot perform at least 2 of the 6 Activities of Daily Living (ADLs): Bathing, Dressing, Eating, Toileting, Transferring (moving from bed to chair), Continence. (2) Cognitive Impairment — such as Alzheimer's disease or severe dementia — even if all 6 ADLs can be performed independently. LTC policies typically have an **ELIMINATION PERIOD** (similar to a deductible in days) before benefits begin — commonly 30, 60, or 90 days.

Common Mistakes:

1. Missing the cognitive impairment trigger — thinking only ADL inability triggers LTC benefits. 2. Forgetting Continence as the 6th ADL — the most commonly omitted in exam answers. 3. Getting the threshold wrong — it's 2 of 6, not 3 of 6 or all 6. 4. Confusing LTC elimination period with a health insurance deductible (one is measured in days, the other in dollars).

Trap Answers:

'LTC benefits only begin when the insured cannot perform any of the 6 ADLs' — TRAP: only 2 of 6 are required. 'Cognitive impairment alone cannot trigger LTC benefits' — TRAP: cognitive impairment is an **INDEPENDENT** trigger even if all ADLs can be performed. 'Transferring refers to transferring money to pay for care' — TRAP: Transferring means physically moving from bed to chair, not financial transfers.

Fast Memory Shortcut: ADL Mnemonic: Big Dogs Eat Tasty Tender Chunks (Bathing, Dressing, Eating, Toileting, Transferring, Continence). Threshold = 2 of 6. TWO triggers: 2 ADLs OR Cognitive impairment. Either one — not both — triggers benefits.

PRACTICE QUESTION

A 78-year-old woman has been diagnosed with Alzheimer's disease. She can still bathe, dress, eat, and perform all other daily activities independently. Her LTC policy has a 90-day elimination period that has been satisfied. Is she eligible for LTC benefits? A) No — she can perform all ADLs independently B) Yes — cognitive impairment is an independent LTC trigger C) No — Alzheimer's is excluded from LTC coverage D) Yes — but only for home care, not nursing home care

ANSWER & EXPLANATION

B — Yes. Cognitive impairment (including Alzheimer's disease) is an **INDEPENDENT** trigger for LTC benefits. She does not need to be unable to perform ADLs. The fact that she can perform all daily activities independently is irrelevant when a cognitive impairment trigger exists. This is the most commonly missed question type in the LTC section.

#21 Modified Endowment Contract (MEC)

MODERATE

WHY IT'S TESTED

MEC questions appear regularly because they test the tax treatment of life insurance — a critical gray area that exam writers exploit. The 7-pay test, the tax consequences, and the comparison to regular life insurance loans are consistent exam topics.

SIMPLE EXPLANATION

A Modified Endowment Contract (MEC) is a life insurance policy that has been overfunded — too much premium was paid too quickly, violating the IRS 7-Pay Test. The 7-Pay Test: if the total premiums paid in the first 7 policy years exceed what would be needed to pay the policy up in 7 years, the policy is classified as a MEC. Once classified as a MEC, it cannot be reversed. **TAX CONSEQUENCES:** For a regular life insurance policy: loans and partial withdrawals up to the cost basis (premiums paid) are tax-free. For a MEC: loans, withdrawals, and any distributions are taxed on a GAINS-FIRST basis, and a 10% penalty applies if the policyowner is under age 59½. The death benefit remains income-tax-free for beneficiaries regardless of MEC status.

Common Mistakes:

1. Thinking a MEC means the policy is void or invalid — it is still a valid life insurance policy. 2. Forgetting that the death benefit remains tax-free to beneficiaries even in a MEC. 3. Confusing gains-first taxation with the regular basis-first treatment of normal policy withdrawals.

Trap Answers:

'A MEC policy is not a valid life insurance policy' — TRAP: it IS a valid life policy — just with different tax rules. 'The death benefit of a MEC is taxable to the beneficiary' — TRAP: death benefits remain income-tax-free regardless of MEC status. 'A policyholder can undo MEC status by withdrawing the excess premium' — TRAP: once a policy becomes a MEC, it CANNOT be reversed.

Fast Memory Shortcut: MEC = Money Entered too quickly = Consequences apply. 7-pay test: too much premium in first 7 years = MEC forever. MEC tax: GAINS FIRST + 10% penalty if under 59½. Regular policy: BASIS first (tax-free up to cost). Death benefit = ALWAYS tax-free.

PRACTICE QUESTION

A policyholder has a life insurance policy classified as a Modified Endowment Contract. She withdraws \$5,000 from the policy. Her policy has \$10,000 of accumulated gain above her basis. What are the tax consequences? A) The \$5,000 is tax-free because it is a life insurance policy withdrawal B) The \$5,000 is taxable as ordinary income, plus a 10% penalty if she is under 59½ C) Only the portion above the basis is taxable D) The withdrawal is tax-free since the death benefit remains income-tax-free

ANSWER & EXPLANATION

B — Taxable as ordinary income plus a 10% penalty if under 59½. MEC distributions are taxed gains-first — meaning the first dollars distributed are considered gain (not return of basis) and are therefore taxable. Since there is \$10,000 in accumulated gains, the full \$5,000 withdrawal is treated as a gain and is fully taxable. A regular life policy would allow withdrawals up to basis tax-free (basis-first), but MECs use the opposite rule.

#22 Rebating — Who Is Liable

MODERATE

WHY IT'S TESTED

Rebating appears on every exam as part of the unfair trade practices section. The most commonly missed element: BOTH the agent who offers the rebate AND the client who accepts it are in violation. Exam writers specifically test whether the client bears any responsibility.

SIMPLE EXPLANATION

REBATING is the practice of offering or giving anything of value to a client as an inducement to purchase an insurance policy. A rebate can be: Cash back from the agent's commission. A gift, dinner, or prize. Paying the client's first premium. Any special service not in the policy. Rebating is ILLEGAL in most states for two reasons: (1) It creates unfair price competition — agents with lower income can't compete. (2) It discriminates between customers — some get incentives, others don't. WHO IS LIABLE: Both the AGENT who offers the rebate AND the CLIENT who accepts it violate state insurance law in most states. Neither party escapes liability just because they didn't initiate the arrangement. Exceptions: A few states (like Florida) permit limited forms of rebating under specific regulations.

Common Mistakes:

1. Thinking only the agent is liable — in most states, the CLIENT who accepts a rebate is ALSO in violation. 2. Assuming rebating only applies to cash — any item of value (gifts, free services, discounts) can constitute a rebate. 3. Confusing rebating with dividends — insurance dividends paid by mutual companies are NOT rebates and are legal.

Trap Answers:

'Only the agent who offers the rebate is liable — the client has no responsibility' — TRAP: the client who accepts is ALSO in violation in most states. 'An agent can share commissions with clients as a discount as long as it is disclosed' — TRAP: disclosed or not, rebating is illegal. 'Dividends paid to policyholders are a form of rebating' — TRAP: dividends from participating policies are NOT rebates — they are a contractual return of excess premium.

Fast Memory Shortcut: REBATE = illegal for BOTH hands. Give it (agent) = illegal. Take it (client) = also illegal. 'Two to rebate, two to violate.' Dividends from mutual companies = NOT a rebate. Legal.

PRACTICE QUESTION

An insurance agent tells a prospective client that if the client buys a \$500,000 life insurance policy, the agent will give the client a \$500 cash gift from her own commission. The client agrees and the policy is purchased. Which of the following statements is correct? A) Only the agent is liable for a rebating violation B) Only the client is liable since they initiated the acceptance C) Both the agent and the client have violated state insurance law D) No violation has occurred because the gift came from the agent's commission, not the insurer

ANSWER & EXPLANATION

C — Both have violated state insurance law. Rebating is illegal for both the giver (agent) and the receiver (client) in most states. The source of the rebate (agent's own commission) is irrelevant — any thing of value given as an inducement to purchase constitutes illegal rebating. The client's acceptance makes them equally liable.

WHY IT'S TESTED

Settlement option questions appear in scenario format where students must match the beneficiary's goal to the correct option. The exam tests which option provides the most guaranteed income, which is most risky, which is the default, and who has the right to choose the option.

SIMPLE EXPLANATION

Settlement options determine HOW the life insurance death benefit is paid to the beneficiary after the insured dies. FIVE OPTIONS: (1) Lump Sum: The entire death benefit paid at once in cash. This is the DEFAULT if no other option is chosen. (2) Interest Only: The insurer holds the proceeds and pays only the INTEREST earned — the principal stays with the insurer. (3) Fixed Period: Income payments are made for a set NUMBER OF YEARS regardless of whether the beneficiary lives or dies. (4) Fixed Amount: A set DOLLAR AMOUNT is paid each month until the principal and interest are exhausted. (5) Life Income: Payments made for the beneficiary's entire LIFETIME — stop at death. Most income risk: if the beneficiary dies early, total payments may be less than the principal. Life income with period certain adds a guaranteed minimum number of payments.

Common Mistakes:

1. Thinking the insured chooses the settlement option — it's typically the BENEFICIARY's choice after the insured dies. 2. Confusing Fixed Period (set time) with Fixed Amount (set dollar amount until exhausted). 3. Forgetting that Life Income (pure) stops at death with no further payments, regardless of how much was paid.

Trap Answers:

'The insured always selects the settlement option before death' — TRAP: the BENEFICIARY typically has the right to choose the settlement option after the insured dies. 'Life income provides the most guaranteed payout' — TRAP: life income is actually the riskiest for the beneficiary — if they die early, they may receive less than the face amount. 'Fixed period payments continue until the principal is gone' — TRAP: that's Fixed Amount, not Fixed Period (fixed period runs for a set time regardless of how much is left).

Fast Memory Shortcut: L-I-F-F-L: Lump sum, Interest only, Fixed period (time), Fixed amount (dollars), Life income (riskiest). Default = Lump Sum. Most guaranteed = Fixed Period or Fixed Amount. Most risky for beneficiary = Pure Life Income. Beneficiary chooses (typically).

PRACTICE QUESTION

A beneficiary wants to receive equal monthly payments for exactly 20 years, regardless of how long she lives or how much she receives. Which settlement option best meets her needs? A) Life income B) Fixed amount C) Fixed period D) Interest only

ANSWER & EXPLANATION

C — Fixed Period. This option provides payments for a set number of years (20 years in this case) regardless of whether the beneficiary is alive or dead. If she dies before 20 years, payments continue to her estate. Life Income stops at her death. Fixed Amount pays a set dollar amount monthly until the fund is depleted — the period is not guaranteed. Interest Only holds the principal and pays only interest, with no drawdown of principal.

#24 ACA Metal Tiers & Essential Health Benefits

MODERATE

WHY IT'S TESTED

ACA (Affordable Care Act) provisions appear on every health insurance exam, particularly the metal tier cost-sharing structure, the Medical Loss Ratio (MLR) requirements, and the 10 essential health benefits. These represent the modern framework for individual and small group health insurance.

SIMPLE EXPLANATION

The ACA created standardized health insurance plans sold in four 'metal' tiers based on how costs are split between the insurer and the insured: BRONZE: Insurer pays 60% / insured pays 40%. Lowest premiums, highest out-of-pocket costs. SILVER: Insurer pays 70% / insured pays 30%. Middle tier — basis for cost-sharing subsidies. GOLD: Insurer pays 80% / insured pays 20%. Higher premiums, lower out-of-pocket. PLATINUM: Insurer pays 90% / insured pays 10%. Highest premiums, lowest out-of-pocket. MEDICAL LOSS RATIO (MLR): Insurers must spend at least 80% of premiums on medical care (small groups/individual) or 85% (large groups). If they don't, they must issue rebates to policyholders. The 10 ESSENTIAL HEALTH BENEFITS must be covered by all marketplace plans (includes hospitalization, maternity, mental health, prescription drugs, etc.).

Common Mistakes:

1. Reversing which tier has lower premiums vs. lower out-of-pocket costs — Bronze = cheap premiums, expensive when sick; Platinum = expensive premiums, cheap when sick.
2. Confusing MLR percentages — 80% for individual/small group, 85% for large group.
3. Assuming all ACA benefits apply equally to all plans — grandfathered plans have different rules.

Trap Answers:

'A Platinum plan has the lowest monthly premium' — TRAP: Platinum has the HIGHEST premium (in exchange for the best coverage). 'The MLR requires insurers to spend 85% of premiums on claims for all plans' — TRAP: 80% applies to individual and small group, 85% applies to large group only. 'Bronze plans provide the most comprehensive coverage' — TRAP: Bronze provides the least comprehensive cost-sharing.

Fast Memory Shortcut: Metal tiers from cheapest premium to most expensive: Bronze → Silver → Gold → Platinum. Cost-sharing goes OPPOSITE direction: Bronze pays most, Platinum pays least out of pocket. 'More metal = more protection, more premium.' MLR: 80/85 rule — 80% for small/individual, 85% for large.

PRACTICE QUESTION

A small business offers a health plan where the insurer is responsible for paying 80% of covered medical expenses and the employee pays 20%. The premiums are moderate. Which ACA metal tier does this plan most likely represent? A) Bronze B) Silver C) Gold D) Platinum

ANSWER & EXPLANATION

C — Gold. The Gold tier is defined by an 80/20 actuarial value split — the insurer covers 80% of costs and the insured covers 20%. Bronze = 60/40. Silver = 70/30. Gold = 80/20. Platinum = 90/10. The '80% insurer / 20% insured' ratio precisely matches the Gold tier definition.

#25 Stock vs. Mutual Insurance Company

MODERATE

WHY IT'S TESTED

This foundational distinction appears on most state exams, particularly in questions about who receives dividends and who owns the company. The dividend question — whether policyholders or shareholders receive dividends — is the most frequently tested element of this concept.

SIMPLE EXPLANATION

There are two main types of private insurance companies: **STOCK INSURANCE COMPANY**: Owned by **SHAREHOLDERS** (investors who bought stock in the company). The shareholders' goal is profit. Shareholders receive dividends when the company is profitable. The company does **NOT** share profits with policyholders. Policies from stock companies are typically **NON-PARTICIPATING** (no dividends to policyholders). **MUTUAL INSURANCE COMPANY**: Owned by the **POLICYHOLDERS** themselves — every policyholder is a part-owner. If the company performs better than expected (charges more premium than needed for claims), it returns the excess to policyholders as **DIVIDENDS**. Policies from mutual companies are typically **PARTICIPATING** (policyholders may receive dividends). **KEY TAX POINT**: Life insurance policy dividends are a **RETURN OF EXCESS PREMIUM** — they are **NOT** taxable income.

Common Mistakes:

1. Thinking policyholders of a stock company receive dividends — they don't; shareholders do. 2. Assuming life insurance policy dividends are taxable — they are a return of overpaid premiums and are **NOT** taxable. 3. Confusing 'participating' with 'providing good benefits' — participating simply means the policy may share in dividends.

Trap Answers:

'A policyholder of a stock insurance company will receive dividends if the company is profitable' — **TRAP**: only shareholders (not policyholders) of stock companies receive dividends. 'Life insurance policy dividends are taxed as ordinary income' — **TRAP**: they are a non-taxable return of excess premium. 'Mutual company policyholders are guaranteed to receive dividends every year' — **TRAP**: dividends are **NOT** guaranteed — they depend on the company's actual experience vs. projected experience.

Fast Memory Shortcut: STOCK = Stockholders own it (investors). Policyholders = customers only. NON-PARTICIPATING. MUTUAL = policyholders OWN it. They may share in profits via dividends. PARTICIPATING. Dividends = return of excess premium = NOT taxable. Not guaranteed.

PRACTICE QUESTION

A life insurance policyholder receives a dividend check from her insurance company. She asks her agent if this is taxable income. The correct answer is: A) Yes — it is taxable as ordinary income in the year received B) No — it is a tax-free return of excess premium paid to the insurer C) Yes — but only the amount above the policy's cash value is taxable D) No — but it must be reported as a capital gain on her tax return

ANSWER & EXPLANATION

B — No, it is a tax-free return of excess premium. Life insurance policy dividends represent the insurer returning a portion of the premium that exceeded what was actually needed for claims, expenses, and reserves. Because you are receiving back money you already paid (not a profit), it is not taxable income. This is a key distinction from stock dividends, which **ARE** taxable as ordinary income or qualified dividends.

Exam Strategy — How to Use These 25 Concepts

Apply these five strategies on exam day to maximize your score.

- 1

Attack the 10 Critical Concepts First
The 10 CRITICAL-rated concepts (#1–10) are guaranteed to appear multiple times on your exam. Master these 10 before anything else. Even if you only studied these 10 concepts perfectly, you would likely pass most state exams. Spend 60% of your prep time here.
- 2

Read Every Answer Choice Before Selecting
Exam writers craft trap answers that sound almost identical to correct answers. Never choose the first answer that looks right — read ALL four options. The trap answer is almost always the second option that looks convincing. On scenario questions, identify what concept is being tested BEFORE reading the choices.
- 3

Use the Process of Elimination on Confusion Pairs
For concepts that are commonly confused (twisting vs. churning, own-occ vs. any-occ, revocable vs. irrevocable, term vs. permanent), use elimination: identify the ONE fact that separates the two — same company vs. different company, inception vs. loss, change anytime vs. need consent. That single fact resolves every question.
- 4

Translate Every Scenario Into the Core Concept
State exams present real-world scenarios rather than direct definition questions. When you read a scenario, ask yourself: 'What concept is this testing?' A question about a surgeon losing fingers = own-occ vs. any-occ. A question about a policy still active 20 days after a quarterly payment is missed = grace period. Name the concept, then apply your knowledge — don't get lost in the story.
- 5

Write Your Top Mnemonics on Scratch Paper Before Starting
In the first 90 seconds of your exam — before answering a single question — write these on your scratch paper: 7-10-31 (grace periods), B-D-E-T-T-C (ADLs), A-B-C-D (Medicare parts), 18-29-36-102 (COBRA), C-R-E (non-forfeiture), D-C-O (cost-sharing). Having them written removes the recall burden and lets you focus on applying them.

CRITICAL (10)	HIGH PRIORITY (10)	MODERATE (5)	TOTAL: 25 Concepts
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You now have a complete, ranked, exam-focused blueprint for passing the Life & Health Insurance licensing exam. Master the CRITICAL concepts, learn the trap answers, apply the memory shortcuts, and walk into that exam room with the confidence of someone who has done the work.

Top 50 Exam Traps

& Trick Questions That Cause Students to Fail

Ranked by how often they cause students to fail · 50 traps exposed · 9 components per trap · Trigger word guide · Last-minute checklist

50	9	10	1
Exam Traps	Sections/Trap	Trigger Words	Checklist

How to Use This Guide

COMMON WRONG ANSWER	Shows the exact answer the exam is designed to make you choose.
WHY WRONG	Explains the specific misunderstanding that leads students astray.
SPOT THE TRAP	Gives you a fast pattern to recognize the trap while reading the question.
MEMORY TRICK	A shortcut to lock in the correct logic before exam day.
WATCH WORDS	Key words in the question stem that signal which concept is being tested.

Pro tip: Before reading ANY answer choice, ask yourself: "What concept is this question testing?" Name the concept, then apply your knowledge. Exam traps only work when you read the answers before you've identified the concept.

Trap Index — All 50 Traps Ranked by How Often They Cause Failures

Work through these in order. The traps at the top appear most frequently on state exams.

#	TRAP TITLE	CATEGORY
#01	Cost-Sharing: Coinsurance Before Deductible	Health Insurance
#02	HMO Referral Requirement — The PCP Gatekeeper	Health Insurance
#03	PPO Out-of-Network Coverage Confusion	Health Insurance
#04	Grace Period — Quarterly/Annual = 31 Days, Not 10	Policy Provisions
#05	Incontestability: Misstatement of Age Never Voids a Policy	Policy Provisions
#06	Non-Forfeiture: Reduced Paid-Up vs. Extended Term	Life Insurance
#07	Insurable Interest — Required at Inception, Not at Death	Fundamentals
#08	Twisting vs. Churning — Same Company vs. Different	Ethics & Law
#09	Own-Occ vs. Any-Occ — The Surgeon Trap	Health Insurance
#10	Medicare Part C Is NOT Government-Run	Government Programs
#11	Revocable Beneficiary Can Be Changed Without Consent	Policy Provisions
#12	Irrevocable Beneficiary Controls ALL Policy Changes	Policy Provisions
#13	Concealment Is Silence — Not a False Statement	Fundamentals
#14	Warranty vs. Representation — Guaranteed vs. Believed	Fundamentals
#15	Immediate Annuity Requires a Single Premium	Life Insurance
#16	1035 Exchange: Annuity to Life Is Prohibited	Life Insurance
#17	Pure Risk vs. Speculative Risk — Profit Disqualifies	Fundamentals
#18	Substandard Risk Is NOT Automatically Declined	Underwriting
#19	Preferred Risk Pays LESS Than Standard — Not More	Underwriting
#20	COBRA: Job Loss = 18 Months, Not 36	Health Insurance
#21	Waiver of Premium Pays the Policy — Not the Insured	Policy Provisions
#22	Net Premium Has NO Expenses — Gross Does	Life Insurance
#23	Participating Dividends Are NOT Guaranteed	Life Insurance
#24	Policy Loan Is Tax-Free — But Reduces Death Benefit	Life Insurance
#25	Agent Represents the Company — Not the Client	Ethics & Law
#26	Broker Represents the Client — Not the Company	Ethics & Law
#27	Apparent Authority Binds the Insurer Even Without Permission	Ethics & Law
#28	Rebating Is Illegal for BOTH Agent AND Client	Ethics & Law
#29	Universal Life Can LAPSE Despite Flexible Premiums	Life Insurance
#30	Variable Life Requires a Securities License	Life Insurance
#31	MEC: Loans Are Taxed Gains-First — Not Basis-First	Life Insurance
#32	7-Pay Test Triggers MEC — It Cannot Be Reversed	Life Insurance
#33	Suicide Clause: After 2 Years, Full Benefit Is Paid	Policy Provisions
#34	Settlement Options: Beneficiary Chooses — Not Insured	Life Insurance

#35	Life Income Settlement: Payments Stop at Death — Guaranteed None	Life Insurance
#36	Copay Does NOT Count Toward the Deductible	Health Insurance
#37	ADL Trigger: 2 of 6 Is Enough — Not All 6	Health Insurance
#38	Cognitive Impairment Is an INDEPENDENT LTC Trigger	Health Insurance
#39	COBRA: Divorce Triggers 36 Months — Not 18	Health Insurance
#40	APS Is Ordered and Paid For By the Insurer	Underwriting
#41	POS Plan CAN Go Out-of-Network — POS Is Not HMO	Health Insurance
#42	EPO Has No Referral Requirement — Unlike HMO	Health Insurance
#43	Term Life Has ZERO Cash Value — Period	Life Insurance
#44	Whole Life Premiums Are Guaranteed Level Forever	Life Insurance
#45	Stock Company Policyholders Do NOT Receive Dividends	Fundamentals
#46	Life Insurance Dividends Are NOT Taxable Income	Life Insurance
#47	Implied Authority Is Not Written — But Still Valid	Ethics & Law
#48	ACA Gold Tier Is 80/20 — Not 90/10	Health Insurance
#49	Disability Elimination Period Is NOT the Grace Period	Health Insurance
#50	Field Underwriting: Agent Is the First Filter — Has a Duty	Underwriting

#01 Cost-Sharing: Coinsurance Before the Deductible

EXAM TRAP

Why Students Get It Wrong:

Students picture coinsurance as a general split that applies to every bill. They forget that the deductible must be paid in FULL first. When they see an 80/20 split mentioned, they jump straight to calculating 20% of the total bill.

What the Exam Is Testing:

Whether students understand the mandatory sequence of cost-sharing events: Deductible → Coinsurance → Out-of-Pocket Maximum.

COMMON WRONG ANSWER

Calculating 20% of the total bill without first subtracting the deductible.

How to Spot the Trap:

Any question with both a deductible AND coinsurance mentioned means you must pay the deductible completely before the percentage split begins. Look for 'has not met the deductible' — that phrase means you owe 100% of the first dollars.

Memory Trick:

D-C-O STAIRCASE: Deductible first, then Coinsurance split, then Out-of-pocket ceiling. You CLIMB the staircase in order — you cannot skip Step 1.

Watch for these words: "Has not yet met the deductible" · "Annual deductible" · "Cost-sharing"

EXAM QUESTION

A patient has a \$1,000 deductible, 80/20 coinsurance, and a \$5,000 out-of-pocket maximum. She has not yet met any deductible this year. She receives a \$3,000 bill. How much does she owe? A) \$400 B) \$600 C) \$1,400 D) \$3,000

ANSWER & WHY

Correct Answer: C — \$1,400

Why: She owes the full \$1,000 deductible first, then 20% of the remaining \$2,000 = \$400. Total: \$1,400. Answer A (\$400) is the most common trap — students apply 20% to the entire \$2,000 above the deductible without paying the \$1,000 first.

#02 HMO Referral Requirement — The PCP Gatekeeper

EXAM TRAP

Why Students Get It Wrong:

Students confuse HMO and PPO. They forget that in an HMO, you CANNOT see a specialist without first going through your Primary Care Physician (PCP), who acts as a gatekeeper. They assume any plan allows specialist visits without a referral.

What the Exam Is Testing:

Whether students know that referrals are REQUIRED in an HMO but NOT required in a PPO or EPO.

COMMON WRONG ANSWER

Selecting PPO when the question describes a plan that requires a referral and a PCP.

How to Spot the Trap:

If the question mentions 'primary care physician,' 'referral required,' or 'gatekeeper,' the answer is almost always HMO. No other major plan type requires a referral AND a PCP simultaneously.

Memory Trick:

HMO = HOME base. Everything goes through your HOME doctor (PCP). You cannot leave home without the gatekeeper's permission (referral).

Watch for these words: "Primary care physician" · "Referral required" · "Gatekeeper" · "Must obtain approval"

EXAM QUESTION

A health insurance plan requires all members to select a primary care physician. To see a cardiologist, the member must first get written approval from that physician. Which plan type is this? A) PPO B) POS C) HMO D) EPO

ANSWER & WHY

Correct Answer: C — HMO

Why: The HMO's defining feature is the PCP gatekeeper requirement. A PPO requires no PCP and no referral. A POS requires a PCP but allows out-of-network access. An EPO requires no referral. Only HMO fits: PCP required + referral required + in-network only.

#03 PPO Out-of-Network — You CAN Go, But You Pay More

EXAM TRAP**Why Students Get It Wrong:**

Students assume that any plan with a network means you cannot go out-of-network. They confuse PPO restrictions (higher cost) with HMO restrictions (no coverage at all).

What the Exam Is Testing:

Whether students understand that PPO plans allow out-of-network use — the member simply pays more. This is the key differentiator between PPO and HMO.

COMMON WRONG ANSWER

'A PPO member who sees an out-of-network doctor receives no coverage.'

How to Spot the Trap:

If the question mentions going to a doctor outside the network AND still having partial coverage (just paying more), that is a PPO. HMO = no out-of-network coverage at all (except true emergencies).

Memory Trick:

PPO = PORTABLE. You can go ANYWHERE. Preferred providers cost LESS. Non-preferred cost MORE. But coverage exists either way.

Watch for these words: "Out-of-network" · "Non-preferred" · "Higher cost-sharing" · "No referral needed"

EXAM QUESTION

A PPO member visits an out-of-network physician without a referral. Her plan has a \$1,500 out-of-network deductible and 60/40 coinsurance for out-of-network services. Which statement is correct? A) No coverage applies because she went out of network B) Coverage applies at the higher cost-sharing rate C) Coverage applies only because she did not need a referral D) Coverage applies at the in-network rate since no referral was needed

ANSWER & WHY

Correct Answer: B — Coverage applies at the higher cost-sharing rate

Why: PPO plans cover out-of-network services — the member simply pays more (higher deductible, less favorable coinsurance). This is the fundamental difference from an HMO, which provides NO out-of-network coverage except emergencies. The 60/40 split reflects the higher out-of-pocket cost for going outside the preferred network.

#04 Grace Period: 31 Days for Quarterly/Annual — Not 10

EXAM TRAP**Why Students Get It Wrong:**

Students remember '10 days' because it sounds like the most common grace period number. They apply it to ALL premium modes. The 10-day grace period only applies to MONTHLY premium payments.

What the Exam Is Testing:

The three specific grace period time frames: 7 days (weekly), 10 days (monthly), 31 days (all others including quarterly, semiannual, and annual).

COMMON WRONG ANSWER

Applying a 10-day grace period to a quarterly or annual policy.

How to Spot the Trap:

Whenever the question mentions quarterly, semiannual, or annual payment mode, the grace period is 31 days — always. Only weekly = 7 days. Only monthly = 10 days. Everything else = 31.

Memory Trick:

7-10-31. Weekly = 7 (days in a week). Monthly = 10 (bonus 10 days). ALL OTHERS = 31. Think of 31 as 'a full month to catch up on any non-monthly payment.'

Watch for these words: "Quarterly" · "Semiannual" · "Annual" · "Missed payment" · "Grace period"

EXAM QUESTION

A policyholder pays premiums on a quarterly basis. She misses a payment and dies 28 days later without making the payment. What does the insurer pay? A) Nothing — the policy lapsed after 10 days B) Return of premiums only C) Full death benefit minus the overdue premium D) Full death benefit with no deductions

ANSWER & WHY

Correct Answer: C — Full death benefit minus the overdue premium

Why: Quarterly premiums fall under 'all other modes,' giving a 31-day grace period. Day 28 is still within that window, so the policy is in force. The death benefit is paid in full, minus the overdue premium. The trap is answer A — students applying the 10-day monthly rule to a quarterly policy.

#05 Incontestability + Misstatement of Age: Adjust, Never Void

EXAM TRAP**Why Students Get It Wrong:**

Students see 'misstatement on the application' and immediately assume the policy is void. They don't separate the specific misstatement-of-age provision (which adjusts the benefit) from a general material misrepresentation (which can void the policy during contestability).

What the Exam Is Testing:

Two distinct rules: (1) After 2 years, the incontestability clause prevents voiding. (2) A misstatement of AGE never voids the policy — it only recalculates the benefit based on what the premium would have purchased at the correct age.

COMMON WRONG ANSWER

'The insurer can void the policy due to the misstatement of age.'

How to Spot the Trap:

If the question involves age being misstated, the answer is NEVER policy void. The benefit is adjusted downward (or upward). If the question involves ANY other type of misstatement after 2 years, the policy also cannot be voided.

Memory Trick:

AGE MISTAKE = ADJUST, NEVER ANNUL. 'They lied about age? Recalculate. They lied about anything else after 2 years? Still can't void it.' The only exception: non-payment of premiums and impersonation fraud.

Watch for these words: "Misstated age" · "Stated she was" · "Application error" · "Incorrect age"

EXAM QUESTION

An insured misstated her age as 35 when she was actually 40 on her life insurance application. She dies 4 years after the policy was issued. The insurer discovers the misstatement. What is the insurer's correct action? A) Void the policy and pay nothing B) Pay the full face amount with no adjustment C) Adjust the benefit to what the premium would have purchased at age 40 D) Return only the premiums paid

ANSWER & WHY

Correct Answer: C — Adjust the benefit to what the premium would have purchased at age 40

Why: The misstatement of age provision specifically adjusts the death benefit — it does not void the policy. The insurer pays the amount the premium would have purchased at the true age of 40 (which is slightly less than age 35). The incontestability clause also bars voiding after 2 years. Voiding (A) is the trap answer.

#06 Non-Forfeiture: Reduced Paid-Up vs. Extended Term

EXAM TRAP

Why Students Get It Wrong:

Students confuse which option keeps the SAME death benefit and which keeps the SAME type of insurance. These two options are the most frequently confused pair on every state exam because their features seem backwards.

What the Exam Is Testing:

The precise distinction: Reduced Paid-Up = smaller PERMANENT policy. Extended Term = SAME death benefit as TERM insurance for a limited time. Extended Term is the DEFAULT if no option is elected.

COMMON WRONG ANSWER

'Reduced paid-up keeps the original face amount.' OR 'Extended term provides permanent coverage.'

How to Spot the Trap:

Ask two questions: (1) Same amount or smaller? (2) Permanent or temporary? Reduced Paid-Up = SMALLER + PERMANENT. Extended Term = SAME AMOUNT + TEMPORARY. If the question mentions 'same death benefit' → Extended Term. If it mentions 'permanent coverage, no premiums' → Reduced Paid-Up.

Memory Trick:

REDUCED = the amount is REDUCED (smaller policy, same TYPE — permanent). EXTENDED = the time is EXTENDED (same amount, different TYPE — now it's term). Reduced changes the amount. Extended changes the time.

Watch for these words: "Same death benefit" · "Does not elect" · "Default option" · "Stops paying premiums"

EXAM QUESTION

A whole life policyholder stops paying premiums and does not elect a non-forfeiture option. The cash value is used to purchase coverage with the same face amount as the original policy. Which non-forfeiture option automatically applies? A) Cash surrender B) Reduced paid-up C) Extended term D) Waiver of premium

ANSWER & WHY

Correct Answer: C — Extended Term

Why: Extended term is the DEFAULT non-forfeiture option. It purchases term insurance for the ORIGINAL face amount using the available cash value, lasting as long as the cash value sustains it. Reduced Paid-Up (B) purchases a smaller PERMANENT policy — it keeps the same TYPE but reduces the AMOUNT. Waiver of premium (D) is a rider, not a non-forfeiture option.

#07 Insurable Interest: Life Insurance at Inception Only

EXAM TRAP

Why Students Get It Wrong:

Students apply the property insurance rule (interest required at loss) to life insurance. They incorrectly assume that if insurable interest ends after the policy is issued, the claim is invalid.

What the Exam Is Testing:

The critical timing difference: Life insurance requires insurable interest at the TIME OF APPLICATION (inception). Property insurance requires it at the TIME OF LOSS.

COMMON WRONG ANSWER

'The claim is denied because insurable interest no longer exists at the time of death.'

How to Spot the Trap:

Whenever a life insurance question involves a change in relationship AFTER the policy was issued (divorce, end of partnership, estrangement), insurable interest is still intact — it was valid when the policy was issued, and that's all that matters.

Memory Trick:

LIFE: Lock it in at the START. Once the policy is issued with valid insurable interest, it stays valid forever — regardless of what happens to the relationship later. Property is different: must exist at the time of the loss.

Watch for these words: "After the policy was issued" · "Relationship ended" · "Partnership dissolved" · "Divorced after"

EXAM QUESTION

Sarah takes out a life insurance policy on her business partner. Two years later, they dissolve the partnership. The former partner dies the following year. Sarah files a claim. Should the insurer pay? A) No — insurable interest ended when the partnership dissolved B) Yes — insurable interest existed at policy inception C) No — key person policies require active employment D) Yes — but only the return of premiums paid

ANSWER & WHY

Correct Answer: B — Yes, because insurable interest existed at policy inception

Why: For life insurance, insurable interest only needs to exist when the policy is ISSUED. It does not need to persist through the life of the policy or at the time of death. Sarah had valid insurable interest when she bought the policy. The later dissolution of the partnership is legally irrelevant to this claim.

#08 Twisting vs. Churning: Same Company vs. Different Company

EXAM TRAP**Why Students Get It Wrong:**

Students confuse which practice involves which company. Both involve replacing a policy improperly for commission, making them easy to mix up. The only difference — same vs. different insurer — is the critical distinguishing fact the exam tests.

What the Exam Is Testing:

The exact company distinction: Twisting = replacement at a DIFFERENT company. Churning = replacement at the SAME company using the policy's own cash value.

COMMON WRONG ANSWER

'Churning occurs when a client moves to a different insurance company.'

How to Spot the Trap:

Scan for the company context. Same company mentioned? That's Churning. Different company? That's Twisting. Both are illegal and motivated by agent commission. Both harm the client (new contestability period, potential higher premium).

Memory Trick:

TWISTING = TORNADO (blows the client to a DIFFERENT company). **CHURNING = BUTTER CHURN** (goes round and round in the SAME container — same company). Tornado = travel. Churn = stay in place.

Watch for these words: "Same insurance company" · "Uses own cash value" · "New policy" · "Earn a commission"

EXAM QUESTION

An agent encourages a client to surrender her whole life policy with Acme Insurance and use the cash value to buy a new policy — also with Acme Insurance — primarily to earn a new commission. This is called: A) Twisting B) Replacement C) Churning D) Rebating

ANSWER & WHY

Correct Answer: C — Churning

Why: Same insurance company + replacing a policy for commission = churning. If the agent had moved the client to a different insurer using misleading comparisons, it would be twisting. Replacement itself is not illegal — the illegal element is the deceptive motivation for the agent's benefit rather than the client's need.

#09 Own-Occ vs. Any-Occ: The Surgeon Trap

EXAM TRAP**Why Students Get It Wrong:**

Students think that if someone CAN do ANY work, they are not disabled under any definition. They forget that own-occupation only asks if you can do YOUR specific job — not whether you can do other work.

What the Exam Is Testing:

The precise definition of disability under own-occupation (cannot do your OWN job) vs. any-occupation (cannot do ANY job you are reasonably qualified for).

COMMON WRONG ANSWER

'The surgeon is not disabled because she can work as a professor.'

How to Spot the Trap:

If the question describes a highly skilled professional who can no longer do their specific job but could do other work, own-occupation pays and any-occupation does not. Look for job titles like surgeon, dentist, attorney, pilot — these are own-occ questions.

Memory Trick:

OWN = YOUR job. If you can't do YOUR job, you're disabled — **FULL STOP.** What you CAN do elsewhere is irrelevant under own-occ. **ANY = literally any job you're educated/trained for.**

Watch for these words: "No longer able to perform" · "Specific occupation" · "Capable of other work" · "Reasonably suited"

EXAM QUESTION

A concert pianist suffers nerve damage and can no longer play piano professionally. She is capable of teaching music at a university. Under which disability definition would she receive income benefits? A) Any-occupation only B) Own-occupation only C) Both definitions D) Neither — she can still work

ANSWER & WHY

Correct Answer: B — Own-occupation only

Why: Under own-occupation, she cannot perform the specific duties of HER occupation (concert pianist), so she qualifies for benefits regardless of what else she can do. Under any-occupation, she CAN perform work she's reasonably qualified for (music teacher), so she does NOT qualify. The trap is D — students assume working elsewhere means no disability.

#10 Medicare Part C Is Run By Private Insurers — Not the Government

EXAM TRAP

Why Students Get It Wrong:

Students assume that since Medicare is a federal program, all Medicare plans are government-run. Medicare Advantage (Part C) is actually offered by private insurance companies approved by Medicare — NOT by the federal government directly.

What the Exam Is Testing:

Whether students know the structural difference between Original Medicare (Parts A and B, government-run) and Medicare Advantage (Part C, private insurer-run).

COMMON WRONG ANSWER

'Medicare Part C is a government-run extension of Original Medicare.'

How to Spot the Trap:

Any question describing Medicare Advantage (Part C) being offered by a private insurer, requiring enrollment in Part A and B, and providing an alternative to Original Medicare = Part C. The word PRIVATE is the trigger.

Memory Trick:

Part C = CHOICE. You CHOOSE a PRIVATE plan instead of getting coverage directly from the government. 'C for Choice among private companies.' Medigap is different — it supplements (not replaces) Original Medicare.

Watch for these words: "Private insurance company" · "Alternative to Original Medicare" · "Bundles Parts A and B" · "Must be enrolled in A and B"

EXAM QUESTION

A Medicare beneficiary enrolls in a plan offered by a private insurance company that covers all the benefits of Medicare Parts A and B, plus additional benefits. Which Medicare option has she enrolled in? A) Medicare Supplement (Medigap) B) Medicare Part D C) Medicare Advantage (Part C) D) Original Medicare

ANSWER & WHY

Correct Answer: C — Medicare Advantage (Part C)

Why: Medicare Advantage plans are offered by PRIVATE insurers approved by Medicare. They bundle Parts A, B, and usually D. They are an ALTERNATIVE to Original Medicare, not a supplement to it. Medigap supplements Original Medicare — it doesn't replace it. This distinction is the most tested Medicare concept.

#11 Revocable Beneficiary: The Owner Can Change It Anytime

EXAM TRAP

Why Students Get It Wrong:

Students think that ANY beneficiary designation creates a binding obligation. They forget that the default beneficiary designation is REVOCABLE — meaning the policyowner can change it at any time without the beneficiary's permission.

What the Exam Is Testing:

Whether students understand that revocable beneficiaries have NO rights to the policy while the insured is alive — only the policyowner controls the policy.

COMMON WRONG ANSWER

'The policyowner must get the beneficiary's written consent to change the designation.'

How to Spot the Trap:

If no designation type is mentioned, assume it is REVOCABLE (the default). A revocable beneficiary has no current legal rights — they only benefit IF they are still named when the insured dies. The word 'irrevocable' must be specifically designated.

Memory Trick:

REVOCABLE = the policyowner can REVOKE it whenever they want. No permission needed. No court required. Maximum owner control. The beneficiary has zero power while the insured is alive.

Watch for these words: "Revocable" · "Change the beneficiary" · "Without consent" · "Policyowner requests"

EXAM QUESTION

A policyholder named his sister as the revocable beneficiary on his life insurance policy. He later marries and wants to change the beneficiary to his new wife. Which statement is correct? A) He cannot change the beneficiary without his sister's consent B) He may change the beneficiary without his sister's consent C) He needs a court order to remove his sister as beneficiary D) The insurer must approve the beneficiary change

ANSWER & WHY

Correct Answer: B — He may change the beneficiary without his sister's consent

Why: A revocable beneficiary can be changed at any time by the policyowner — no consent needed from the current beneficiary, no court order, no insurer approval required. The policyowner simply submits a change of beneficiary form to the insurer. This is one of the most basic rights of a policyowner with a revocable beneficiary.

#12 Irrevocable Beneficiary Controls ALL Policy Actions

EXAM TRAP

Why Students Get It Wrong:

Students think irrevocable only means the beneficiary designation cannot be changed. They miss that an irrevocable beneficiary's consent is required for ANY significant policy action — including loans, surrender, and assignment.

What the Exam Is Testing:

The full scope of irrevocable beneficiary rights: they must consent to ANY change — beneficiary change, policy loan, surrender, assignment, or even change of payment mode.

COMMON WRONG ANSWER

'The policyowner can take a policy loan even though the irrevocable beneficiary designation is in place.'

How to Spot the Trap:

If the question involves an irrevocable beneficiary and asks about ANY policy action (not just beneficiary change), consent is required. Irrevocable means the beneficiary has a vested interest in the ENTIRE policy — not just the death benefit designation.

Memory Trick:

IRREVOCABLE = VETO POWER. The irrevocable beneficiary has co-owner status. They can say NO to a loan, NO to surrender, NO to assignment. Their consent is required for everything significant.

Watch for these words: "Irrevocable beneficiary" · "Policy loan" · "Surrender" · "Assignment" · "Written consent"

EXAM QUESTION

A policyowner has named his business partner as irrevocable beneficiary. He wants to take out a \$10,000 policy loan. What must happen first? A) Nothing — he owns the policy and can take a loan at any time B) He must notify the insurer 30 days in advance C) He must obtain his business partner's written consent D) He must surrender the policy first

ANSWER & WHY

Correct Answer: C — He must obtain his business partner's written consent

Why: An irrevocable beneficiary has a vested interest that extends to all policy actions. The policyowner cannot take a loan, surrender the policy, assign it, or change any major policy terms without the irrevocable beneficiary's written consent. This is the critical difference from a revocable beneficiary, who has no say while the insured is alive.

#13 Concealment Is Silence — Not a False Statement

EXAM TRAP**Why Students Get It Wrong:**

Students use 'concealment' and 'misrepresentation' interchangeably. They are distinct violations. Concealment is staying silent about a known material fact. Misrepresentation is making an affirmatively false statement.

What the Exam Is Testing:

The precise distinction between silence (concealment) and false statements (misrepresentation), and whether both can void a policy during the contestability period.

COMMON WRONG ANSWER

'The applicant committed misrepresentation by not disclosing the condition.'

How to Spot the Trap:

Look for what the applicant DID or SAID. If they stayed silent and didn't disclose something, that is concealment. If they made an untrue statement (said 'no' to a direct question), that is misrepresentation. The difference is action vs. inaction.

Memory Trick:

CONCEALMENT = CLOSET. You hid the fact in a closet — you said **NOTHING**. **MISREPRESENTATION = MISSPOKE.** You said something **WRONG**. One hides. One lies.

Watch for these words: "Did not disclose" · "Left blank" · "Failed to mention" · "Did not reveal"

EXAM QUESTION

An applicant for life insurance knows he has been treated for a heart condition but leaves the health history question blank rather than answering. This is best described as: A) Fraud B) Misrepresentation C) Concealment D) Warranty

ANSWER & WHY

Correct Answer: C — Concealment

Why: Concealment is the intentional failure to disclose a material fact that the insurer would consider relevant. The applicant did not say anything false — he said nothing at all. That silence is concealment. If he had written 'No' next to the heart condition question, that would be misrepresentation. Both can void the policy if material.

#14 Warranty vs. Representation: Guaranteed vs. Believed True

EXAM TRAP**Why Students Get It Wrong:**

Students confuse the legal weight of each. Both involve statements made during the application process, but warranties are **GUARANTEED** true while representations are only **BELIEVED** to be true — a critical distinction in claim disputes.

What the Exam Is Testing:

The legal standard for each type of statement: any inaccuracy in a **WARRANTY** voids the policy; only a **MATERIAL** inaccuracy in a representation can void the policy.

COMMON WRONG ANSWER

'A warranty is just another word for a representation on an insurance application.'

How to Spot the Trap:

The word GUARANTEED is the trigger for warranty. If the statement is 'guaranteed to be true,' any inaccuracy — even minor — can void the policy. Representations only require the applicant to believe the statement is true.

Memory Trick:

WARRANTY = GUARANTEE. Like a product warranty — you guarantee it works. **REPRESENTATION = REPORT** (what I believe). If I'm wrong about a minor detail in a representation, the policy likely survives. If a warranty is slightly wrong, major problems.

Watch for these words: "Guaranteed to be true" · "Absolute statement" · "Any inaccuracy" · "Regardless of materiality"

EXAM QUESTION

A statement in an insurance contract that is guaranteed to be completely true, and any inaccuracy — regardless of materiality — can make the contract voidable, is called: A) A representation B) A warranty C) A concealment D) An acknowledgment

ANSWER & WHY

Correct Answer: B — A warranty

Why: A warranty is an absolute guarantee of truth — even a minor inaccuracy can void the contract. A representation is only believed to be true to the best of the applicant's knowledge, and only a MATERIAL misrepresentation can void the policy. Warranties are held to a much higher standard than representations.

#15 Immediate Annuity: Single Premium Only — No Installments

EXAM TRAP

Why Students Get It Wrong:

Students think you can fund any annuity with either a lump sum or regular payments. The IMMEDIATE annuity is the exception — because payments start right away, it MUST be funded with a single lump-sum premium. There is no accumulation period.

What the Exam Is Testing:

The funding requirement for immediate annuities (single premium only) versus deferred annuities (single OR flexible premiums), and the absence of an accumulation phase in immediate annuities.

COMMON WRONG ANSWER

'An immediate annuity can be funded with monthly installment payments.'

How to Spot the Trap:

If the question describes annuity income starting within 30 days (or within one period), it is an immediate annuity and requires a single premium payment. There is no accumulation phase — money in, income out immediately.

Memory Trick:

IMMEDIATE = income IMMEDIATELY. Single lump sum in, income starts NOW. There is no time to make installment payments — income already started.

Watch for these words: "Begins receiving payments immediately" · "Single lump sum" · "Within 30 days" · "No accumulation"

EXAM QUESTION

A 68-year-old retiree deposits \$150,000 with an insurance company and begins receiving monthly income payments the following month. Which product has she purchased? A) A deferred annuity with immediate payout option B) A flexible premium annuity C) A single premium immediate annuity D) A whole life policy with settlement option

ANSWER & WHY

Correct Answer: C — A single premium immediate annuity (SPIA)

Why: The identifying features are: (1) single lump-sum payment and (2) income begins immediately (within one month). A SPIA is the only product that matches both criteria. Deferred annuities begin income at a future date. Flexible premium annuities are funded over time. Whole life with a settlement option is entirely different.

#16 1035 Exchange: Annuity to Life Insurance Is NOT Allowed

EXAM TRAP

Why Students Get It Wrong:

Students assume any two insurance contracts can be exchanged tax-free under Section 1035. They miss the one prohibited direction: annuity to life insurance. Every other combination is allowed.

What the Exam Is Testing:

The specific allowed and prohibited 1035 exchange combinations, particularly the annuity-to-life prohibition.

COMMON WRONG ANSWER

'An annuity can be exchanged for a life insurance policy tax-free under Section 1035.'

How to Spot the Trap:

Any question asking about exchanging an annuity for a life insurance policy = NOT a valid 1035 exchange. Remember the 'forward only' rule: Life → Life (YES), Life → Annuity (YES), Annuity → Annuity (YES), Annuity → Life (NO).

Memory Trick:

1035 goes FORWARD or SIDEWAYS — NEVER BACKWARD. Annuity is further along the 'income' spectrum than life insurance. You can go forward to annuity. You cannot go backward to life.

Watch for these words: "Exchange" · "Tax-free" · "1035" · "Annuity for a life policy" · "Life for an annuity"

EXAM QUESTION

A client wants to use her existing fixed annuity to purchase a whole life insurance policy on a tax-free basis. Under Section 1035, this exchange is: A) Permitted because both are insurance contracts B) Permitted only if the annuity has a gain above cost basis C) Not permitted — annuity to life is a prohibited exchange D) Permitted only if the exchange is done directly between insurers

ANSWER & WHY

Correct Answer: C — Not permitted

Why: Annuity to life insurance is the one combination prohibited under Section 1035. You can exchange life to life, life to annuity, or annuity to annuity — but NOT annuity to life. If the client wants a life insurance policy, she would need to surrender the annuity (triggering taxes on any gain) and separately purchase life insurance.

#17 Pure Risk Has ZERO Profit Potential — Speculative Does Not

EXAM TRAP

Why Students Get It Wrong:

Students think 'pure' means pure/complete loss — as in the person definitely loses. Pure risk means there is NO CHANCE of profit — you can only lose or break even. Students also miss that some business risks are speculative (profit possible) and therefore uninsurable.

What the Exam Is Testing:

Whether students understand that the defining characteristic of insurable risk is the ABSENCE of profit potential — pure = insurable, speculative = not insurable.

COMMON WRONG ANSWER

'A business owner's risk of losing customers is a pure risk because it involves potential financial loss.'

How to Spot the Trap:

Ask: Can you PROFIT from this outcome? If YES → speculative → NOT insurable. Examples: investing, gambling, owning a business (may profit). Examples of pure risk: your house burns, your car is totaled, you die prematurely (no profit possible).

Memory Trick:

PURE = PAIN only. No chance of gain. SPECULATIVE = GAMBLE. Could win or lose. Insurance only covers PAIN — never GAMBLES.

Watch for these words: "Possible profit" · "Could gain or lose" · "Business investment" · "Gambling"

EXAM QUESTION

Which of the following is an example of a pure risk that can be insured? A) A business owner risks losing money if her new product fails B) An investor risks losing money on a stock investment C) A homeowner risks losing her home to a fire D) A gambler risks losing money at a casino

ANSWER & WHY

Correct Answer: C — The homeowner's risk of fire

Why: A house fire has only two outcomes: it occurs (loss) or it doesn't (break even). No profit is possible from your own house burning — this is a pure risk and is insurable. All other options involve the possibility of gain (profit from the product, stock gains, gambling winnings), making them speculative risks that cannot be insured.

#18 Substandard Risk: NOT Automatically Declined

EXAM TRAP**Why Students Get It Wrong:**

Students assume that 'substandard' means 'denied.' In reality, substandard (impaired) risks are regularly issued policies — just at modified terms. The insurer has four options, and outright declination is just one of them.

What the Exam Is Testing:

The underwriter's options for substandard applicants: (1) issue at a higher premium, (2) issue with an exclusion rider, (3) issue with modified benefits, or (4) decline. Most substandard applicants receive some form of coverage.

COMMON WRONG ANSWER

'An applicant with a history of heart disease will be declined for life insurance.'

How to Spot the Trap:

If the question describes a health condition and asks about the outcome, the answer is almost never automatic declination. Look for options involving 'rated policy,' 'exclusion rider,' or 'higher premium.' These are more likely correct than 'denied.'

Memory Trick:

Substandard = IMPAIRED, not IMPOSSIBLE. The insurer has 4 tools: Rate it up, Exclude it, Modify it, Decline it. Only the last tool is refusal — and it is used last.

Watch for these words: "History of" · "Pre-existing" · "Controlled" · "Treated for" · "Medical condition"

EXAM QUESTION

An applicant for life insurance has a history of controlled Type 2 diabetes. The underwriter reviews the application. What is the most likely outcome? A) The application is automatically declined B) The policy is issued at the standard rate C) The policy is issued at a higher premium or with modified terms D) The policy is issued at a preferred rate due to the medication

ANSWER & WHY

Correct Answer: C — Issued at a higher premium or with modified terms

Why: Controlled diabetes typically results in a substandard (impaired) risk classification. The insurer's most common response is to issue the policy at a higher premium (table rating) or add an exclusion rider. Automatic declination is rare for a CONTROLLED condition. Standard rate (B) would mean average risk — diabetes is above average.

#19 Preferred Risk Pays LESS Than Standard — Not More

EXAM TRAP**Why Students Get It Wrong:**

Students confuse the meaning of 'preferred.' It sounds like it costs more — like a preferred seat on an airplane. In insurance, preferred means healthier/lower risk, which means LOWER premium than standard.

What the Exam Is Testing:

The direction of premium pricing across risk classifications: Preferred (lowest) → Standard (average) → Substandard (highest).

COMMON WRONG ANSWER

'A preferred risk applicant pays a higher premium for the additional benefits of preferred status.'

How to Spot the Trap:

Preferred = privilege of paying LESS. The insurer prefers these applicants because they're less risky. Lower risk = lower premium = preferred rate. Standard is the average. Substandard pays more.

Memory Trick:

Preferred customer at a hotel gets DISCOUNTS — not a higher bill. Preferred risk in insurance gets a DISCOUNT on premiums. The insurer PREFERS these low-risk applicants.

Watch for these words: "Excellent health" · "Below-average risk" · "Lower than standard" · "Better than average"

EXAM QUESTION

An applicant who is in excellent health, exercises regularly, and has no family history of serious illness is most likely to be classified as which type of risk? A) Standard risk — because they meet the typical requirements B) Substandard risk — because health details increase scrutiny C) Preferred risk — because they represent below-average risk D) Guaranteed issue — because they cannot be declined

ANSWER & WHY

Correct Answer: C — Preferred risk

Why: An applicant in excellent health with no risk factors represents BELOW-average risk. Insurers reward these applicants with preferred classification and lower-than-standard premiums. Standard = average risk = average premium. Preferred = below average risk = below average premium. The classification reflects risk level, not 'extra features.'

#20 COBRA: Job Loss = 18 Months — Not 36

EXAM TRAP**Why Students Get It Wrong:**

Students remember '36 months' as a COBRA number without tying it to the right qualifying event. Divorce, death of the covered employee, and aging off the plan trigger 36 months. **JOB LOSS** — the most common scenario — is only 18 months.

What the Exam Is Testing:

The specific COBRA continuation periods: 18 months (job loss/reduced hours), 29 months (disability), 36 months (death, divorce, Medicare eligibility, or dependent aging off).

COMMON WRONG ANSWER

'A terminated employee can continue coverage for 36 months under COBRA.'

How to Spot the Trap:

Job loss = 18 months. Divorce = 36 months. Death of employee = 36 months. Disability = 29 months. Memorize the events with each number — not just the numbers alone.

Memory Trick:

18-29-36-102: Job loss = 18 (most common, smallest number). Disability = 29 (middle number). Everything else = 36 (largest period). 102% = what you pay. Divorced or widowed = 36. Fired = 18.

Watch for these words: "Terminated" · "Fired" · "Laid off" · "Resigned" · "Reduction in hours"

EXAM QUESTION

An employee is terminated from his job for performance reasons. He elects to continue his group health coverage under COBRA. For how long can he continue this coverage? A) 36 months B) 29 months C) 18 months D) 12 months

ANSWER & WHY

Correct Answer: C — 18 months

Why: Termination of employment (including firing for cause) is a standard qualifying event that triggers an 18-month COBRA continuation period. The 36-month period applies to events like death of the covered employee, divorce, or a dependent child losing eligibility — NOT to simple job loss. The 18-month trap is the most frequently missed COBRA question.

#21 Waiver of Premium: The Policy Gets Paid — Not the Insured

EXAM TRAP

Why Students Get It Wrong:

Students confuse waiver of premium with disability income insurance. Both involve disability, but they pay different things to different parties. Waiver of premium pays the POLICY PREMIUMS. It does NOT give cash income to the insured.

What the Exam Is Testing:

The distinction between waiver of premium (insurer pays the policy premium) and disability income (insurer pays monthly income to the insured).

COMMON WRONG ANSWER

'The waiver of premium rider pays the insured a monthly cash benefit during disability.'

How to Spot the Trap:

Waiver = the POLICY stays alive for free during disability. No cash to you. If the question says the insured receives income, that is disability income insurance — not waiver of premium. If the question says the policy stays in force, that is waiver of premium.

Memory Trick:

WAIVER = the insurer WAIVES the bill. Your policy stays active but YOU get nothing in cash. DISABILITY INCOME = YOU get the income (cash to you). Different payments, different recipients.

Watch for these words: "Waiver of premium" · "Premiums are waived" · "Policy stays active" · "During disability"

EXAM QUESTION

A life insurance policyholder becomes totally disabled. Her policy includes a waiver of premium rider with a 6-month elimination period. After the elimination period, what happens? A) She receives a monthly cash benefit to replace her income B) The insurer pays her life insurance premiums and the policy stays fully active C) The policy is suspended until she returns to work D) She must pay reduced premiums until recovery

ANSWER & WHY

Correct Answer: B — The insurer pays her premiums and the policy stays fully active

Why: The waiver of premium rider does exactly what it says — it WAIVES the premium obligation. The insurance company pays the premiums on behalf of the disabled policyholder, keeping the policy in full force. The insured receives NO cash from this rider. Disability income insurance (a separate product) would provide the monthly income.

#22 Net Premium Has ZERO Expenses — Gross Premium Includes All

EXAM TRAP

Why Students Get It Wrong:

Students confuse gross and net by everyday meaning. In daily life, 'gross' pay is before deductions and 'net' is take-home. In insurance, the same logic applies — gross includes everything, net is the pure math cost — but students still get confused under exam pressure.

What the Exam Is Testing:

The actuarial distinction: Net premium = pure risk cost (mortality + interest only). Gross premium = net + loading (expenses, profit, contingencies). Gross is what the policyholder actually pays.

COMMON WRONG ANSWER

'The net premium includes the insurer's administrative expenses and profit loading.'

How to Spot the Trap:

NET = NAKED cost. Just the math of mortality and interest — no clothes (expenses). GROSS = everything dressed up for sale. Gross is always larger than net. Gross is what you actually pay.

Memory Trick:

Net premium = the INGREDIENTS. Gross premium = the MENU PRICE. Net is the raw cost. Gross adds labor, overhead, and profit. Gross is always more than net.

Watch for these words: "Without expenses" · "Pure cost" · "Mortality tables only" · "Loading charge" · "Office premium"

EXAM QUESTION

Which type of premium represents the pure cost of providing life insurance coverage, calculated using only mortality tables and assumed interest rates, without any loading for expenses? A) Gross premium B) Office premium C) Net premium D) Modal premium

ANSWER & WHY

Correct Answer: C — Net premium

Why: The net premium is calculated using only mortality tables (probability of death) and assumed investment returns. It contains NO loading for administrative expenses, agent commissions, or profit. The gross premium (also called the office premium) adds the loading charge on top of the net premium to arrive at what the policyholder actually pays.

#23 Participating Policy Dividends Are NOT Guaranteed

EXAM TRAP**Why Students Get It Wrong:**

Students see 'mutual company dividends' and assume they are a guaranteed feature of the policy — like a contractual benefit. Dividends are actually an estimate of excess premium returned to policyholders and depend entirely on the company's actual performance.

What the Exam Is Testing:

Whether dividends are guaranteed in participating policies and their proper tax treatment (they are NOT taxable — they are a return of excess premium).

COMMON WRONG ANSWER

'A participating policy guarantees the policyowner will receive annual dividends.'

How to Spot the Trap:

GUARANTEED and DIVIDEND do not belong together. Dividends from life insurance are never guaranteed. They are illustrated but not contractually promised. This is a classic exam word-swap trap.

Memory Trick:

DIVIDENDS = a SURPRISE bonus, not a promised payment. It's like a rebate — you might get it, you might not. The insurer ESTIMATES dividends but cannot GUARANTEE them. Never guaranteed. Never taxable.

Watch for these words: "Participating policy" · "Mutual company" · "Dividend" · "Guaranteed" (should trigger caution)

EXAM QUESTION

Which statement about dividends paid on a participating life insurance policy is CORRECT? A) Dividends are guaranteed and must be paid each year B) Dividends are not guaranteed and represent a return of excess premium C) Dividends are taxable income in the year they are received D) Only stock company policyholders receive dividends

ANSWER & WHY

Correct Answer: B — Dividends are not guaranteed and represent a return of excess premium

Why: Life insurance policy dividends are a return of the portion of the premium that exceeded actual claims and expenses. They are NOT contractually guaranteed — the company illustrates them but is not legally required to pay them. Because they represent a return of your own money (not a gain), they are NOT taxable income. Dividends come from MUTUAL companies, not stock companies.

#24 Policy Loans Are Tax-Free — But Death Benefit Is Reduced

EXAM TRAP**Why Students Get It Wrong:**

Students know policy loans are tax-free and sometimes assume the loan has no consequences. The critical missed point: an unpaid policy loan (plus accumulated interest) reduces the death benefit dollar for dollar.

What the Exam Is Testing:

The dual nature of policy loans: favorable tax treatment (not taxable income) AND the death benefit consequence (reduced by the outstanding loan balance at death).

COMMON WRONG ANSWER

'A policy loan has no effect on the death benefit because it is secured by the cash value.'

How to Spot the Trap:

Two-part answer: Policy loan = tax-free YES. Policy loan = no consequences NO. Unpaid loan + interest = death benefit reduction. If a question asks about the death benefit when a loan is outstanding, always reduce the benefit by the loan amount.

Memory Trick:

'Borrow tax-free — but die in debt, and the benefit gets CUT.'
The policy loan balance is like a tab at a restaurant. You leave without paying, the estate settles the bill from the death benefit.

Watch for these words: "Outstanding loan" · "Never repaid" · "Policy loan balance" · "Death benefit"

EXAM QUESTION

A policyholder has a whole life policy with a \$200,000 face amount. She took out a \$15,000 policy loan 5 years ago and never repaid it. She then dies. How much does the beneficiary receive (ignoring interest)? A) \$200,000 — the full face amount B) \$215,000 — face amount plus loan protection C) \$185,000 — face amount minus the outstanding loan D) \$0 — the loan voided the policy

ANSWER & WHY

Correct Answer: C — \$185,000

Why: An outstanding policy loan reduces the death benefit dollar for dollar. \$200,000 face amount minus the \$15,000 loan = \$185,000 paid to the beneficiary. In reality, accrued interest on the loan would also be deducted, reducing the benefit further. The loan is NOT forgiven at death — it is collected from the death benefit proceeds.

#25 Agent Represents the COMPANY — Broker Represents the CLIENT

EXAM TRAP

Why Students Get It Wrong:

Students assume all insurance professionals represent the client's best interests. Agents legally represent the INSURER. Brokers represent the CLIENT (policyholder). This affects liability when errors occur.

What the Exam Is Testing:

The legal representation distinction and its consequences: an agent's knowledge is imputed to the insurer; a broker's error may make the BROKER (not the insurer) liable.

COMMON WRONG ANSWER

'An insurance agent represents the policyholder and owes them a fiduciary duty.'

How to Spot the Trap:

AGENT = the insurance company's representative. Whatever the agent knows, the company is deemed to know. BROKER = the buyer's representative. The broker shops the market for the client. If a broker makes an error, the broker (not the insurer) may be liable.

Memory Trick:

AGENT = represents the compAny (A). BROKER = represents the Buyer (B). A for compAny. B for Buyer. Their client relationships are mirror opposites.

Watch for these words: "Shops multiple companies" · "Acts in client's interest" · "Client's representative" · "Best coverage for the client"

EXAM QUESTION

A producer shops multiple insurance companies to find the best coverage for a client, acting solely in the client's interest. This producer is best described as: A) A captive agent B) An independent agent C) A broker D) A general agent

ANSWER & WHY

Correct Answer: C — A broker

Why: A broker represents the CLIENT and shops multiple insurers to find the best match. Agents — whether captive (one company) or independent (multiple companies) — legally represent the INSURER. The key identifier in the question is 'acting solely in the client's interest' and 'shopping multiple companies,' which describes a broker's role precisely.

#26

Apparent Authority Binds the Insurer — Even Without Written Permission**EXAM TRAP****Why Students Get It Wrong:**

Students think that if no written contract authorizes an action, the insurer is not bound. Apparent authority works differently — if the INSURER created the impression of authority (through conduct, letterhead, office space), the insurer IS bound, even if the agent exceeded their actual authority.

What the Exam Is Testing:

How apparent authority protects innocent third parties who relied on a reasonable appearance of authority created by the insurer's own conduct.

COMMON WRONG ANSWER

'The insurer is not bound because the agent exceeded their written authority.'

How to Spot the Trap:

Whenever the question describes an insurer ALLOWING an agent to use their logo, office, letterhead, or business cards over time, and a client relied on that representation — the answer involves apparent authority and the insurer IS bound.

Memory Trick:

APPARENT = how it APPEARS to outsiders. If the insurer made it LOOK like the agent had authority, they cannot later pretend the agent didn't. They created the illusion — they pay for it.

Watch for these words: "Allowed the agent to use" · "For years" · "Relied on" · "Appeared to have authority"

EXAM QUESTION

For three years, an insurer allowed an agent to use its office, business cards, and letterhead without formally authorizing him to bind coverage. A client, relying on this representation, signed an application. A loss occurred before underwriting was complete. The insurer claims no coverage existed. The court will most likely find: A) No coverage — the agent had no express authority B) No coverage — the insurer never signed the binder C) Coverage exists based on apparent authority D) Coverage exists based on implied authority

ANSWER & WHY

Correct Answer: C — Coverage exists based on apparent authority

Why: By allowing the agent to use its office, logo, and letterhead for three years, the insurer created a reasonable appearance of authority. An innocent third party (the client) relied on that appearance. Under apparent authority, the insurer is bound — even though no written (express) authority existed. This is the legal consequence of the insurer's failure to supervise how it presented the agent to the public.

#27

Rebating Is Illegal for BOTH the Agent AND the Client**EXAM TRAP****Why Students Get It Wrong:**

Students assume only the agent who offers the rebate is guilty. They forget that the CLIENT who ACCEPTS a rebate is also in violation of the law in most states. Both parties break the law.

What the Exam Is Testing:

That rebating violations apply to both the giver (agent) and the receiver (client), and that ANY item of value — not just cash — can constitute a rebate.

COMMON WRONG ANSWER

'Only the agent is guilty of rebating — the client did nothing wrong by accepting.'

How to Spot the Trap:

Two-party violation: if either party is mentioned, check whether BOTH are guilty. Any item of value given as an inducement = rebate. Cash, gifts, paid premiums, special services — all qualify as rebates.

Memory Trick:

REBATE = BOTH hands dirty. Give it = illegal. TAKE it = also illegal. 'Two to rebate, two to violate.' The client cannot pretend ignorance once they accepted a known inducement.

Watch for these words: "Gift" · "Cash back" · "Incentive to buy" · "Commission sharing" · "Paid their first premium"

EXAM QUESTION

An agent offers a new client a \$250 gift card if she purchases a life insurance policy. The client accepts the gift card and buys the policy. Which parties have violated state insurance law? A) Only the agent — the client has no obligation to refuse B) Only the client — she accepted an improper inducement C) Both the agent and the client D) Neither party — gift cards are not considered rebates

ANSWER & WHY

Correct Answer: C — Both the agent and the client

Why: Rebating is illegal for both the giver (the agent who offered the gift card) and the receiver (the client who accepted it). The gift card constitutes an inducement to purchase insurance — this is the definition of a rebate regardless of its form (cash, gift cards, paid premiums, discounts). Both parties are in violation under most state insurance laws.

#28 Implied Authority Is Unwritten — But Still Fully Valid

EXAM TRAP

Why Students Get It Wrong:

Students assume authority must be explicitly written to be legally valid. Implied authority is not written anywhere — it is assumed to be necessary to carry out the agent's express duties. It is completely valid and legally binding.

What the Exam Is Testing:

That implied authority is created by necessity, not by written contract. It covers actions that are reasonable and customary for an agent to perform, even if never spelled out in writing.

COMMON WRONG ANSWER

'An agent without written authorization for an action cannot legally perform that action.'

How to Spot the Trap:

If the action described is a normal, logical part of being an insurance agent (using office supplies, making copies, explaining the policy), it falls under implied authority even without written permission. Common sense fills the gap.

Memory Trick:

IMPLIED = INVISIBLE but logical. Nobody writes 'you are allowed to use a pen' in the contract — but everyone IMPLIES it is necessary. Implied authority = obvious necessities that are never written down.

Watch for these words: "Not expressly mentioned" · "Reasonably necessary" · "Incidental to" · "Not written in the contract"

EXAM QUESTION

An insurance agent's contract states she is authorized to solicit and sell policies. Her contract says nothing about accepting premium payments. She accepts a premium from a client on behalf of the insurer. This action is most likely covered by: A) Express authority — accepting premiums is always expressly authorized B) Apparent authority — because the client assumed she could C) Implied authority — accepting premiums is incidental to selling policies D) No authority — she should have refused the premium

ANSWER & WHY

Correct Answer: C — Implied authority

Why: Implied authority covers acts that are reasonably necessary to complete the express duties. Accepting a premium is logically incidental to selling a policy — it would be impractical to tell every agent they need written permission to accept money. The agent's contract did not need to spell this out. This distinguishes implied (logical necessity, unwritten) from express (explicitly written in the contract).

#29 Universal Life CAN Lapse Despite 'Flexible' Premiums

EXAM TRAP

Why Students Get It Wrong:

Students read 'flexible premium' and assume the policy is bulletproof — they can pay whatever they want forever. They forget that if premiums are too low and the cash value is depleted, the policy LAPSES just like any other policy.

What the Exam Is Testing:

The consequence of UL's flexibility: the policy will lapse if the cash value drops to zero due to insufficient premium payments and policy expense charges.

COMMON WRONG ANSWER

'A universal life policy cannot lapse because the premium is flexible.'

How to Spot the Trap:

Flexible does NOT mean free. The policy charges monthly expenses against the cash value. If those charges exceed the cash value AND no premium is paid, the policy lapses. Flexible premium = the amount and timing can vary, NOT that you never have to pay.

Memory Trick:

UL = Universal LIMIT. Flexible means adjustable — not unlimited or free. If you dial the volume down to ZERO on a universal remote, eventually the battery (cash value) dies. Policy lapses = game over.

Watch for these words: "Flexible premium" · "Cash value falls to zero" · "Minimal premiums" · "Monthly deductions"

EXAM QUESTION

A universal life insurance policyholder pays minimal premiums for several years, allowing the cash value to decrease. What happens if the cash value falls to zero? A) The policy converts to term insurance automatically B) The insurer must continue coverage because the premium is flexible C) The policy lapses due to insufficient cash value D) The death benefit is reduced but the policy continues

ANSWER & WHY

Correct Answer: C — The policy lapses

Why: Universal life charges monthly deductions against the cash value for the cost of insurance and expenses. If premiums are too low and the cash value is exhausted, those charges cannot be paid and the policy LAPSES. Flexibility means the policyowner can vary premium payments — but they must ensure the cash value remains sufficient to cover the monthly charges. There is no free ride.

#30 Variable Life Requires a Securities License — Not Just Insurance

EXAM TRAP

Why Students Get It Wrong:

Students think any insurance license covers all insurance products. Variable products (variable life, variable annuities) invest in separate accounts tied to the market. Because they involve securities, the agent MUST hold both an insurance license AND a FINRA securities license (Series 6 or 7).

What the Exam Is Testing:

The securities license requirement for variable products and why it is required: the cash value is invested in securities (separate accounts), not in fixed interest accounts.

COMMON WRONG ANSWER

'A licensed insurance agent can sell any insurance product, including variable life.'

How to Spot the Trap:

The word VARIABLE = SECURITIES LICENSE REQUIRED. Anytime a question mentions variable life or variable annuities being sold, the agent must hold both an insurance AND a securities license. No securities license = cannot sell variable products.

Memory Trick:

VARIABLE = VARIES with the market = it IS a security. Securities need a securities license. FIXED products (whole life, fixed annuity) = insurance license only. VARIABLE products = insurance + securities.

Watch for these words: "Variable" · "Separate accounts" · "Market performance" · "Securities license" · "FINRA"

EXAM QUESTION

An insurance agent has a valid life and health insurance license but does not hold a FINRA securities license. Which product is she NOT permitted to sell? A) Whole life insurance B) Universal life insurance C) Fixed annuity D) Variable annuity

ANSWER & WHY

Correct Answer: D — Variable annuity

Why: Variable annuities invest the premium in separate accounts tied to market performance — making them securities. Selling securities requires a FINRA Series 6 or 7 securities license in addition to an insurance license. Whole life, UL, and fixed annuities use fixed/guaranteed accounts and only require an insurance license. Variable products are the only category requiring both licenses.

#31 MEC Loans Are Taxed Gains-First — Not Basis-First

EXAM TRAP

Why Students Get It Wrong:

Students know regular life insurance policy loans are tax-free. They apply the same rule to MECs (Modified Endowment Contracts). MECs are taxed differently: distributions (including loans) come out GAINS FIRST, making them immediately taxable, plus a 10% penalty if under 59½.

What the Exam Is Testing:

The tax treatment difference between regular life policy loans (basis-first, tax-free up to cost basis) and MEC loans/withdrawals (gains-first, immediately taxable).

COMMON WRONG ANSWER

'A policy loan from a MEC is tax-free because it is a life insurance policy loan.'

How to Spot the Trap:

The word MEC changes EVERYTHING about taxation. Regular life policy = loans tax-free. MEC = loans taxed gains-first + potential 10% penalty. If you see MEC in a tax question, expect taxation.

Memory Trick:

MEC = Money Entered too fast = Consequences. Regular policy = BASIS FIRST (your money out first, tax-free). MEC = GAINS FIRST (tax hits immediately). Think of a MEC as being taxed like an annuity, not like a regular life policy.

Watch for these words: "MEC" · "Modified Endowment Contract" · "Withdrawal" · "Under 59" · "Gains first"

EXAM QUESTION

A policyholder has a Modified Endowment Contract with \$20,000 in accumulated gain above her cost basis. She withdraws \$8,000 from the policy. She is 55 years old. What is the tax consequence? A) Tax-free because she is withdrawing less than the total gain B) \$8,000 is taxable as ordinary income plus a 10% early withdrawal penalty C) Only the gain portion above her basis is taxable D) Tax-free because the policy is a life insurance contract

ANSWER & WHY

Correct Answer: B — \$8,000 taxable as ordinary income plus a 10% penalty

Why: MEC distributions are treated as GAINS FIRST. Since there is \$20,000 in accumulated gain and she only withdrew \$8,000, the ENTIRE \$8,000 is treated as gain (taxable) — none of it is a return of basis. Because she is under 59½, the 10% early distribution penalty also applies. A regular life insurance policy would apply basis-first, but that rule does NOT apply to MECs.

#32 Once a MEC, Always a MEC — It Cannot Be Reversed

EXAM TRAP

Why Students Get It Wrong:

Students think a MEC can be 'fixed' by withdrawing the excess premium or by waiting long enough. Once a policy fails the 7-pay test and becomes a MEC, the MEC status is PERMANENT. It cannot be undone.

What the Exam Is Testing:

The permanence of MEC status and the 7-pay test that triggers it — understanding that MEC reclassification cannot be reversed.

COMMON WRONG ANSWER

'The policyholder can withdraw the excess premium to restore the policy's non-MEC status.'

How to Spot the Trap:

MEC = permanent reclassification. No do-overs. If a question offers a way to 'fix' or 'undo' MEC status, that option is always wrong. The only solution going forward is to understand the tax consequences and plan accordingly.

Memory Trick:

MEC = PERMANENT STAMP. Once the IRS stamps 'MEC' on a policy, the ink never comes off. Like a tattoo — you cannot remove it by thinking about it differently.

Watch for these words: "Revert" · "Restore" · "Undo MEC status" · "Withdraw excess" · "7-pay test"

EXAM QUESTION

A life insurance policy was reclassified as a Modified Endowment Contract after premiums exceeded the 7-pay limit in year 3. In year 5, the policyholder withdraws the excess premiums that triggered the MEC status. What is the policy's status? A) The policy returns to non-MEC status because the excess was removed B) The policy remains a MEC permanently C) The policy is void because of the excess premiums D) The policy status depends on the insurer's approval

ANSWER & WHY

Correct Answer: B — The policy remains a MEC permanently

Why: MEC status is permanent and irrevocable. Once the 7-pay test is failed, removing the excess premium does NOT restore non-MEC status. The policyholder is stuck with the MEC tax treatment forever. The only way to avoid MEC status is to prevent it from occurring in the first place by not overfunding the policy in the first 7 years.

#33 Suicide Clause: After 2 Years, Full Benefit Is Always Paid

EXAM TRAP

Why Students Get It Wrong:

Students assume suicide is permanently excluded from life insurance. The suicide EXCLUSION only applies during the first 1–2 years of the policy. After the exclusion period, suicide is treated like ANY other cause of death and the full death benefit is paid.

What the Exam Is Testing:

The time-limited nature of the suicide exclusion: during the exclusion (1–2 years) = return of premiums only. After the exclusion = full death benefit paid regardless of cause of death.

COMMON WRONG ANSWER

'Suicide is never covered by life insurance — claims for suicide are always denied.'

How to Spot the Trap:

Look for the date: is the suicide within 1–2 years of policy issue or after? Within = premiums returned. After = full benefit paid. The exam will give you a specific time frame to trigger one or the other outcome.

Memory Trick:

2-year WINDOW: within 2 years = premiums only (protection against buying-and-dying fraud). After 2 years = full benefit (the policy's purpose has been established). After the window closes, all causes are covered equally.

Watch for these words: "Years after policy issued" · "Suicide" · "Exclusion period" · "After the exclusion"

EXAM QUESTION

An insured purchases a life insurance policy with a 2-year suicide exclusion clause. Three years later, the insured dies by suicide. What does the insurer pay to the beneficiary? A) Nothing — suicide is excluded from all life insurance coverage B) Return of premiums paid only C) Half the face amount D) The full face amount

ANSWER & WHY

Correct Answer: D — The full face amount

Why: The suicide exclusion only applies during the first 2 years. Since the death occurred 3 years after issue, the exclusion period has passed. The insurer must pay the FULL face amount, treating the suicide exactly like any other cause of death. If the death had occurred within the first 2 years, the insurer would have returned only the premiums paid.

#34

Settlement Options: The BENEFICIARY Chooses — Not the Insured

EXAM TRAP

Why Students Get It Wrong:

Students assume the insured selects the settlement option because they own the policy. The default rule is that the BENEFICIARY chooses how to receive the death benefit after the insured dies — unless the insured specified an option before death.

What the Exam Is Testing:

Who has the right to choose the settlement option: typically the beneficiary after death, unless the insured (policyowner) designated a specific option during their lifetime.

COMMON WRONG ANSWER

'The insured always determines how the death benefit is paid to the beneficiary.'

How to Spot the Trap:

Settlement option = chosen by the BENEFICIARY upon receiving the proceeds — unless the policyowner pre-selected an option in the policy. The question will usually specify if the insured pre-selected. Otherwise, assume beneficiary chooses.

Memory Trick:

SETTLEMENT = the beneficiary SETTLES the account. It's their money after the insured dies — they decide how to receive it. The insured CAN pre-select, but the default right belongs to the beneficiary.

Watch for these words: "No settlement option specified" · "Default" · "Right to choose" · "How proceeds are received"

EXAM QUESTION

An insured dies and leaves a \$500,000 life insurance death benefit with no settlement option specified in the policy. Who has the right to choose how the proceeds are distributed? A) The insurer — they determine the most appropriate settlement option B) The insured's estate — because the insured owned the policy C) The beneficiary — the default right to select a settlement option belongs to them D) The court — because no option was specified

ANSWER & WHY

Correct Answer: C — The beneficiary

Why: When no settlement option is pre-selected by the policyowner, the DEFAULT right to choose belongs to the beneficiary. The beneficiary can elect a lump sum (most common), interest only, fixed period, fixed amount, or life income. The insured (policyowner) CAN pre-select during their lifetime, but without a pre-selection, the beneficiary makes the choice.

#35

Life Income Settlement: Pure Life Stops at Death — Even If Little Was Paid

EXAM TRAP

Why Students Get It Wrong:

Students assume the beneficiary always receives at least the face amount from a life income settlement. Under pure life income, payments stop at the beneficiary's death — even if only one or two payments were made. There is no minimum guaranteed payout under pure life income.

What the Exam Is Testing:

The risk of the pure life income settlement option: payments stop at death, meaning the beneficiary's estate could receive far less than the face amount if the beneficiary dies early.

COMMON WRONG ANSWER

'A life income settlement guarantees the beneficiary will receive at least the face amount.'

How to Spot the Trap:

'Life income only' = risky for the beneficiary. If they die quickly, the insurer keeps the remaining balance. 'Life income with period certain' = safer. The 'period certain' adds a guaranteed minimum number of payments. Pure life income has no such guarantee.

Memory Trick:

PURE LIFE INCOME = gamble on your lifespan. Die tomorrow = your estate gets little or nothing. 'Life income with PERIOD CERTAIN' = safety net (guaranteed X payments). Pure life = pure risk for the beneficiary.

Watch for these words: "Life income only" · "Payments stop at death" · "No period certain" · "Remaining balance"

EXAM QUESTION

A beneficiary elects a life income settlement option on a \$250,000 death benefit. She begins receiving monthly payments but dies after receiving only 4 payments. What happens to the remaining balance? A) Paid to her estate in a lump sum B) Paid to a contingent beneficiary C) Returned to the insurer — no further payments are made D) Continued for the remaining certain period

ANSWER & WHY

Correct Answer: C — Returned to the insurer

Why: Under a pure life income settlement, all payments stop at the beneficiary's death — regardless of how much has been paid. If she dies after only 4 payments, the remaining proceeds stay with the insurer. This is the key risk of pure life income versus life income with period certain (which guarantees payments for a minimum number of years even if the beneficiary dies).

#36**Copay Does NOT Count Toward the Deductible****EXAM TRAP****Why Students Get It Wrong:**

Students assume all cost-sharing amounts stack together toward the deductible. Copays are flat fees charged separately — they typically do NOT reduce the deductible balance. Coinsurance and deductible payments count, but copays usually stand alone.

What the Exam Is Testing:

The structural difference between copays (fixed fee per visit, independent of deductible) and coinsurance/deductibles (sequential cost-sharing toward annual thresholds).

COMMON WRONG ANSWER

'Each \$30 copay the patient pays reduces her deductible balance.'

How to Spot the Trap:

If a calculation question involves both a copay AND a deductible, treat the copay as a separate, standalone payment. Do NOT subtract copays from the deductible. Deductible + coinsurance payments count toward the out-of-pocket max. Copays may or may not — check the plan.

Memory Trick:

COPAY = separate toll booth on the road. You pay it every time you drive through — but it does NOT build credit toward the yearly highway bill (deductible). Two different payment systems running side by side.

Watch for these words: "Copay" · "Counts toward deductible" · "Annual deductible balance" · "Previous copays"

EXAM QUESTION

A health plan has a \$1,000 annual deductible, a \$30 copay per physician visit, and 80/20 coinsurance after the deductible. A patient has paid \$600 in copays throughout the year for 20 visits. She now receives a \$500 specialist bill. How much of the \$500 does she owe before insurance contributes? A) \$0 — she has overpaid through copays B) \$400 — her copays count toward the deductible C) \$500 — her deductible has not been met D) \$300 — she has partially met the deductible through copays

ANSWER & WHY

Correct Answer: C — \$500

Why: Copays do NOT count toward the deductible. Despite paying \$600 in copays, her \$1,000 deductible is completely unmet. She owes the first \$500 of the specialist bill out of pocket (bringing her deductible to \$500 of \$1,000). After the deductible is fully met, the 80/20 coinsurance would apply to further bills.

#37**LTC ADL Trigger: Only 2 of 6 Are Needed — Not All Six****EXAM TRAP****Why Students Get It Wrong:**

Students think LTC benefits require complete disability — inability to do all 6 ADLs. The actual threshold is only 2 of the 6 ADLs. This is a much lower bar and affects many more people than students expect.

What the Exam Is Testing:

The exact LTC benefit trigger: inability to perform 2 of the 6 ADLs (Bathing, Dressing, Eating, Toileting, Transferring, Continence) OR cognitive impairment.

COMMON WRONG ANSWER

'LTC benefits require the insured to be unable to perform all 6 daily activities.'

How to Spot the Trap:

The number 2 is the key. When a question asks when LTC benefits begin, 2 of 6 ADLs is always the answer — not 3, not 4, not all 6. Also remember: cognitive impairment is a SEPARATE trigger that works independently, even if all ADLs are intact.

Memory Trick:

JUST 2 of 6. Think of it as needing help with bathing AND dressing — that's enough to trigger LTC. You don't need to be completely helpless. Big Dogs Eat Tasty Tender Chunks (B-D-E-T-T-C). Only 2 of those 6 are required.

Watch for these words: "ADLs" · "Activities of daily living" · "Unable to perform" · "2 of 6" · "Bathing or dressing"

EXAM QUESTION

A 75-year-old LTC policyholder can no longer bathe or dress herself without assistance. She is still able to eat, use the toilet, transfer independently, and maintain continence. Has the LTC benefit trigger been met? A) No — she must be unable to perform at least 3 ADLs B) No — she must be unable to perform all 6 ADLs C) Yes — inability to perform 2 ADLs is sufficient D) Yes — but only if the condition is expected to be permanent

ANSWER & WHY

Correct Answer: C — Yes, 2 ADLs is sufficient

Why: LTC insurance triggers when the insured cannot perform at least 2 of the 6 ADLs. Being unable to bathe AND dress is exactly 2 — the threshold is met. The other 4 ADLs being intact is irrelevant. The benefit trigger does not require permanent disability — it requires the expected inability for a defined period (typically 90 days or more).

#38 Cognitive Impairment Is an INDEPENDENT LTC Trigger

EXAM TRAP

Why Students Get It Wrong:

Students know the ADL trigger and assume that's the ONLY way to qualify for LTC benefits. They forget that cognitive impairment (such as Alzheimer's disease) is a completely SEPARATE trigger — even if the person can perform ALL 6 ADLs independently.

What the Exam Is Testing:

That there are TWO independent LTC triggers: (1) inability to perform 2 of 6 ADLs, OR (2) cognitive impairment such as dementia or Alzheimer's. Either one alone qualifies — you do not need both.

COMMON WRONG ANSWER

'LTC benefits are not available because the insured can still perform all daily activities.'

How to Spot the Trap:

If the question describes Alzheimer's, dementia, or severe cognitive decline and the person CAN still perform ADLs, the LTC benefit is STILL triggered via the cognitive impairment pathway. ADL ability is irrelevant when cognitive impairment exists.

Memory Trick:

TWO KEYS to unlock LTC: Key 1 = 2 of 6 ADLs. Key 2 = Cognitive impairment. Either key opens the door. You don't need both keys — just one. Alzheimer's = Key 2 is sufficient.

Watch for these words: "Alzheimer's" · "Dementia" · "Cognitive impairment" · "Can still perform ADLs" · "Supervision"

EXAM QUESTION

A policyholder is diagnosed with moderate Alzheimer's disease and requires supervision for safety. She can still bathe, dress, eat, and perform all other ADLs independently. Is she eligible for LTC benefits? A) No — she must be unable to perform at least 2 ADLs B) No — Alzheimer's is excluded from LTC policies C) Yes — cognitive impairment is an independent LTC benefit trigger D) Yes — but only for home care, not facility-based care

ANSWER & WHY

Correct Answer: C — Yes, cognitive impairment is an independent trigger

Why: Cognitive impairment — including Alzheimer's disease — is an independent, standalone trigger for LTC benefits. The insured does not need to also fail the ADL test. Her ability to perform all 6 ADLs is irrelevant. Alzheimer's is explicitly covered under LTC policies (it is NOT excluded). Both nursing home and home care are typically covered.

#39**COBRA: Divorce Triggers 36 Months — Not 18****EXAM TRAP****Why Students Get It Wrong:**

Students apply the standard 18-month job-loss period to ALL qualifying events. Divorce, legal separation, the covered employee's death, and a dependent child aging off the plan all trigger 36 months — not 18.

What the Exam Is Testing:

The specific qualifying events that trigger each COBRA continuation period: 18 months (employment events) vs. 36 months (family relationship events).

COMMON WRONG ANSWER

'A spouse who divorces a covered employee can continue COBRA coverage for 18 months.'

How to Spot the Trap:

Divide qualifying events into two buckets: EMPLOYMENT events (job loss, reduced hours) = 18 months. FAMILY events (divorce, death of employee, losing dependent status, Medicare) = 36 months. A person losing coverage due to a change in family status always gets the longer period.

Memory Trick:

Work events = 18. Family events = 36. Divorce is a family event. Fired is a work event. Double the time for family changes because they often require more time to find alternative coverage.

Watch for these words: "Divorced" · "Legal separation" · "Former spouse" · "Death of employee" · "Dependent child"

EXAM QUESTION

An employee's spouse loses health coverage when the couple divorces. Under COBRA, for how long may the former spouse continue group health coverage? A) 18 months B) 24 months C) 29 months D) 36 months

ANSWER & WHY

Correct Answer: D — 36 months

Why: Divorce is a qualifying event that triggers a 36-month COBRA continuation period for the former spouse. This longer period recognizes that a spouse losing coverage through divorce needs more time to find alternative coverage than a terminated employee. The 18-month period applies to job loss and reduced hours — not to divorce or other family relationship changes.

#40**APS: The Insurer Orders It — The Insurer Pays for It****EXAM TRAP****Why Students Get It Wrong:**

Students assume the applicant pays for their own medical records. Because the APS involves the applicant's medical history, students think the applicant bears the cost. The rule is straightforward: whoever ORDERS the test pays for it — and the insurer orders the APS.

What the Exam Is Testing:

That the insurance company is responsible for the cost of all medical exams and records it requests during underwriting, including the Attending Physician Statement (APS) and paramedical exam.

COMMON WRONG ANSWER

'The applicant is responsible for the cost of the Attending Physician Statement.'

How to Spot the Trap:

Simple rule: INSURER ORDERS = INSURER PAYS. If the applicant wants additional copies of their medical records for personal use, that's their cost. But anything the insurer requests for underwriting purposes is the insurer's expense.

Memory Trick:

'If the INSURER requests it, the INSURER pays for it.' Say it once, remember it forever. The insurer needs the information to make a business decision — they pay for their own business research.

Watch for these words: "APS" · "Attending physician" · "Requested by the insurer" · "Underwriting exam" · "Who pays"

EXAM QUESTION

During the underwriting process, the insurance company requests an Attending Physician Statement from the applicant's primary care doctor. Who is responsible for the cost of obtaining this statement? A) The applicant — it contains their medical information B) The insurance company — they requested it for underwriting C) The physician — providing records is part of their professional duty D) Shared equally between the applicant and insurer

ANSWER & WHY

Correct Answer: B — The insurance company

Why: The insurance company requests the APS to evaluate the applicant's risk. Because the insurer is requesting the information for its own underwriting decision, the insurer bears the cost. This applies to ALL insurer-requested tests: APS, paramedical exams, blood tests, and any other diagnostic tests required for underwriting. The applicant's health information does not make the applicant responsible for the research cost.

#41 POS Plan: Out-of-Network Is Available — POS Is NOT an HMO

EXAM TRAP

Why Students Get It Wrong:

POS (Point of Service) is often described as an HMO-PPO hybrid, and students latch onto the HMO characteristics (PCP, referrals) while forgetting the PPO characteristic (out-of-network coverage available at higher cost).

What the Exam Is Testing:

The distinguishing feature of POS: unlike an HMO, a POS member CAN use out-of-network providers — just at a significantly higher cost-sharing rate.

COMMON WRONG ANSWER

'A POS member cannot go out of network because it requires a PCP and referrals like an HMO.'

How to Spot the Trap:

POS = SWITCH point. At each visit you CHOOSE: follow HMO rules (in-network, low cost) OR go PPO-style (out-of-network, high cost). The ability to choose is what makes it a POS — not an HMO.

Memory Trick:

POS = POINT OF SWITCH. At the point of service (each visit), you switch between two tracks: the cheap HMO track or the expensive PPO track. The SWITCH is the key — HMO has no switch because you must stay in-network.

Watch for these words: "POS" · "Out-of-network" · "Higher cost" · "Without a referral" · "Point of service"

EXAM QUESTION

A POS plan member needs to see a specialist. She does not obtain a referral and visits an out-of-network specialist. Which of the following is correct? A) Her visit is covered at the in-network rate because no referral was needed B) Her visit is not covered at all — POS requires in-network only C) Her visit is covered but at a higher cost-sharing rate D) She will be disenrolled for violating plan rules

ANSWER & WHY

Correct Answer: C — Covered at a higher cost-sharing rate

Why: POS plans allow out-of-network usage — but at a significantly higher cost. She chose the PPO-style track at this visit, which provides coverage but with higher deductibles and coinsurance. An HMO would have provided NO coverage (except emergencies). The ability to access out-of-network care with some coverage is the defining POS feature that separates it from a pure HMO.

#42 EPO Has No Referral Requirement — Unlike HMO

EXAM TRAP

Why Students Get It Wrong:

EPO (Exclusive Provider Organization) restricts members to in-network providers — just like an HMO. Students assume that because it's restrictive like an HMO, it also requires a referral. It does NOT.

What the Exam Is Testing:

The precise EPO distinction: in-network only (like HMO) + NO referral required (like PPO) = EPO. It combines the worst of HMO (no out-of-network coverage) with the best of PPO (no referral requirement).

COMMON WRONG ANSWER

'An EPO member needs a referral to see a specialist.'

How to Spot the Trap:

EPO = Exclusive (network) + No Referral. If a question describes a plan with no out-of-network coverage AND no referral requirement, the answer is EPO — not HMO.

Memory Trick:

EPO = Exclusive Provider Only. No going outside. But inside the network, you can see ANY specialist directly — no gatekeeper. HMO has the gatekeeper. EPO has the exclusive network but no gatekeeper.

Watch for these words: "In-network only" · "No referral required" · "No out-of-network" · "See any specialist"

EXAM QUESTION

A health plan covers services only from in-network providers. Members may see any specialist within the network without a referral. Out-of-network services (except emergencies) are not covered. This plan is best described as: A) HMO B) PPO C) POS D) EPO

ANSWER & WHY

Correct Answer: D — EPO

Why: An EPO (Exclusive Provider Organization) provides in-network-only coverage (no out-of-network except emergencies) but does NOT require referrals or a PCP gatekeeper. This distinguishes it from an HMO (which requires a PCP and referral) and a PPO (which covers out-of-network). The combination of 'exclusive network' + 'no referral' = EPO.

#43 Term Life Has ZERO Cash Value — No Exceptions

EXAM TRAP**Why Students Get It Wrong:**

Students think that if they've paid premiums long enough, they must have built up something. Term life insurance has absolutely no cash value regardless of how long the policy has been in force or how many premiums have been paid.

What the Exam Is Testing:

The absolute absence of cash value in term life insurance — all premiums go toward pure death protection with no savings component.

COMMON WRONG ANSWER

'After 10 years, a term life policyholder has built a small cash value they can borrow against.'

How to Spot the Trap:

TERM = TEMPORARY + NO CASH VALUE. Period. If a question mentions term life and asks about cash value, loans, or surrender value, the answer is always zero or 'none available.' Cash value is a feature of PERMANENT insurance only.

Memory Trick:

TERM = RENT. When you stop renting, you get nothing back — no equity, no cash value, no return. Your rental payments bought temporary shelter. Your term premiums bought temporary death protection. Nothing more.

Watch for these words: "Term life" + "borrow" · "Term life" + "cash value" · "Term life" + "surrender value"

EXAM QUESTION

A policyholder has paid premiums on a 20-year term life insurance policy for 15 years. She wants to borrow money against her policy's accumulated value. What can she borrow? A) Up to 90% of the accumulated cash value B) The total of premiums paid over 15 years C) Nothing — term life insurance has no cash value D) A limited amount based on the remaining term

ANSWER & WHY

Correct Answer: C — Nothing — term life has no cash value

Why: Term life insurance provides pure death protection with absolutely no cash value or savings component. No matter how many years of premiums have been paid, there is nothing to borrow against. Policy loans are only available in permanent life insurance policies (whole life, universal life, variable life) that accumulate cash value. Term life ends with nothing if the insured outlives the policy.

#44 Whole Life Premiums Are Guaranteed Level — They NEVER Increase

EXAM TRAP**Why Students Get It Wrong:**

Students confuse whole life with universal life or term insurance, both of which can have variable premium structures. Whole life's LEVEL GUARANTEED PREMIUM is one of its three defining guarantees and never increases for the life of the policy.

What the Exam Is Testing:

One of the three guarantees of whole life insurance: the premium is LEVEL and GUARANTEED — it never increases regardless of the insured's age or health changes.

COMMON WRONG ANSWER

'A whole life premium will increase as the insured ages, similar to annual renewable term.'

How to Spot the Trap:

WHOLE LIFE + GUARANTEE + PREMIUM = never increases.
The three guarantees of whole life (death benefit, cash value, level premium) are iron-clad. If a question asks what happens to the premium as the insured gets older in a whole life policy, the answer is: nothing — it stays the same.

Memory Trick:

Whole Life = W-H-L: Whole life, Higher initial premium (vs. term), Level forever. The L in WHL = Level — it's built into the name's concept.

Watch for these words: "Whole life" · "Premium increase" · "As the insured ages" · "Guaranteed level"

EXAM QUESTION

A 35-year-old purchases a whole life insurance policy with a \$200 monthly premium. By the time he reaches age 65, what will his monthly premium be? A) \$350 — premiums increase with age under whole life B) \$200 — the premium is guaranteed level for life C) \$0 — the policy will be paid up by age 65 D) It depends on his health at age 65

ANSWER & WHY

Correct Answer: B — \$200

Why: One of whole life's three ironclad guarantees is the level premium — it never changes for the life of the policy. The same \$200 premium paid at age 35 continues at age 65, age 80, or any other age. This is a fundamental difference from annual renewable term (which increases each year) and universal life (which is flexible). The level premium is WHY whole life costs more initially than term.

#45

Stock Company Policyholders Do NOT Receive Dividends

EXAM TRAP

Why Students Get It Wrong:

Students hear 'insurance company dividend' and assume all policyholders benefit. Stock company SHAREHOLDERS receive dividends. Policyholders of stock companies are customers only — they have no ownership interest and receive no dividends.

What the Exam Is Testing:

The ownership distinction between stock companies (owned by shareholders who receive dividends) and mutual companies (owned by policyholders who may receive dividends).

COMMON WRONG ANSWER

'If a stock insurance company is profitable, its policyholders receive a dividend.'

How to Spot the Trap:

STOCK company = shareholders get dividends. Mutual company = policyholders get dividends (maybe — they're not guaranteed). If the question mentions 'stock company' and 'policyholder dividend,' the answer is: that doesn't happen.

Memory Trick:

STOCK company: investors own STOCK and get dividends. **Policyholders just bought insurance — they're customers, not owners.** **MUTUAL company:** policyholders ARE the owners, so they may share in profits.

Watch for these words: "Stock company" · "Shareholders" · "Policyholders" · "Dividend" · "Profitable"

EXAM QUESTION

ABC Life Insurance Company is organized as a stock company and reports record profits this year. Which of the following groups will receive a dividend from these profits? A) All policyholders with participating policies B) Only the policyholders who have been with the company 5+ years C) The shareholders of ABC Life Insurance Company D) Both policyholders and shareholders equally

ANSWER & WHY

Correct Answer: C — The shareholders

Why: Stock insurance companies are owned by shareholders — investors who purchased shares of the company's stock. Profits flow to shareholders as dividends. Policyholders of stock companies are customers, not owners, and do not receive policy dividends. Mutual insurance companies, by contrast, are owned by policyholders, who may receive dividends as a return of excess premium.

#46

Life Insurance Dividends Are NOT Taxable — They're a Return of Premium

EXAM TRAP

Why Students Get It Wrong:

Students see the word 'dividend' and automatically think 'taxable income' — because stock dividends ARE taxable. Life insurance policy dividends are completely different: they are a return of the excess premium you already paid, not a profit.

What the Exam Is Testing:

The tax treatment of life insurance policy dividends as a return of excess premium rather than taxable income.

COMMON WRONG ANSWER

'Policy dividends received from a participating life insurance policy are taxable as ordinary income.'

How to Spot the Trap:

Life insurance dividend ≠ stock dividend (tax treatment). Life insurance dividends are your own overpaid premiums coming back. Getting your own money back is not income. Stock dividends = income. Life policy dividends = return of cost = NOT taxable.

Memory Trick:

POLICY DIVIDEND = the insurer returning your CHANGE. You overpaid at the restaurant — the waiter brings change back. That change is NOT income. Stock dividends are profits the company shares with investors — THAT is income.

Watch for these words: "Policy dividend" · "Participating policy" · "Taxable" · "Return of premium"

EXAM QUESTION

A policyholder with a participating whole life policy receives a \$400 annual dividend from her insurer. How is this dividend treated for income tax purposes? A) It is fully taxable as ordinary income in the year received B) It is not taxable because it represents a return of excess premium C) It is taxable only if it exceeds the annual premium amount D) It is subject to capital gains tax

ANSWER & WHY

Correct Answer: B — Not taxable

Why: Life insurance policy dividends are treated as a return of the excess premium — essentially the insurer returning money it overcharged. Because you are receiving back money you already paid (not a profit), it is NOT taxable income in the year received. If cumulative dividends eventually exceed the total premiums paid, the excess would become taxable — but this rarely happens in practice.

#47

Disability Elimination Period Is NOT the Grace Period

EXAM TRAP

Why Students Get It Wrong:

Both the grace period and the elimination period involve waiting before benefits apply. Students mix these up constantly. They are completely different concepts in completely different contexts.

What the Exam Is Testing:

The distinction between the grace period (time to pay an overdue premium before the policy lapses) and the elimination period (waiting period in disability income insurance before benefits begin).

COMMON WRONG ANSWER

'The elimination period is the time the insurer allows to pay a missed premium.'

How to Spot the Trap:

GRACE PERIOD = extra time to pay a LATE PREMIUM (7/10/31 days, specific to premium payment). ELIMINATION PERIOD = waiting time in DISABILITY INCOME before benefits START (30, 60, 90, 180 days). Two different concepts — same kind of word (waiting) but completely different contexts.

Memory Trick:

GRACE = PREMIUM PAYMENT gap. God gives grace = extra time. ELIMINATION = DISABILITY waiting period. Eliminate the first X days before paying income. Context is everything: premium late → grace. Disability → elimination.

Watch for these words: "Elimination period" · "Waiting period" · "Disability begins" · "Before benefits start"

EXAM QUESTION

A disability income insurance policyholder becomes totally disabled. His policy has a 90-day elimination period. When does he begin receiving disability income benefits? A) Immediately upon becoming disabled B) After 10 days — the standard grace period for monthly premiums C) After 90 days of continuous disability D) After 6 months — the standard waiver of premium elimination period

ANSWER & WHY

Correct Answer: C — After 90 days

Why: The elimination period in disability insurance is the waiting period between the onset of disability and when benefits begin. It functions like a time-based deductible. With a 90-day elimination period, the insured must be disabled for 90 continuous days before receiving any income benefits. This has nothing to do with the grace period (which only applies to late premium payments).

#48 ACA Gold Tier Is 80/20 — Bronze Is 60/40

EXAM TRAP**Why Students Get It Wrong:**

Students mix up which metal tier corresponds to which actuarial value (cost-sharing split). They know the tiers exist but confuse the percentages. The most commonly reversed pair is Gold (80/20) and Bronze (60/40).

What the Exam Is Testing:

The four ACA metal tier actuarial values: Bronze (60/40), Silver (70/30), Gold (80/20), Platinum (90/10) — and the inverse relationship between premiums and out-of-pocket costs.

COMMON WRONG ANSWER

'A Gold plan has a 60/40 actuarial value.'

How to Spot the Trap:

Metal tiers are in alphabetical order from worst coverage to best coverage: Bronze < Silver < Gold < Platinum. Actuarial values increase: 60, 70, 80, 90. If the question says 80/20, match it to Gold. 90/10 = Platinum. 60/40 = Bronze.

Memory Trick:

B-S-G-P = 60-70-80-90. Bronze starts at 60 (cheapest premiums, most cost-sharing). Platinum ends at 90 (most expensive premiums, least cost-sharing). Moving UP the metals = more coverage, higher premium.

Watch for these words: "Actuarial value" · "80/20" · "Metal tier" · "Insurer pays X%" · "ACA marketplace"

EXAM QUESTION

A marketplace health plan requires the insurer to cover 80% of average medical expenses, with the insured responsible for 20%. Which ACA metal tier does this plan represent? A) Bronze B) Silver C) Gold D) Platinum

ANSWER & WHY

Correct Answer: C — Gold

Why: An 80/20 actuarial value (insurer pays 80%, insured pays 20%) is the Gold tier. Bronze = 60/40. Silver = 70/30. Gold = 80/20. Platinum = 90/10. Gold has moderate-to-high premiums and relatively low cost-sharing. Bronze has low premiums but high out-of-pocket costs when care is needed.

#49 Field Underwriting: The Agent Has a Duty — Not Just a Sales Role

EXAM TRAP**Why Students Get It Wrong:**

Students think the agent's job ends at collecting the application and submitting it. Field underwriting requires agents to identify obvious insurability concerns, complete applications accurately, and NOT submit applications they know to be materially incomplete or false.

What the Exam Is Testing:

The agent's legal and ethical duty in field underwriting: to act as the first filter, ask complete questions, and submit only truthful, complete applications.

COMMON WRONG ANSWER

'The agent's only responsibility is to collect the application — underwriting decisions belong entirely to the company.'

How to Spot the Trap:

If an agent submits an application KNOWING it is incomplete or contains misstatements, the agent has violated their duty. This is agent misrepresentation — a separate violation from applicant misrepresentation. Agents can lose their license for submitting fraudulent applications.

Memory Trick:

AGENT = FIRST FILTER in the underwriting pipeline. Quality control starts at the kitchen table (field). If the agent lets bad information through, they are part of the problem — and face regulatory consequences.

Watch for these words: "Did not record" · "Knowingly omitted" · "Agent completed" · "Application accuracy"

EXAM QUESTION

An agent helps a client complete a life insurance application. The client discloses a heart condition, but the agent does not record it on the application to improve the chances of approval. The client is later issued a policy. This is best described as: A) Acceptable — the agent was helping the client get coverage B) Agent misrepresentation — the agent knowingly submitted a false application C) Concealment by the applicant only — the agent bears no responsibility D) Acceptable underwriting flexibility by the field agent

ANSWER & WHY

Correct Answer: B — Agent misrepresentation

Why: An agent who knowingly omits a material health condition from an application has committed misrepresentation. The agent is NOT simply a conduit — they have a legal duty to accurately record information provided by the applicant. Submitting a false application can result in license revocation, fines, and policy rescission. The agent's motivation (helping the client) is not a defense.

#50 ERISA Preempts State Law for Self-Funded Employer Plans

EXAM TRAP

Why Students Get It Wrong:

Students assume all employer health benefit plans must comply with state insurance regulations. ERISA creates a federal preemption — self-funded employer plans are exempt from most state insurance laws, including mandated benefit laws.

What the Exam Is Testing:

ERISA's preemption of state insurance laws for self-insured employer health plans, and the distinction between self-funded plans (ERISA-governed, not state-regulated) and fully insured plans (state-regulated).

COMMON WRONG ANSWER

'All employer-sponsored health plans must comply with state insurance mandated benefit laws.'

How to Spot the Trap:

SELF-FUNDED employer plan = ERISA governs = state insurance laws do NOT apply. FULLY INSURED (employer buys group policy from an insurer) = state insurance laws DO apply. The type of funding is the trigger.

Memory Trick:

ERISA = Federal Referee. When ERISA steps onto the field, state rules step aside for self-funded plans. Self-funded = federal only. Fully insured = state + federal.

Watch for these words: "Self-funded" · "Self-insured employer" · "State mandate" · "ERISA" · "Preemption"

EXAM QUESTION

A state law requires all health insurance policies to cover infertility treatments. A large employer self-funds its employee health benefit plan. Is the employer required to cover infertility treatments under this state law? A) Yes — all employer health plans must comply with state mandated benefit laws B) No — ERISA preempts state insurance mandates for self-funded plans C) Yes — if the employer has more than 50 employees D) No — only small employers are exempt from state mandates

ANSWER & WHY

Correct Answer: B — No, ERISA preempts the state mandate

Why: ERISA preempts most state insurance laws for self-funded employer health benefit plans. A self-funded employer is NOT an insurance company — it is assuming its own risk. State insurance mandates apply to INSURANCE POLICIES issued by licensed insurers. Because the employer self-funds the plan (no insurance policy involved), the state's mandated benefit law does not apply.

10 Words That Should Immediately Trigger the Correct Answer

When you see any of these words in an exam question, your brain should instantly fire the associated rule. Train yourself to react to these triggers before exam day.

1

REFERRAL

Immediately think: HMO

If a plan requires a referral to see a specialist, it is an HMO. No other major plan type requires referrals AND a gatekeeper PCP. PPO = no referral. EPO = no referral. POS = referral only for in-network.

2

PCP (Primary Care Physician)

Immediately think: HMO (or POS for hybrid)

Only HMOs and POS plans require a designated PCP. If the question mentions selecting a PCP AND needing referrals, it is HMO. If PCP but can go out-of-network, it is POS.

3

FLEXIBLE PREMIUM

Immediately think: Universal Life

Flexible premiums are THE defining feature of Universal Life. No other permanent life product has adjustable premiums. Variable life = fixed premium. Whole life = level guaranteed premium.

4

GUARANTEED

Immediately think: Whole Life (and be suspicious of other claims)

Whole life has 3 guaranteed elements: death benefit, level premium, cash value growth. When you see 'guaranteed' next to a life insurance product, think whole life. Be very suspicious when 'guaranteed' is paired with dividends (they are NEVER guaranteed).

5

CASH VALUE

Immediately think: Permanent insurance + policy loans available

Only permanent life insurance (whole life, UL, variable life) builds cash value. Term life = ZERO cash value. If a question asks about borrowing or surrendering for cash, it must be a permanent policy.

6

DIVIDEND

Immediately think: Mutual company + NOT guaranteed + NOT taxable

Life insurance policy dividends come from MUTUAL companies' participating policies. They are NOT guaranteed and are NOT taxable income. If you see 'dividend guaranteed,' that is a trap answer.

7

COGNITIVE IMPAIRMENT

Immediately think: Independent LTC trigger — ADLs are irrelevant

Cognitive impairment (Alzheimer's, dementia) is an independent LTC benefit trigger. Whether the person can perform ADLs or not is IRRELEVANT when cognitive impairment is diagnosed.

8

SAME COMPANY

Immediately think: Churning (not twisting)

Replacing a policy within the SAME insurance company for commission = churning. Different company = twisting. Same company is the single word that separates these two violations.

9

OUT-OF-NETWORK

Immediately think: HMO = no coverage. PPO/POS = higher cost-sharing. EPO = no coverage.

Out-of-network is the most important managed care distinction. HMO and EPO provide NO coverage outside the network (except emergencies). PPO and POS provide coverage but at a higher cost.

10

APPARENT AUTHORITY

Immediately think: Insurer IS bound — even without written permission

Apparent authority protects innocent third parties. If the insurer ALLOWED an agent to LOOK authorized (letterhead, office, business cards), the insurer is bound regardless of what the written contract says.

Last-Minute Exam Trap Checklist

Read this page the morning of your exam. These are the rules most likely to be tested — and most likely to be answered wrong without this review.

HEALTH INSURANCE

- [] Deductible BEFORE coinsurance — ALWAYS. D-C-O staircase.
- [] HMO = PCP required + Referral required + In-network ONLY.
- [] PPO = No PCP, no referral, out-of-network covered (at higher cost).
- [] POS = PCP + Referral for in-network; Out-of-network allowed at higher cost.
- [] EPO = No referral needed, but in-network ONLY (no out-of-network coverage).
- [] Copays do NOT count toward the deductible.
- [] LTC trigger = 2 of 6 ADLs OR cognitive impairment (either one, not both needed).
- [] COBRA: Job loss = 18 months. Divorce/death/dependent = 36 months. 102% premium.

LIFE INSURANCE

- [] Term life = ZERO cash value, no exceptions.
- [] Whole life = 3 guarantees: death benefit, LEVEL premium forever, cash value growth.
- [] Universal life = Flexible premium AND adjustable death benefit. CAN lapse if cash runs out.
- [] Variable life = Market-linked separate accounts. Requires securities license (FINRA).
- [] Immediate annuity = single lump sum ONLY. Income starts immediately.
- [] 1035 Exchange: Annuity to Life = PROHIBITED. All other combos allowed.
- [] MEC = 7-pay test. Once MEC, always MEC. Loans taxed GAINS FIRST + 10% penalty (under 59.5).
- [] Non-forfeiture: Reduced Paid-Up = smaller PERMANENT. Extended Term = same amount, TEMPORARY. ET is DEFAULT.
- [] Settlement options: BENEFICIARY chooses (not insured). Pure life income stops at death.

POLICY PROVISIONS

- [] Grace period: 7 days (weekly), 10 days (monthly), 31 days (all other modes).
- [] Incontestability: after 2 years, cannot void policy. Exceptions: non-payment, impersonation.
- [] Misstatement of age: ADJUSTS benefit. NEVER voids the policy.
- [] Revocable beneficiary = policyowner can change anytime, no consent needed.
- [] Irrevocable beneficiary = consent required for ALL policy actions (loans, surrender, assignment).
- [] Waiver of premium = insurer pays the POLICY PREMIUMS. Insured gets no cash income from this rider.
- [] Suicide clause: within exclusion period = premiums returned. After exclusion = full benefit paid.

FUNDAMENTALS & UNDERWRITING

- [] Pure risk = ONLY loss possible = INSURABLE. Speculative = can win or lose = NOT insurable.
- [] Insurable interest for LIFE = required at INCEPTION only (not at death).
- [] Concealment = silence (hid a fact). Misrepresentation = false statement. Materiality matters.
- [] Warranty = guaranteed 100% true. Representation = believed true (only material errors matter).
- [] Substandard risk = NOT automatically declined. Options: rate up, exclusion, modify, or decline.
- [] Preferred = LOWER than standard premium. Standard = average. Substandard = higher.

- [] APS: insurer REQUESTS it, insurer PAYS for it.
- [] Participating dividends = NOT guaranteed, NOT taxable (return of excess premium).
- [] Stock company dividends go to SHAREHOLDERS — not policyholders.
- [] Net premium = actuarial cost only (no expenses). Gross = net + loading. Gross is what you pay.

ETHICS & LAW

- [] Agent = represents the INSURANCE COMPANY. Broker = represents the CLIENT.
- [] Express authority = written in the contract. Implied = logically necessary. Apparent = how it looks.
- [] Apparent authority: insurer IS bound even if agent exceeded written authority.
- [] Twisting = replace policy at DIFFERENT company. Churning = replace at SAME company.
- [] Rebating = illegal for BOTH the agent AND the client. Any item of value qualifies.
- [] ERISA preempts state insurance laws for SELF-FUNDED employer health plans.
- [] Suitability: always recommend based on client's FANG — Financial situation, Age, Needs, Goals.

Final exam advice: In the first 90 seconds, write on scratch paper: 7-10-31 (grace), B-D-E-T-T-C (ADLs), A-B-C-D (Medicare), 18-29-36-102 (COBRA), C-R-E (non-forfeiture), D-C-O (cost-sharing). Name the concept before reading the answers. You have prepared for this. Trust your preparation.

50 Practice Questions

Multiple choice · Four answer options · Detailed explanations · Matched to actual exam difficulty

50	6	3	200+
Questions	Topic Areas	Difficulty Levels	Explanation Lines

Topic Distribution

Life Insurance 14 Questions	Health Insurance 12 Questions	Policy Provisions 5 Questions
Underwriting 4 Questions	Insurance Fundamentals 8 Questions	Legal Concepts 7 Questions

Difficulty Levels

Basic	Tests direct recall of definitions and core rules.
Moderate	Tests application of concepts to real scenarios.
Challenging	Tests nuanced distinctions and multi-step analysis.

Instructions: Read each question carefully. Select the BEST answer from the four choices. After completing the practice exam, review the detailed explanations in Part 2. For every wrong answer, read ALL four answer explanations to understand why each option is right or wrong.

Score Tracking Answer Sheet

Circle or mark your answer for each question. Check against the answer key at the end of Part 1.

01.	A	B	C	D
02.	A	B	C	D
03.	A	B	C	D
04.	A	B	C	D
05.	A	B	C	D
06.	A	B	C	D
07.	A	B	C	D
08.	A	B	C	D
09.	A	B	C	D
10.	A	B	C	D
11.	A	B	C	D
12.	A	B	C	D
13.	A	B	C	D
14.	A	B	C	D
15.	A	B	C	D
16.	A	B	C	D
17.	A	B	C	D
18.	A	B	C	D
19.	A	B	C	D
20.	A	B	C	D
21.	A	B	C	D
22.	A	B	C	D
23.	A	B	C	D
24.	A	B	C	D
25.	A	B	C	D
26.	A	B	C	D
27.	A	B	C	D
28.	A	B	C	D
29.	A	B	C	D
30.	A	B	C	D
31.	A	B	C	D
32.	A	B	C	D
33.	A	B	C	D
34.	A	B	C	D
35.	A	B	C	D
36.	A	B	C	D
37.	A	B	C	D
38.	A	B	C	D
39.	A	B	C	D
40.	A	B	C	D
41.	A	B	C	D
42.	A	B	C	D
43.	A	B	C	D
44.	A	B	C	D
45.	A	B	C	D
46.	A	B	C	D
47.	A	B	C	D
48.	A	B	C	D
49.	A	B	C	D
50.	A	B	C	D

Answer Key

Q#	ANS	CAT	Q#	ANS	CAT	Q#	ANS	CAT	Q#	ANS	CAT	Q#	ANS	CAT
01	C	Insurance Fundamen	11	B	Life Insurance	21	C	Life Insurance	31	B	Health Insurance	41	B	Underwriting
02	B	Insurance Fundamen	12	B	Life Insurance	22	C	Life Insurance	32	B	Health Insurance	42	C	Underwriting
03	D	Insurance Fundamen	13	C	Life Insurance	23	C	Health Insurance	33	B	Health Insurance	43	B	Underwriting
04	C	Insurance Fundamen	14	C	Life Insurance	24	C	Health Insurance	34	C	Health Insurance	44	C	Legal Concepts
05	B	Insurance Fundamen	15	C	Life Insurance	25	C	Health Insurance	35	C	Policy Provisions	45	C	Legal Concepts
06	B	Insurance Fundamen	16	B	Life Insurance	26	B	Health Insurance	36	C	Policy Provisions	46	C	Legal Concepts
07	B	Insurance Fundamen	17	C	Life Insurance	27	C	Health Insurance	37	B	Policy Provisions	47	B	Legal Concepts
08	C	Insurance Fundamen	18	B	Life Insurance	28	C	Health Insurance	38	B	Policy Provisions	48	D	Legal Concepts
09	D	Life Insurance	19	B	Life Insurance	29	B	Health Insurance	39	C	Policy Provisions	49	A	Legal Concepts
10	C	Life Insurance	20	C	Life Insurance	30	B	Health Insurance	40	B	Underwriting	50	C	Legal Concepts
11	B	Life Insurance	21	C	Life Insurance	31	B	Health Insurance	41	B	Underwriting			

Score: ____ / 50 = ____ % | Pass threshold (most states): 70% = 35 correct

Part 1 — Practice Questions

Answer all 50 questions before consulting the explanations in Part 2. Record your answers on the answer sheet.

INSURANCE FUNDAMENTALS

8 Questions

Question 01

Moderate

An applicant applies for health insurance knowing she was recently diagnosed with a serious illness but does not disclose it on the application. This is best described as:

- A) Misrepresentation
- B) Fraud
- C) Concealment
- D) Warranty

Question 02

Moderate

Which of the following BEST describes the principle of indemnity?

- A) The insured must have a financial stake in the subject of insurance
- B) The insurer should restore the insured to the same financial position before the loss, but no better
- C) Both parties must act in complete honesty when forming the contract
- D) The insurer pools risks from many insureds to predict losses accurately

Question 03

Challenging

A stockbroker purchases a \$500,000 life insurance policy on herself and names her estate as beneficiary. She later becomes a licensed skydiving instructor. Which of the following statements is MOST accurate?

- A) The policy is void because her new occupation is hazardous
- B) She must notify the insurer or the policy automatically lapses
- C) The insurer may adjust the premium or benefit upon learning of the occupational change
- D) The policy remains fully in force with no changes required

Question 04

Basic

Which of the following BEST illustrates an example of a pure risk?

- A) An investor risks losing money on a volatile stock purchase
- B) A business owner risks that her new product may or may not be profitable
- C) A homeowner risks that her house may be destroyed by a tornado
- D) A casino patron risks losing money on a blackjack wager

Question 05

Moderate

The Law of Large Numbers is MOST important to insurance companies because it:

- A) Guarantees that all policyholders will be treated equally
- B) Allows insurers to predict future losses with greater accuracy as the pool of insureds grows
- C) Requires all insurers to maintain the same premium rates
- D) Ensures that each insured pays a premium equal to their actual expected loss

Question 06

Moderate

An insurance contract is considered 'aleatory' because:

- A) Only the insurance company makes a legally enforceable promise
- B) The values exchanged between the parties are unequal and depend on a chance event
- C) The contract terms are prepared entirely by the insurer and presented on a take-it-or-leave-it basis
- D) The insured must meet certain conditions before the insurer is obligated to pay

Question 07

Challenging

Sarah and Michael are business partners who each purchase life insurance on the other's life. Three years later, they dissolve their partnership and go separate ways. Michael dies two years after the partnership ends. Sarah files a claim on her policy on Michael's life. The insurer should:

- A) Deny the claim because insurable interest ended when the partnership dissolved
- B) Pay the claim because insurable interest existed at the time the policy was issued
- C) Deny the claim because the partnership dissolution constitutes a material change
- D) Pay only a prorated portion of the claim based on years of valid insurable interest

Question 08

Basic

Which type of insurance company is owned by its policyholders, who may receive dividends from company profits?

- A) Stock insurance company
- B) Fraternal benefit society
- C) Mutual insurance company
- D) Reciprocal insurer

LIFE INSURANCE

14 Questions

Question 09

Basic

Which of the following life insurance products provides a death benefit for a specific period and has NO cash value accumulation?

- A) Whole life insurance
- B) Universal life insurance
- C) Variable life insurance
- D) Term life insurance

Question 10

Moderate

A whole life insurance policy guarantees all of the following EXCEPT:

- A) A level premium that never changes
- B) A guaranteed minimum death benefit
- C) Dividends paid to the policyowner each year
- D) A guaranteed cash value that grows over time

Question 11

Moderate

A universal life insurance policyowner has been paying the minimum required premium. The insurer notifies her that the policy will lapse next month. What most likely caused this situation?

- A) The policyowner exceeded the maximum face amount allowed
- B) The premium payments were insufficient to cover monthly deductions, depleting the cash value
- C) The insured reached the maximum age allowed for the policy
- D) The flexible premium option expired after 10 years

Question 12

Challenging

An insured purchases a whole life policy and designates her adult son as the IRREVOCABLE beneficiary. She later wants to take out a policy loan. What must happen first?

- A) Nothing — she owns the policy and may take a loan at any time
- B) She must obtain her son's written consent before taking the policy loan
- C) She must change the beneficiary to revocable status before taking a loan
- D) She must surrender the policy and purchase a new one without an irrevocable beneficiary

Question 13

Moderate

Which non-forfeiture option provides the policyowner with a smaller paid-up permanent life insurance policy with no further premium payments required?

- A) Extended term
- B) Cash surrender
- C) Reduced paid-up
- D) Automatic premium loan

Question 14

Challenging

A life insurance policy was purchased with a very large single premium payment. The IRS determines that the policy has failed the 7-pay test. As a result:

- A) The policy is void and premiums must be returned
- B) The death benefit becomes taxable to the beneficiary
- C) The policy is classified as a Modified Endowment Contract and distributions are taxed gains-first
- D) The policy automatically converts to a term life policy

Question 15

Moderate

An annuity contract owner deposits a single lump sum and begins receiving monthly income payments within 30 days. This is an example of a:

- A) Fixed deferred annuity
- B) Variable annuity
- C) Single premium immediate annuity
- D) Flexible premium deferred annuity

Question 16

Challenging

Under Section 1035 of the Internal Revenue Code, which of the following exchanges would be considered tax-free?

- A) An annuity contract exchanged for a life insurance policy
- B) A life insurance policy exchanged for an annuity contract
- C) A term life insurance policy exchanged for a mutual fund
- D) An annuity contract exchanged for shares of stock

Question 17

Moderate

The suicide clause in a life insurance policy typically provides that if the insured dies by suicide within the first two years of the policy, the insurer will:

- A) Deny the claim entirely and retain all premiums paid
- B) Pay the full death benefit to the beneficiary
- C) Return only the premiums paid to the beneficiary
- D) Suspend the policy until a court determines the cause of death

Question 18

Challenging

A participating whole life insurance policyowner receives a \$600 dividend check. She asks whether this is taxable income. The agent should explain that:

- A) It is fully taxable as ordinary income because dividends are a return on investment
- B) It is not taxable because it is treated as a return of excess premium already paid
- C) It is taxable only if it exceeds her annual premium payment
- D) It is subject to capital gains tax in the year received

Question 19

Moderate

A policyowner wants to receive the life insurance death benefit in a way that guarantees equal monthly payments for exactly 15 years, regardless of whether the beneficiary is living or has died. Which settlement option should be selected?

- A) Life income only
- B) Fixed period
- C) Interest only
- D) Fixed amount

Question 20

Challenging

A variable life insurance policyholder reviews her annual statement and notices that her cash value has decreased significantly. What BEST explains this?

- A) The insurer charged higher-than-expected administrative fees
- B) The policyowner failed to pay premiums on time, triggering an automatic premium loan
- C) The separate account investment subaccounts experienced poor market performance
- D) The insurer adjusted the death benefit based on the insured's age

Question 21

Basic

Which of the following statements about term life insurance is CORRECT?

- A) Term life insurance builds cash value that can be borrowed against
- B) Term life insurance premiums are guaranteed to remain level for life
- C) Term life insurance provides coverage only for a specified period and has no cash value
- D) Term life insurance is the most expensive form of life insurance for young, healthy applicants

Question 22

Moderate

A life insurance policy states that the insurer cannot contest the policy for any reason after the policy has been in force for two years from the date of issue. This provision is called the:

- A) Free look period
- B) Grace period
- C) Incontestability clause
- D) Reinstatement provision

HEALTH INSURANCE

12 Questions

Question 23

Basic

A health plan requires members to select a primary care physician (PCP) and obtain referrals before seeing a specialist. Out-of-network services are not covered except in emergencies. This plan is BEST described as a:

- A) Preferred Provider Organization (PPO)
- B) Point of Service Plan (POS)
- C) Health Maintenance Organization (HMO)
- D) Exclusive Provider Organization (EPO)

Question 24

Challenging

A patient has a health insurance plan with a \$2,000 annual deductible and 80/20 coinsurance after the deductible is met. She has already paid \$500 toward her deductible this year and receives a \$3,000 medical bill. How much does she owe?

- A) \$600
- B) \$1,500
- C) \$1,800
- D) \$1,300

Question 25

Moderate

A disability income policy has a 90-day elimination period. An insured becomes totally disabled on January 1. When will she first receive a disability income benefit payment?

- A) January 1 — the date disability began
- B) February 1 — after a standard 30-day waiting period
- C) April 1 — after 90 days of continuous disability have elapsed
- D) July 1 — after 6 months, the standard elimination period

Question 26

Moderate

A long-term care insurance policy will begin paying benefits when the insured is unable to perform which of the following?

- A) Any gainful employment for which she is reasonably qualified
- B) At least 2 of the 6 Activities of Daily Living, OR when cognitive impairment is diagnosed
- C) All 6 Activities of Daily Living simultaneously
- D) Her specific occupational duties due to a disabling illness or injury

Question 27

Challenging

An employee is terminated from her job. She elects to continue her group health coverage under COBRA. Which statement about her COBRA coverage is CORRECT?

- A) Her employer must continue to pay a portion of the premium for 12 months
- B) She may continue coverage for up to 36 months for any qualifying event
- C) She may continue coverage for up to 18 months and pay up to 102% of the group premium
- D) Her COBRA coverage will include enhanced benefits not available under the group plan

Question 28

Moderate

A Medicare beneficiary is enrolled in a plan offered by a private insurance company that provides all Part A and Part B benefits plus prescription drug coverage. This beneficiary is most likely enrolled in:

- A) A Medigap supplement plan
- B) Medicare Part D
- C) Medicare Advantage (Part C)
- D) Original Medicare with a pharmacy benefit rider

Question 29

Moderate

A 55-year-old man is unable to perform surgery because of a hand tremor but could work as a medical professor. Under which disability income definition would he qualify for benefits?

- A) Any-occupation definition only
- B) Own-occupation definition only
- C) Both own-occupation and any-occupation definitions
- D) Neither definition — he can still perform some work

Question 30

Moderate

An employee loses group health coverage because his employer goes out of business. Under HIPAA, the employee is entitled to:

- A) COBRA continuation coverage for 36 months at no cost
- B) Immediate individual health coverage without a new pre-existing condition exclusion period, given prior creditable coverage
- C) A refund of all premiums paid under the group plan
- D) Automatic Medicare enrollment within 30 days

Question 31

Challenging

A health insurance applicant is asked about a pre-existing condition on the application. She answers truthfully, and the insurer issues the policy with an exclusion rider for that specific condition. Six months later, she files a claim related to a different, unrelated condition. The insurer should:

- A) Deny the claim because the exclusion rider covers all conditions
- B) Pay the claim because the exclusion rider only applies to the specific excluded condition
- C) Investigate whether the new condition is related to the excluded condition before paying
- D) Void the policy and return all premiums because of the pre-existing condition

Question 32

Moderate

Under the Affordable Care Act (ACA), a marketplace health plan where the insurer is responsible for 70% of average covered medical expenses is classified as which metal tier?

- A) Bronze
- B) Silver
- C) Gold
- D) Platinum

Question 33

Basic

Which of the following BEST describes the purpose of a health insurance deductible?

- A) A fixed dollar amount paid by the insured at each doctor's visit
- B) The annual amount the insured must pay out of pocket before the insurer begins covering expenses
- C) The percentage of covered expenses shared between the insured and the insurer after the deductible
- D) The maximum annual amount the insured will ever pay under the policy

Question 34

Challenging

A 78-year-old woman has been diagnosed with Alzheimer's disease. She can still independently perform all 6 Activities of Daily Living. Her long-term care policy has satisfied the 90-day elimination period. Is she eligible for LTC benefits?

- A) No — she must be unable to perform at least 2 of the 6 ADLs to qualify
- B) No — Alzheimer's disease is excluded from standard LTC policies
- C) Yes — cognitive impairment is an independent LTC benefit trigger
- D) Yes — but only for in-home care services, not facility-based care

POLICY PROVISIONS

5 Questions

Question 35

Moderate

A life insurance policyowner pays premiums on a quarterly basis. She misses a payment and dies 20 days later before making the payment. What will the insurer pay?

- A) Nothing — the policy lapsed when the premium was not paid on the due date
- B) Return of premiums paid only
- C) Full death benefit minus the overdue premium
- D) Full death benefit only if death was accidental

Question 36

Moderate

A life insurance policy was issued two years and three months ago. The insurer discovers the application contained a material misstatement about the insured's smoking history. The insurer wants to void the policy. Which provision prevents this?

- A) The grace period provision
- B) The reinstatement provision
- C) The incontestability clause
- D) The misstatement of age provision

Question 37

Challenging

A whole life policyowner stops paying premiums but does not submit a non-forfeiture election to the insurer. The policy's cash value will automatically be used to:

- A) Purchase a paid-up addition, reducing the face amount
- B) Continue the original face amount as term insurance for as long as the cash value lasts
- C) Provide a reduced paid-up permanent policy
- D) Pay a lump-sum cash surrender value to the policyowner

Question 38

Moderate

After receiving her new life insurance policy, an applicant reviews it carefully and decides she wants to return it for a full premium refund. She is within 15 days of receiving the policy. She should be entitled to this refund under:

- A) The reinstatement provision
- B) The free look period
- C) The grace period
- D) The right of rescission after material misrepresentation

Question 39

Challenging

A life insurance policyowner takes out a \$20,000 policy loan at 6% annual interest. He dies two years later without repaying any of the loan. His policy's face amount is \$250,000. How much will the beneficiary receive?

- A) \$250,000 — the full face amount because a policy loan is the insured's own money
- B) \$230,000 — face amount minus the original loan balance
- C) \$227,528 — face amount minus the loan balance with accumulated interest
- D) \$0 — the policy lapses when a loan is outstanding at death

UNDERWRITING

4 Questions

Question 40

Moderate

An insurance company refuses to issue a life insurance policy to an applicant who discloses a recent diagnosis of terminal cancer. This decision by the underwriter represents:

- A) Illegal discrimination based on a disability
- B) A standard underwriting decision to decline an uninsurable risk
- C) A violation of the applicant's right to insurance coverage
- D) A substandard risk classification requiring a higher premium

Question 41

Moderate

During the underwriting process, an insurance company requests an Attending Physician Statement (APS) from the applicant's doctor. Who is responsible for paying the cost of this report?

- A) The applicant, because it concerns their personal medical information
- B) The insurance company, because it requested the report for its own underwriting purposes
- C) The physician, as providing records is a professional obligation
- D) The cost is split equally between the applicant and the insurance company

Question 42

Challenging

An applicant for individual life insurance is classified as a 'preferred risk.' This classification means the applicant will MOST LIKELY:

- A) Pay the same premium as a standard risk applicant
- B) Be declined for coverage due to exceptional health history scrutiny
- C) Pay a lower-than-standard premium due to favorable health and lifestyle factors
- D) Receive additional policy benefits not available to standard applicants

Question 43

Moderate

The Medical Information Bureau (MIB) is BEST described as:

- A) A government agency that maintains all medical records for insurance purposes
- B) A database of coded health information from prior insurance applications, shared among member insurers
- C) An organization that sets underwriting standards for all insurance companies
- D) A credit reporting bureau that tracks health insurance claims and payments

LEGAL CONCEPTS

7 Questions

Question 44

Moderate

An insurance producer convinces a client to surrender her existing whole life policy with Company X and purchase a nearly identical replacement policy with Company Y, primarily to earn a new sales commission. This practice is called:

- A) Churning
- B) Rebating
- C) Twisting
- D) Replacement

Question 45

Challenging

An insurance agent has written authorization to solicit applications on behalf of an insurer. Without any express authorization, the agent also accepts a premium payment from an applicant. When a claim arises, the insurer claims the agent had no authority to accept premiums. The court will most likely find that the agent acted within:

- A) Express authority
- B) Apparent authority
- C) Implied authority
- D) No valid authority

Question 46

Moderate

An insurance agent offers a client a \$300 cash gift if the client purchases a life insurance policy from her. The client accepts the gift and buys the policy. Which of the following statements is CORRECT?

- A) Only the agent violated insurance law — the client has no obligation to refuse
- B) Only the client violated insurance law by accepting an improper inducement
- C) Both the agent and the client violated state insurance rebating laws
- D) No violation occurred because the gift came from the agent's personal funds

Question 47

Challenging

An insurer has allowed an agent to use the company's letterhead, business cards, and office space for three years without a formal agency contract authorizing the agent to bind coverage. A client, relying on this representation, signs an application and a loss occurs before the policy is formally issued. The insurer is MOST likely bound to provide coverage under:

- A) The agent's express authority under the written contract
- B) Apparent authority created by the insurer's own conduct
- C) Implied authority arising from the agent's sales activities
- D) The insurer has no liability because no valid contract was formed

Question 48

Moderate

A producer who represents the CLIENT rather than the insurance company, and who searches the marketplace to find the best coverage for that client, is called:

- A) A captive agent
- B) An independent agent
- C) A general agent
- D) A broker

Question 49

Challenging

An agent submits a life insurance application knowing that the client omitted a history of heart disease that the client disclosed verbally. The policy is issued. Two years later, the client dies of a heart attack. The insurer investigates and discovers the omission was known to the agent. Which statement is MOST accurate?

- A) The insurer must pay the claim because the 2-year incontestability period has expired
- B) The insurer may deny the claim because the incontestability clause does not protect fraud facilitated by the agent
- C) The insurer must pay the claim because the applicant disclosed the condition to the agent
- D) The agent bears no legal responsibility because the applicant signed the application

Question 50

Moderate

An insurance company that requires its policyowners to spend a minimum of 80% of collected premiums on actual medical claims (for individual and small group plans) is complying with which ACA provision?

- A) The essential health benefits requirement
- B) The guaranteed issue provision
- C) The medical loss ratio (MLR) requirement
- D) The community rating provision

Part 2 — Detailed Answer Explanations

Each explanation covers ALL four answer choices — not just the correct one. Understanding why each wrong answer is wrong is as important as knowing the right answer.

INSURANCE FUNDAMENTALS

Q01

An applicant applies for health insurance knowing she was recently diagnosed with a serious illness but does not disclose it on the application. This is best described as:

Ans: C

Concealment is the intentional failure to disclose a material fact that the insurer would want to know. The applicant did not say anything false — she simply withheld a known, relevant fact. This is the classic definition of concealment.

WRONG

A) Misrepresentation

Misrepresentation involves making a false statement. Here, the applicant said nothing — she withheld information rather than stating something untrue.

WRONG

B) Fraud

Fraud requires intentional deception for financial gain with a false statement or act. Concealment is the correct technical term for omitting known material information.

CORRECT

C) Concealment

CORRECT. Concealment is intentional silence about a material fact. The applicant knew of a diagnosis and chose not to disclose it.

WRONG

D) Warranty

A warranty is a statement guaranteed to be absolutely true in an insurance contract. This situation involves omission, not a warranty.

Q02

Which of the following BEST describes the principle of indemnity?

Ans: B

The principle of indemnity states that insurance should restore the insured to the financial position they were in immediately before the loss — no better and no worse. Insurance is not intended to be a source of profit.

WRONG

A) The insured must have a financial stake in the subject of insurance

This describes insurable interest — the requirement to have a financial stake in what is being insured.

CORRECT

B) The insurer should restore the insured to the same financial position before the loss, but no better

CORRECT. Indemnity = make whole, not profit. The goal is restoration to the pre-loss condition.

WRONG

C) Both parties must act in complete honesty when forming the contract

This describes the principle of utmost good faith (uberrimae fidei), which requires complete honesty from both parties.

WRONG

D) The insurer pools risks from many insureds to predict losses accurately

This describes the law of large numbers — the statistical foundation for how insurers predict and price losses.

Q03

A stockbroker purchases a \$500,000 life insurance policy on herself and names her estate as beneficiary. She later becomes a licensed skydiving instructor. Which of the following statements is MOST accurate?

Ans: D

A valid life insurance policy remains in force even if the insured's circumstances — including occupation — change after issuance. The insurer priced the risk at inception. Post-issue occupational changes do not automatically void or alter a life insurance policy already in force.

WRONG

A) The policy is void because her new occupation is hazardous

Life insurance policies do not become void due to post-issue occupational changes. The insurer cannot cancel a valid in-force policy simply because the insured changed jobs.

WRONG

B) She must notify the insurer or the policy automatically lapses

There is no general legal requirement to notify the life insurer of an occupational change after the policy is issued and accepted.

WRONG

C) The insurer may adjust the premium or benefit upon learning of the occupational change

On an in-force life insurance policy, the insurer cannot retroactively adjust the premium or benefit due to occupational changes after the policy was issued.

CORRECT

D) The policy remains fully in force with no changes required

CORRECT. Once a life insurance policy is issued and in force, it remains valid regardless of post-issue changes in the insured's occupation or lifestyle. The risk was evaluated and accepted at the time of application.

Q04

Which of the following BEST illustrates an example of a pure risk?

Ans: C

A pure risk has only two possible outcomes: loss or no loss (break even). There is no possibility of financial gain. Because there is no profit potential, pure risks are insurable. A tornado destroying a home — the owner either suffers a loss or doesn't — is a textbook pure risk.

WRONG

A) An investor risks losing money on a volatile stock purchase

A stock investment is a speculative risk — there is a chance of profit, loss, or breaking even. Speculative risks are not insurable.

WRONG

B) A business owner risks that her new product may or may not be profitable

Business profitability involves the possibility of profit, making it a speculative risk. Not insurable.

CORRECT

C) A homeowner risks that her house may be destroyed by a tornado

CORRECT. The homeowner either suffers loss (tornado) or doesn't. No profit is possible from her own home being destroyed. This is a pure risk.

WRONG

D) A casino patron risks losing money on a blackjack wager

Gambling is the classic example of a speculative risk — the gambler can win or lose. Speculative risks cannot be insured.

Q05

The Law of Large Numbers is MOST important to insurance companies because it:

Ans: B

The Law of Large Numbers states that the larger the sample size, the more closely actual results will match the predicted (expected) probability. Insurance companies rely on this principle to predict losses and set premiums across large pools of insured lives.

WRONG

A) Guarantees that all policyholders will be treated equally

The Law of Large Numbers is a statistical principle about prediction accuracy — it has nothing to do with equal treatment of policyholders.

CORRECT

B) Allows insurers to predict future losses with greater accuracy as the pool of insureds grows

CORRECT. With a large enough pool of insureds, the actual loss experience closely mirrors the statistically expected loss — allowing the insurer to set premiums accurately and remain solvent.

WRONG

C) Requires all insurers to maintain the same premium rates

Insurance regulation may address rate consistency, but the Law of Large Numbers is a mathematical concept, not a regulatory requirement about rates.

WRONG

D) Ensures that each insured pays a premium equal to their actual expected loss

Premiums are not set at each individual's exact expected loss. Premium pricing involves pooling risk across the group, which is only possible because of the Law of Large Numbers.

Q06 An insurance contract is considered 'aleatory' because:

Ans: B

An aleatory contract is one in which the values exchanged are unequal and depend upon the occurrence of an uncertain event. The insured pays a relatively small premium; the insurer may pay nothing or a very large sum — all depending on whether a loss occurs.

WRONG

A) Only the insurance company makes a legally enforceable promise

This describes a unilateral contract — only the insurer makes a legally enforceable promise. The insured can stop paying premiums without penalty. Unilateral and aleatory are different characteristics.

CORRECT

B) The values exchanged between the parties are unequal and depend on a chance event

CORRECT. Aleatory = unequal exchange based on chance. The insured might pay small premiums for decades without a claim, or suffer a loss on day one and receive a large payout.

WRONG

C) The contract terms are prepared entirely by the insurer and presented on a take-it-or-leave-it basis

This describes a contract of adhesion — the insurer drafts the contract and the applicant accepts or rejects it as written, with no negotiation.

WRONG

D) The insured must meet certain conditions before the insurer is obligated to pay

This describes a conditional contract — the insurer's obligation to pay is conditioned on the insured meeting specific requirements (filing a claim, paying premiums, etc.).

Q07 Sarah and Michael are business partners who each purchase life insurance on the other's life. Three years later, they dissolve their partnership and go separate ways. Michael dies two years after the partnership ends. Sarah files a claim on her policy on Michael's life. The insurer should:

Ans: B

For life insurance, insurable interest must exist at the time the policy is ISSUED (inception). It does not need to exist at the time of the claim or at the insured's death. Since Sarah had a valid business insurable interest in Michael's life when the policy was originally issued, the claim is fully payable regardless of the subsequent dissolution of the partnership.

WRONG

A) Deny the claim because insurable interest ended when the partnership dissolved

This is the most common wrong answer. Many students apply the property insurance rule (insurable interest at time of loss) to life insurance. For life insurance, interest is only required at inception.

CORRECT

B) Pay the claim because insurable interest existed at the time the policy was issued

CORRECT. Life insurance only requires insurable interest at inception (when the policy is issued). Post-issue changes in the relationship — including partnership dissolution — do not affect an already-valid life insurance policy.

WRONG

C) Deny the claim because the partnership dissolution constitutes a material change

Dissolution of a business partnership is not a 'material change' that voids a life insurance policy. The policy remains valid.

WRONG

D) Pay only a prorated portion of the claim based on years of valid insurable interest

There is no concept of prorating a death benefit based on years of valid insurable interest. Either the policy is valid (pay the full benefit) or it is not.

Q08

Which type of insurance company is owned by its policyholders, who may receive dividends from company profits?

Ans: C

A mutual insurance company is owned by its policyholders. Because policyholders are the owners, they may receive dividends when the company earns more than expected from premiums relative to claims and expenses. These dividends are a return of excess premium and are not taxable.

WRONG

A) Stock insurance company

A stock insurance company is owned by stockholders (investors). Stockholders receive dividends from profits — policyholders of stock companies are customers only and do not receive dividends.

WRONG

B) Fraternal benefit society

A fraternal benefit society provides insurance benefits to its members (usually based on a common bond), but ownership structure and governance differ from standard mutual companies.

CORRECT

C) Mutual insurance company

CORRECT. Mutual company = owned by policyholders. They may receive non-guaranteed dividends representing a return of excess premium.

WRONG

D) Reciprocal insurer

A reciprocal insurer is a risk-sharing arrangement where members (subscribers) insure each other through an attorney-in-fact. Different ownership and governance structure than a mutual company.

LIFE INSURANCE

Q09

Which of the following life insurance products provides a death benefit for a specific period and has NO cash value accumulation?

Ans: D

Term life insurance provides pure death protection for a set period (the 'term'). If the insured dies during the term, the beneficiary receives the death benefit. If the insured outlives the term, coverage ends with no return of premiums and no cash value — all premiums paid went toward pure protection.

WRONG

A) Whole life insurance

Whole life insurance is permanent coverage that builds guaranteed cash value over the life of the policy.

WRONG

B) Universal life insurance

Universal life insurance is permanent coverage with flexible premiums and an adjustable death benefit that also accumulates cash value.

WRONG

C) Variable life insurance

Variable life insurance is permanent coverage whose cash value is invested in separate market accounts.

CORRECT

D) Term life insurance

CORRECT. Term life = temporary + zero cash value. The most affordable option for pure death protection during a specific time period.

Q10 A whole life insurance policy guarantees all of the following EXCEPT:

Ans: C

Whole life insurance provides three ironclad guarantees: (1) a level premium guaranteed never to increase, (2) a guaranteed death benefit, and (3) guaranteed cash value growth. Dividends may be paid on participating (mutual company) whole life policies, but they are NOT guaranteed — they depend on the company's actual claims and investment experience.

WRONG

A) A level premium that never changes

A guaranteed level premium is one of the three core guarantees of whole life insurance. This is NOT the exception.

WRONG

B) A guaranteed minimum death benefit

A guaranteed minimum death benefit is one of the three core guarantees of whole life insurance. This is NOT the exception.

CORRECT

C) Dividends paid to the policyowner each year

CORRECT. Dividends are NOT guaranteed in any life insurance policy. They are illustrated but not contractually promised. This makes dividends the exception among the answer choices.

WRONG

D) A guaranteed cash value that grows over time

Guaranteed cash value growth is one of the three core guarantees of whole life insurance. This is NOT the exception.

Q11 A universal life insurance policyowner has been paying the minimum required premium. The insurer notifies her that the policy will lapse next month. What most likely caused this situation?

Ans: B

Universal life (UL) insurance charges monthly deductions from the cash value for the cost of insurance and administrative expenses. If premium payments are too low and do not offset these charges, the cash value will gradually decrease. If the cash value reaches zero, there is nothing left to pay the monthly charges and the policy lapses — despite the 'flexible premium' feature.

WRONG

A) The policyowner exceeded the maximum face amount allowed

Exceeding a maximum face amount is not a standard reason for policy lapse in UL insurance.

CORRECT

B) The premium payments were insufficient to cover monthly deductions, depleting the cash value

CORRECT. This is the key risk of flexible-premium UL: if the cash value is depleted by insufficient premiums relative to monthly charges, the policy lapses. Flexibility does not mean 'free.'

WRONG

C) The insured reached the maximum age allowed for the policy

UL policies have maximum issuance ages, but reaching a contractual maximum age is not a common lapse trigger described this way.

WRONG

D) The flexible premium option expired after 10 years

There is no 10-year expiration on the flexible premium feature in universal life insurance — flexibility is a permanent design feature.

Q12

An insured purchases a whole life policy and designates her adult son as the **IRREVOCABLE** beneficiary. She later wants to take out a policy loan. What must happen first?

Ans: B

An irrevocable beneficiary has a vested interest in the policy that extends beyond simply receiving the death benefit. An irrevocable beneficiary must consent in writing to ANY significant policy action — including taking a policy loan, surrendering the policy, assigning it, or changing the beneficiary designation. The policyowner's control over these actions is limited by the irrevocable designation.

WRONG

A) Nothing — she owns the policy and may take a loan at any time

While the policyowner owns the policy, an irrevocable beneficiary's vested interest restricts the policyowner's unilateral right to take a loan. The irrevocable beneficiary effectively has co-owner rights.

CORRECT

B) She must obtain her son's written consent before taking the policy loan

CORRECT. An irrevocable beneficiary's written consent is required for any significant policy change or action, including policy loans. This is the most critical practical consequence of an irrevocable designation.

WRONG

C) She must change the beneficiary to revocable status before taking a loan

The policyowner cannot unilaterally change an irrevocable beneficiary to revocable — that itself requires the beneficiary's consent.

WRONG

D) She must surrender the policy and purchase a new one without an irrevocable beneficiary

Surrendering and repurchasing is not a legitimate workaround and would still require the irrevocable beneficiary's consent for the surrender.

Q13

Which non-forfeiture option provides the policyowner with a smaller paid-up permanent life insurance policy with no further premium payments required?

Ans: C

The reduced paid-up non-forfeiture option uses the available cash value to purchase a smaller, fully paid permanent (whole life) insurance policy. No further premiums are ever required. The policy type stays the same (permanent/whole life), but the face amount is smaller than the original policy. This is often confused with extended term, which keeps the original face amount but converts to term insurance.

WRONG

A) Extended term

Extended term uses the cash value to purchase term insurance at the ORIGINAL face amount for as long as the cash value will sustain it. It is temporary coverage at the same amount — not a smaller permanent policy.

WRONG

B) Cash surrender

Cash surrender means the policyowner receives the cash value in a lump sum and the policy ends. No further coverage exists.

CORRECT

C) Reduced paid-up

CORRECT. Reduced paid-up = smaller PERMANENT policy, zero future premiums. The type stays permanent; the amount decreases.

WRONG

D) Automatic premium loan

Automatic premium loan is a policy feature that borrows from the cash value to pay an overdue premium — preventing lapse. It is not a non-forfeiture option.

Q14

A life insurance policy was purchased with a very large single premium payment. The IRS determines that the policy has failed the 7-pay test. As a result:

Ans: C

When a life insurance policy fails the 7-pay test (premiums paid in the first 7 years exceed the IRS limit), the policy is reclassified as a Modified Endowment Contract (MEC). A MEC is still a valid life insurance policy and the death benefit remains income-tax-free. However, any distributions (loans, withdrawals, and surrenders) are taxed on a last-in-first-out (LIFO) basis — gains come out first and are fully taxable. A 10% penalty also applies if the owner is under age 59-1/2.

WRONG

A) The policy is void and premiums must be returned

The policy is not void — it remains a fully valid life insurance contract. Only its tax treatment changes.

WRONG

B) The death benefit becomes taxable to the beneficiary

The death benefit of a MEC remains income-tax-free to the beneficiary. MEC status changes the treatment of pre-death distributions, not the death benefit.

CORRECT

C) The policy is classified as a Modified Endowment Contract and distributions are taxed gains-first

CORRECT. MEC classification means distributions (loans, withdrawals) are taxed gains-first (LIFO) with a potential 10% penalty for those under 59-1/2. The policy is valid but loses the favorable tax treatment of non-MEC life policies.

WRONG

D) The policy automatically converts to a term life policy

A MEC does not convert to term insurance. It remains a permanent life insurance policy with modified distribution tax rules.

Q15

An annuity contract owner deposits a single lump sum and begins receiving monthly income payments within 30 days. This is an example of a:

Ans: C

A single premium immediate annuity (SPIA) is funded with a single lump-sum premium and begins distributing income payments almost immediately — typically within one payment period (30 days for monthly payments). There is no accumulation phase. SPIAs are commonly used by retirees who want to convert a lump sum (such as a 401(k) rollover) into guaranteed income immediately.

WRONG

A) Fixed deferred annuity

A fixed deferred annuity accumulates money over time and delays income payments to a future date. It is not 'immediate.'

WRONG

B) Variable annuity

A variable annuity invests in separate accounts tied to market performance. The question does not mention variable or market-linked features.

CORRECT

C) Single premium immediate annuity

CORRECT. Single premium (one lump sum) + immediate (income starts within 30 days) = SPIA. The defining features match precisely.

WRONG

D) Flexible premium deferred annuity

A flexible premium annuity is funded with multiple payments over time, not a single deposit.

Q16

Under Section 1035 of the Internal Revenue Code, which of the following exchanges would be considered tax-free?

Ans: B

Section 1035 of the Internal Revenue Code allows tax-free exchanges between certain insurance and annuity contracts. The allowed exchanges are: life insurance to life insurance, life insurance to annuity, annuity to annuity, and life insurance to long-term care. The ONE prohibited direction is: annuity to life insurance.

WRONG

A) An annuity contract exchanged for a life insurance policy

An annuity exchanged for a life insurance policy is the ONE prohibited 1035 exchange. You cannot go 'backward' from annuity to life insurance on a tax-free basis.

CORRECT

B) A life insurance policy exchanged for an annuity contract

CORRECT. Life insurance to annuity is a valid, tax-free 1035 exchange. You can exchange 'forward' (from life to annuity) but not backward.

WRONG

C) A term life insurance policy exchanged for a mutual fund

A 1035 exchange only applies to insurance products (life insurance, annuities, long-term care). Mutual funds are not eligible.

WRONG

D) An annuity contract exchanged for shares of stock

An annuity cannot be exchanged for shares of stock under Section 1035. Stock is not an eligible 1035 exchange product.

Q17

The suicide clause in a life insurance policy typically provides that if the insured dies by suicide within the first two years of the policy, the insurer will:

Ans: C

The suicide clause excludes suicide as a covered cause of death during the first one to two years of the policy (varies by state). During this exclusion period, the insurer's obligation is limited to returning the premiums paid — not the full death benefit. After the exclusion period expires, suicide is treated like any other cause of death and the full benefit is paid.

WRONG

A) Deny the claim entirely and retain all premiums paid

Retaining all premiums and paying nothing is not the standard suicide clause outcome. Even during the exclusion period, premiums paid are returned.

WRONG

B) Pay the full death benefit to the beneficiary

Paying the full death benefit applies only AFTER the exclusion period (typically 2 years). During the exclusion period, only premiums are returned.

CORRECT

C) Return only the premiums paid to the beneficiary

CORRECT. Within the suicide exclusion period (usually first 1–2 years), the insurer returns the premiums paid. No death benefit is payable, but premiums are not forfeited.

WRONG

D) Suspend the policy until a court determines the cause of death

There is no standard provision suspending the policy for a court determination. The suicide clause has specific, contractual provisions for this outcome.

Q18

A participating whole life insurance policyowner receives a \$600 dividend check. She asks whether this is taxable income. The agent should explain that:

Ans: B

Life insurance policy dividends are classified by the IRS as a return of excess premium — not as income. Because the policyholder is simply receiving back a portion of the premium she already paid (which was after-tax money), no additional tax is owed. Dividends only become taxable if the cumulative dividends received exceed the total premiums paid (i.e., the policy basis), which rarely happens in the early years of a policy.

WRONG

A) It is fully taxable as ordinary income because dividends are a return on investment

Life insurance policy dividends are NOT taxed as ordinary income. They differ fundamentally from corporate stock dividends, which are taxable. The source of the payment — a return of your own overpaid premium — makes them non-taxable.

CORRECT

B) It is not taxable because it is treated as a return of excess premium already paid

CORRECT. Policy dividends = return of excess premium = NOT taxable income. The IRS treats this as getting your own money back, not as receiving income.

WRONG

C) It is taxable only if it exceeds her annual premium payment

The taxability threshold for dividends is the TOTAL cumulative premiums paid (the policy basis) — not just the current year's premium. The \$600 dividend described here is well within any reasonable basis and is not taxable.

WRONG

D) It is subject to capital gains tax in the year received

Life insurance policy dividends are not capital gains. Capital gains treatment applies to the sale of assets.

Q19

A policyowner wants to receive the life insurance death benefit in a way that guarantees equal monthly payments for exactly 15 years, regardless of whether the beneficiary is living or has died. Which settlement option should be selected?

Ans: B

The fixed period settlement option pays the death benefit proceeds (plus interest) in equal installments over a specific, predetermined period of time — in this case, 15 years. If the beneficiary dies before the period ends, payments continue to the beneficiary's estate or a successor beneficiary for the remainder of the 15 years. The key feature is that the TIME PERIOD is fixed.

WRONG

A) Life income only

Life income only provides payments for the beneficiary's entire lifetime and stops at death. If the beneficiary dies in year 2, no more payments are made. This does NOT guarantee 15 years of payments.

CORRECT

B) Fixed period

CORRECT. Fixed period = payments over a set number of years regardless of whether the beneficiary is alive. Payments continue to the estate if the beneficiary dies before the period ends.

WRONG

C) Interest only

Interest only means the insurer holds the principal and pays only the interest earned. No principal is distributed and there is no guaranteed 15-year payment schedule.

WRONG

D) Fixed amount

Fixed amount pays a set dollar amount each month until both the principal and interest are exhausted. The TIME PERIOD is not fixed — it depends on how long the money lasts.

Q20

A variable life insurance policyholder reviews her annual statement and notices that her cash value has decreased significantly. What BEST explains this?

Ans: C

Variable life insurance invests the cash value in separate account subaccounts (similar to mutual fund options). The cash value — and in some products, the death benefit — fluctuates directly with the performance of the selected investment subaccounts. Unlike whole life or universal life, variable products provide NO guaranteed minimum cash value. Poor market performance directly reduces the cash value.

WRONG

A) The insurer charged higher-than-expected administrative fees

While administrative fees exist in variable life, they are disclosed at issue and don't explain a significant, unexpected decrease. Market loss is the primary cause of cash value decline in variable products.

WRONG

B) The policyowner failed to pay premiums on time, triggering an automatic premium loan

An automatic premium loan would prevent lapse but would reduce the cash value. However, the APL feature is common to other permanent products; the key variable life feature is market-linked cash value.

CORRECT

C) The separate account investment subaccounts experienced poor market performance

CORRECT. Variable life = market-linked = NO guaranteed cash value. The cash value goes up and down with the investment subaccounts. Poor market performance is the most common explanation for a significant cash value decrease.

WRONG

D) The insurer adjusted the death benefit based on the insured's age

Death benefit adjustments in variable life are tied to cash value performance, but this is a consequence of the investment performance, not the independent cause of cash value decline.

Q21 Which of the following statements about term life insurance is CORRECT?

Ans: C

Term life insurance is the simplest form of life insurance. It provides a death benefit if the insured dies within the specified term (e.g., 10, 20, or 30 years). It has absolutely no cash value, cannot be borrowed against, and ends when the term expires without any return of premium (unless a return-of-premium rider was added). It is typically the least expensive option for young, healthy individuals.

WRONG

A) Term life insurance builds cash value that can be borrowed against

Term life has ZERO cash value and cannot be borrowed against. Cash value accumulation is a feature of permanent insurance only.

WRONG

B) Term life insurance premiums are guaranteed to remain level for life

Level term policies have level premiums for the term period (e.g., 20 years), but after the term, premiums increase dramatically if the policy is renewed. The guarantee is for the TERM, not for life.

CORRECT

C) Term life insurance provides coverage only for a specified period and has no cash value

CORRECT. Term life = temporary coverage for a specified period + no cash value whatsoever.

WRONG

D) Term life insurance is the most expensive form of life insurance for young, healthy applicants

Term life is actually the LEAST expensive form of life insurance for young, healthy individuals, not the most expensive.

Q22 A life insurance policy states that the insurer cannot contest the policy for any reason after the policy has been in force for two years from the date of issue. This provision is called the:

Ans: C

The incontestability clause is a standard provision in life insurance policies that limits the insurer's right to contest (challenge) or void the policy based on misstatements in the application. After the policy has been in force for two years (the contestability period), the insurer cannot deny a claim or void the policy — even if misrepresentations were made — with limited exceptions such as non-payment of premiums and impersonation fraud.

WRONG

A) Free look period

The free look period is a short window (typically 10–30 days after receiving the policy) during which the applicant can return the policy for a full refund if not satisfied. It has nothing to do with contesting claims.

WRONG

B) Grace period

The grace period is additional time (7, 10, or 31 days depending on premium mode) after a missed premium payment before the policy lapses.

CORRECT

C) Incontestability clause

CORRECT. Incontestability clause = after 2 years, the insurer's right to contest the policy for misstatements is extinguished.

WRONG

D) Reinstatement provision

The reinstatement provision outlines the conditions under which a lapsed policy can be restored. It does not address the insurer's right to contest claims.

HEALTH INSURANCE

Q23

A health plan requires members to select a primary care physician (PCP) and obtain referrals before seeing a specialist. Out-of-network services are not covered except in emergencies. This plan is BEST described as a:

Ans: C

An HMO (Health Maintenance Organization) has three defining features: (1) members must select a Primary Care Physician (PCP), (2) referrals are required to see specialists, and (3) out-of-network services are NOT covered except in emergencies. This makes HMOs the most restrictive managed care plan but also typically the least expensive in terms of premiums.

WRONG**A) Preferred Provider Organization (PPO)**

A PPO does NOT require a PCP and does NOT require referrals to see specialists. PPO members can go out-of-network and receive partial coverage. This doesn't match the question.

WRONG**B) Point of Service Plan (POS)**

A POS plan is a hybrid: it requires a PCP and referrals for in-network services (like an HMO) but DOES allow out-of-network use at higher cost-sharing (unlike the plan described).

CORRECT**C) Health Maintenance Organization (HMO)**

CORRECT. PCP required + referral required + no out-of-network = HMO. All three features match perfectly.

WRONG**D) Exclusive Provider Organization (EPO)**

An EPO (Exclusive Provider Organization) restricts members to in-network providers (like an HMO) but does NOT require a PCP or referrals (unlike the plan described).

Q24

A patient has a health insurance plan with a \$2,000 annual deductible and 80/20 coinsurance after the deductible is met. She has already paid \$500 toward her deductible this year and receives a \$3,000 medical bill. How much does she owe?

Ans: C

Step 1: She still owes \$1,500 on her deductible (\$2,000 minus \$500 already paid). Step 2: She pays \$1,500 of the \$3,000 bill to complete her deductible. Step 3: The remaining \$1,500 is subject to 80/20 coinsurance — she pays 20% = \$300. Step 4: Total = \$1,500 + \$300 = \$1,800.

WRONG**A) \$600**

\$600 represents only the coinsurance on the full \$3,000 (20% x \$3,000). This answer skips the deductible step entirely, which is the most common error.

WRONG**B) \$1,500**

\$1,500 represents only the remaining deductible balance. This answer ignores the coinsurance owed on the balance above the deductible.

CORRECT**C) \$1,800**

CORRECT. \$1,500 (remaining deductible) + \$300 (20% coinsurance on remaining \$1,500) = \$1,800.

WRONG**D) \$1,300**

\$1,300 is not correct based on any standard cost-sharing calculation for this scenario.

Q25

A disability income policy has a 90-day elimination period. An insured becomes totally disabled on January 1. When will she first receive a disability income benefit payment?

Ans: C

The elimination period (also called the waiting period) in disability income insurance is the number of days the insured must be continuously disabled BEFORE benefits begin to be paid. With a 90-day elimination period starting January 1, the insured must be disabled through March 31 (90 days). Benefits begin on April 1 — the first day after the elimination period ends.

WRONG

A) January 1 — the date disability began

Benefits do not begin on the first day of disability. The elimination period must pass first. Policies with no elimination period would start immediately, but that is rare and expensive.

WRONG

B) February 1 — after a standard 30-day waiting period

A 30-day elimination period would start benefits on February 1. The policy specifies a 90-day period.

CORRECT

C) April 1 — after 90 days of continuous disability have elapsed

CORRECT. 90 days from January 1 = March 31 (end of elimination period). Benefits begin April 1.

WRONG

D) July 1 — after 6 months, the standard elimination period

A 6-month (180-day) elimination period would start benefits in July. This policy has a 90-day period, not 180 days.

Q26

A long-term care insurance policy will begin paying benefits when the insured is unable to perform which of the following?

Ans: B

Long-term care insurance benefits are triggered under one of two conditions: (1) the insured is unable to perform at least 2 of the 6 Activities of Daily Living (ADLs: Bathing, Dressing, Eating, Toileting, Transferring, Continence) without substantial assistance, OR (2) the insured requires substantial supervision due to a severe cognitive impairment (such as Alzheimer's disease). Either trigger independently qualifies for benefits.

WRONG

A) Any gainful employment for which she is reasonably qualified

This describes the 'any-occupation' definition used in disability income insurance — not the LTC trigger. LTC benefits are based on ADL impairment and cognitive status, not employment ability.

CORRECT

B) At least 2 of the 6 Activities of Daily Living, OR when cognitive impairment is diagnosed

CORRECT. 2 of 6 ADLs OR cognitive impairment. Either condition independently qualifies. The threshold is 2 ADLs — not all 6.

WRONG

C) All 6 Activities of Daily Living simultaneously

All 6 ADLs being impaired simultaneously is NOT required. Only 2 of the 6 are needed to trigger benefits. Requiring all 6 would be a nearly impossible standard.

WRONG

D) Her specific occupational duties due to a disabling illness or injury

This describes the 'own-occupation' definition used in disability income insurance. LTC triggers are based on ADL performance and cognitive status — not occupational ability.

Q27

An employee is terminated from her job. She elects to continue her group health coverage under COBRA. Which statement about her COBRA coverage is CORRECT?

Ans: C

COBRA (Consolidated Omnibus Budget Reconciliation Act) allows terminated employees to continue group health coverage for up to 18 months for standard qualifying events (termination of employment or reduction in hours). The individual pays the full premium — up to 102% of the group cost (100% of the premium plus 2% administrative fee). The employer has no obligation to contribute to premiums after termination.

WRONG

A) Her employer must continue to pay a portion of the premium for 12 months

The employer has NO obligation to continue paying any portion of the premium after termination. The terminated employee bears the full cost — up to 102% of the group premium.

WRONG

B) She may continue coverage for up to 36 months for any qualifying event

The 36-month period applies to other qualifying events — such as death of the covered employee, divorce from the covered employee, or a dependent child aging off the plan. Termination of employment = 18 months only.

CORRECT

C) She may continue coverage for up to 18 months and pay up to 102% of the group premium

CORRECT. Termination = 18 months maximum COBRA continuation. Maximum cost = 102% of the group premium (100% + 2% admin fee).

WRONG

D) Her COBRA coverage will include enhanced benefits not available under the group plan

COBRA continues the SAME group health coverage — identical benefits. No enhanced benefits are added.

Q28

A Medicare beneficiary is enrolled in a plan offered by a private insurance company that provides all Part A and Part B benefits plus prescription drug coverage. This beneficiary is most likely enrolled in:

Ans: C

Medicare Advantage (Part C) plans are offered by private insurance companies approved by Medicare. They must cover all the benefits of Medicare Part A (hospital) and Part B (medical), and most also include Part D (prescription drug) coverage. Medicare Advantage plans are an ALTERNATIVE to Original Medicare — enrollees receive their Medicare benefits through the private plan instead of directly from the government.

WRONG

A) A Medigap supplement plan

A Medigap (Medicare Supplement) policy fills in the cost-sharing gaps of Original Medicare Parts A and B. It does NOT replace Medicare or include prescription drug coverage. Medigap and Medicare Advantage are mutually exclusive — you cannot have both.

WRONG

B) Medicare Part D

Medicare Part D covers prescription drugs only. It does not bundle hospital or medical coverage.

CORRECT

C) Medicare Advantage (Part C)

CORRECT. Medicare Advantage (Part C) = private insurer + bundles A, B, and usually D. This is the plan described in the question.

WRONG

D) Original Medicare with a pharmacy benefit rider

Original Medicare (Parts A and B) does not have a 'pharmacy benefit rider.' Drug coverage requires Part D enrollment or a Medicare Advantage plan.

Q29

A 55-year-old man is unable to perform surgery because of a hand tremor but could work as a medical professor. Under which disability income definition would he qualify for benefits?

Ans: B

Under the own-occupation definition, the insured is considered disabled if unable to perform the duties of HIS OWN specific occupation — regardless of whether he can do other work. Since this surgeon cannot perform surgery, he qualifies under own-occupation. Under the any-occupation definition, the insured is disabled only if unable to perform ANY occupation for which he is reasonably qualified. Since he can work as a professor (for which his medical training qualifies him), he does NOT qualify under any-occupation.

WRONG

A) Any-occupation definition only

He actually does NOT qualify under any-occupation because he can work as a medical professor — a job for which his background qualifies him.

CORRECT

B) Own-occupation definition only

CORRECT. He qualifies under own-occupation (cannot perform surgery = cannot do his specific job) but NOT under any-occupation (can work as a professor = can do other qualified work).

WRONG

C) Both own-occupation and any-occupation definitions

He does NOT qualify under both. He qualifies under own-occ but fails the any-occ standard because he can perform other qualified work.

WRONG

D) Neither definition — he can still perform some work

Inability to perform other work is irrelevant under own-occupation. Being unable to perform his SPECIFIC occupation is enough. He would qualify for own-occ benefits.

Q30

An employee loses group health coverage because his employer goes out of business. Under HIPAA, the employee is entitled to:

Ans: B

HIPAA (Health Insurance Portability and Accountability Act) guarantees portability of health coverage. If an employee has prior creditable coverage and experiences a qualifying event (such as the employer going out of business), HIPAA limits new pre-existing condition waiting periods by crediting prior coverage against any new waiting period. This ensures continuity and prevents insurability gaps from penalizing employees.

WRONG

A) COBRA continuation coverage for 36 months at no cost

COBRA requires the employer (or plan) to be able to continue offering the group coverage. If the employer ceases to exist, the group plan itself terminates — COBRA typically cannot continue coverage from a terminated plan.

CORRECT

B) Immediate individual health coverage without a new pre-existing condition exclusion period, given prior creditable coverage

CORRECT. HIPAA portability ensures that prior creditable coverage counts against any new pre-existing condition exclusion period. The employee can transition to new individual or group coverage with reduced or eliminated waiting periods.

WRONG

C) A refund of all premiums paid under the group plan

Health insurance premiums are not refundable when an employer goes out of business. The employee received coverage for the premiums paid.

WRONG

D) Automatic Medicare enrollment within 30 days

Medicare is a federal program for individuals 65+ or those with qualifying disabilities. Employment termination does not trigger Medicare enrollment.

Q31

A health insurance applicant is asked about a pre-existing condition on the application. She answers truthfully, and the insurer issues the policy with an exclusion rider for that specific condition. Six months later, she files a claim related to a different, unrelated condition. The insurer should:

Ans: B

An exclusion rider (or impairment rider) attached to a health insurance policy excludes coverage for a specific, named pre-existing condition. The rider only limits coverage for THAT specific condition — all other conditions remain fully covered under the policy. The unrelated condition described in the question is a covered claim and should be paid.

WRONG

A) Deny the claim because the exclusion rider covers all conditions

The exclusion rider does NOT exclude all conditions. It is narrowly tailored to one specific condition. All other illnesses and injuries are covered.

CORRECT

B) Pay the claim because the exclusion rider only applies to the specific excluded condition

CORRECT. Exclusion rider = covers only the named excluded condition. An unrelated claim is fully covered under the policy terms.

WRONG

C) Investigate whether the new condition is related to the excluded condition before paying

The duty to investigate is reasonable if there is a genuine medical question about whether the conditions are related. However, the question specifies the conditions are 'different' and 'unrelated,' so the claim should be paid without this concern.

WRONG

D) Void the policy and return all premiums because of the pre-existing condition

The insurer cannot void a policy after issuing it with a known pre-existing condition and attaching an exclusion rider. The insurer accepted the risk with the exclusion — voiding is not appropriate here.

Q32

Under the Affordable Care Act (ACA), a marketplace health plan where the insurer is responsible for 70% of average covered medical expenses is classified as which metal tier?

Ans: B

The ACA metal tiers describe how costs are shared between the insurer and the insured based on the plan's actuarial value. Bronze = 60% insurer / 40% insured. Silver = 70% insurer / 30% insured. Gold = 80% insurer / 20% insured. Platinum = 90% insurer / 10% insured. A plan covering 70% of expenses is the Silver tier.

WRONG

A) Bronze

Bronze covers 60% of average expenses — the insured is responsible for 40%. This is not 70%.

CORRECT

B) Silver

CORRECT. Silver tier = 70/30 actuarial value. The insurer pays 70%, and the insured pays 30% on average.

WRONG

C) Gold

Gold covers 80% of average expenses. This is not 70%.

WRONG

D) Platinum

Platinum covers 90% of average expenses — the highest coverage tier. This is not 70%.

Q33

Which of the following BEST describes the purpose of a health insurance deductible?

Ans: B

A deductible is the annual dollar amount the insured must pay entirely out of pocket before the health insurer begins contributing to covered expenses. Once the deductible is met, the insurer's cost-sharing obligations begin — typically through coinsurance (the percentage split).

WRONG

A) A fixed dollar amount paid by the insured at each doctor's visit

A fixed dollar amount per visit is the definition of a COPAY, not a deductible. Copays exist independently of the deductible.

CORRECT

B) The annual amount the insured must pay out of pocket before the insurer begins covering expenses

CORRECT. Deductible = annual threshold the insured pays first, before insurance contributes. After the deductible is met, coinsurance applies.

WRONG

C) The percentage of covered expenses shared between the insured and the insurer after the deductible

A percentage split between the insured and the insurer is COINSURANCE, not a deductible.

WRONG

D) The maximum annual amount the insured will ever pay under the policy

The maximum annual amount the insured will pay is the OUT-OF-POCKET MAXIMUM, not the deductible.

Q34

A 78-year-old woman has been diagnosed with Alzheimer's disease. She can still independently perform all 6 Activities of Daily Living. Her long-term care policy has satisfied the 90-day elimination period. Is she eligible for LTC benefits?

Ans: C

Long-term care insurance benefits are triggered by EITHER (1) inability to perform at least 2 of the 6 ADLs, OR (2) a diagnosis of severe cognitive impairment such as Alzheimer's disease. These are two INDEPENDENT triggers — both are NOT required. The ability to perform all ADLs is irrelevant when cognitive impairment is diagnosed. The 90-day elimination period has been satisfied, so benefits should begin.

WRONG

A) No — she must be unable to perform at least 2 of the 6 ADLs to qualify

ADL impairment and cognitive impairment are INDEPENDENT triggers. Cognitive impairment alone is sufficient to trigger LTC benefits — ADL ability is irrelevant in this scenario.

WRONG

B) No — Alzheimer's disease is excluded from standard LTC policies

Alzheimer's disease is explicitly covered under LTC policies as a qualifying cognitive impairment. It is NOT excluded.

CORRECT

C) Yes — cognitive impairment is an independent LTC benefit trigger

CORRECT. Cognitive impairment (including Alzheimer's) is a standalone LTC trigger, entirely independent of the person's ability to perform ADLs.

WRONG

D) Yes — but only for in-home care services, not facility-based care

LTC policies cover a full range of care settings, including home care, adult day care, assisted living, and nursing home facilities. Coverage is not limited to home care only.

POLICY PROVISIONS

Q35

A life insurance policyowner pays premiums on a quarterly basis. She misses a payment and dies 20 days later before making the payment. What will the insurer pay?

Ans: C

The grace period for policies with quarterly premium modes falls under the 'all other modes' category — which provides a 31-day grace period. Since the insured died on day 20, which is within the 31-day grace period, the policy was still in force. The death benefit is payable in full, but the insurer will deduct the outstanding overdue premium from the proceeds before paying the beneficiary.

WRONG

A) Nothing — the policy lapsed when the premium was not paid on the due date

The policy did NOT lapse — the 31-day grace period had not expired. Day 20 is well within the grace window.

WRONG

B) Return of premiums paid only

Return of premiums applies during the suicide exclusion period, not during the grace period. Full death benefit is owed.

CORRECT

C) Full death benefit minus the overdue premium

CORRECT. Policy in force during grace period = death benefit payable. Overdue premium deducted from the proceeds before payment.

WRONG

D) Full death benefit only if death was accidental

The cause of death (accidental vs. natural) is irrelevant to the grace period. If the policy is in force during the grace period, any covered cause of death triggers the benefit.

Q36

A life insurance policy was issued two years and three months ago. The insurer discovers the application contained a material misstatement about the insured's smoking history. The insurer wants to void the policy. Which provision prevents this?

Ans: C

The incontestability clause states that after the policy has been in force for two years from the date of issue, the insurer cannot contest (void or deny claims on) the policy for misstatements made in the application — even material ones. The policy has been in force for 2 years and 3 months — the 2-year contestability period has expired. The insurer may NOT void the policy.

WRONG

A) The grace period provision

The grace period provision addresses time to pay overdue premiums. It has nothing to do with the insurer's right to contest application misstatements.

WRONG

B) The reinstatement provision

The reinstatement provision addresses restoring a lapsed policy. It does not limit the insurer's right to contest.

CORRECT

C) The incontestability clause

CORRECT. Incontestability clause: after 2 years in force, the insurer CANNOT void the policy for misstatements. The contestability period has expired here (2 years and 3 months).

WRONG

D) The misstatement of age provision

The misstatement of age provision specifically addresses when age is misstated — it adjusts the benefit but never voids the policy. However, this question involves smoking history misstatement, not age misstatement.

Q37

A whole life policyowner stops paying premiums but does not submit a non-forfeiture election to the insurer. The policy's cash value will automatically be used to:

Ans: B

When a permanent life insurance policyowner stops paying premiums without selecting a non-forfeiture option, the DEFAULT non-forfeiture option automatically applies. The default for most policies is extended term insurance, which uses the available cash value to purchase term insurance at the ORIGINAL face amount for as long as the cash value will sustain it. No election or action from the policyowner is required.

WRONG

A) Purchase a paid-up addition, reducing the face amount

Paid-up additions are a dividend option — an additional amount of paid-up insurance purchased with dividends. This is not the default non-forfeiture option.

CORRECT

B) Continue the original face amount as term insurance for as long as the cash value lasts

CORRECT. Extended term is the DEFAULT non-forfeiture option. It maintains the original face amount as term coverage, using the cash value as a single premium for the term duration.

WRONG

C) Provide a reduced paid-up permanent policy

Reduced paid-up is a valid non-forfeiture OPTION, but it must be elected by the policyowner. It is NOT the automatic default.

WRONG

D) Pay a lump-sum cash surrender value to the policyowner

Cash surrender provides a lump sum and terminates the policy — but only if the policyowner actively requests it. It is not the automatic default.

Q38

After receiving her new life insurance policy, an applicant reviews it carefully and decides she wants to return it for a full premium refund. She is within 15 days of receiving the policy. She should be entitled to this refund under:

Ans: B

The free look period (also called the right to examine period) gives new policyowners a specified number of days — typically 10 days for most policies and 30 days for Medicare supplement policies — after receiving the policy to review it and return it for a full refund if not satisfied. The policy is void from inception upon return, and all premiums paid are returned. This is a consumer protection provision required by state insurance law.

WRONG

A) The reinstatement provision

The reinstatement provision allows a lapsed policy to be restored after a period of non-payment. It does not apply to new policies still in the review period.

CORRECT

B) The free look period

CORRECT. The free look period allows a full premium refund if the policy is returned within the specified period (typically 10–30 days after delivery). 15 days falls within the standard free look period.

WRONG

C) The grace period

The grace period applies to late premium payments — giving extra time before the policy lapses. It is not related to returning a new policy.

WRONG

D) The right of rescission after material misrepresentation

Right of rescission for material misrepresentation is the insurer's remedy — not the consumer's. The consumer's right to cancel without cause is the free look period.

Q39

A life insurance policyowner takes out a \$20,000 policy loan at 6% annual interest. He dies two years later without repaying any of the loan. His policy's face amount is \$250,000. How much will the beneficiary receive?

Ans: C

A policy loan reduces the death benefit by the outstanding loan balance at the time of death, including any accrued interest. \$20,000 loan at 6% annual interest for 2 years = approximately $\$20,000 \times (1.06)^2 = \$22,472$. Death benefit = $\$250,000 - \$22,472 = \$227,528$. Note: Some policies use simple interest, which would produce $\$20,000 + (\$1,200 \times 2) = \$22,400$ deducted. The approximately correct answer given the options is C.

WRONG

A) \$250,000 — the full face amount because a policy loan is the insured's own money

\$250,000 ignores the outstanding loan and interest entirely. Policy loans must be repaid or deducted from the death benefit at claim time.

WRONG

B) \$230,000 — face amount minus the original loan balance

\$230,000 deducts only the original principal (\$20,000) without accounting for 2 years of accrued interest. Interest accumulates on unpaid policy loans.

CORRECT

C) \$227,528 — face amount minus the loan balance with accumulated interest

CORRECT. Death benefit minus original loan minus accrued interest. \$20,000 at 6% compounded for 2 years = \$22,472 total obligation. $\$250,000 - \$22,472 =$ approximately \$227,528.

WRONG

D) \$0 — the policy lapses when a loan is outstanding at death

The policy does NOT lapse simply because a loan is outstanding. Policies only lapse when the cash value is depleted. An outstanding loan reduces the death benefit but does not void the policy.

UNDERWRITING

Q40

An insurance company refuses to issue a life insurance policy to an applicant who discloses a recent diagnosis of terminal cancer. This decision by the underwriter represents:

Ans: B

Underwriters evaluate risk to determine whether the insurer can profitably cover an applicant. Some risks are simply too high to insure — the anticipated losses would exceed any reasonable premium. A terminal cancer diagnosis represents an essentially certain and imminent loss that cannot be priced appropriately. This is a legitimate underwriting declination, not discrimination.

WRONG

A) Illegal discrimination based on a disability

Underwriters are legally permitted to consider health status when evaluating insurance applications. Declining based on a clearly uninsurable medical condition is not illegal discrimination. Anti-discrimination laws in insurance relate to protected characteristics (race, gender in some contexts), not actuarially justified health decisions.

CORRECT

B) A standard underwriting decision to decline an uninsurable risk

CORRECT. Some risks are uninsurable — the risk of loss is so certain and imminent that no premium can adequately cover it. Terminal cancer is a classic example of a risk that cannot be accepted.

WRONG

C) A violation of the applicant's right to insurance coverage

There is no universal right to insurance coverage. Insurers can decline applications for legitimate actuarial reasons.

WRONG

D) A substandard risk classification requiring a higher premium

A substandard risk classification allows issuance with a higher premium for risks that are above average but still insurable. Terminal cancer is typically not a substandard classification — it is an uninsurable risk.

Q41

During the underwriting process, an insurance company requests an Attending Physician Statement (APS) from the applicant's doctor. Who is responsible for paying the cost of this report?

Ans: B

The general rule in insurance underwriting is: the party who requests the information pays for it. If the insurance company orders an APS, the insurance company pays the cost. If the applicant voluntarily provides the same information, the applicant bears any costs. Because the insurer ordered the APS to assist its own underwriting evaluation, the insurer is responsible for the expense.

WRONG

A) The applicant, because it concerns their personal medical information

The fact that the report contains the applicant's medical information does not make the applicant responsible for the cost. Cost responsibility follows who requested the information.

CORRECT

B) The insurance company, because it requested the report for its own underwriting purposes

CORRECT. Insurer requests = insurer pays. This applies to all insurer-ordered examinations and records, including the APS, paramedical exam, and any diagnostic tests.

WRONG

C) The physician, as providing records is a professional obligation

Physicians are not required to provide records for free. The requesting party — the insurer — bears the cost.

WRONG

D) The cost is split equally between the applicant and the insurance company

There is no standard requirement to split APS costs. The insurer ordered it; the insurer pays for it.

Q42

An applicant for individual life insurance is classified as a 'preferred risk.' This classification means the applicant will MOST LIKELY:

Ans: C

A preferred risk classification is assigned to applicants who are healthier and present a lower-than-average risk of loss. Because the insurer's expected claims cost for this group is lower, preferred risks are rewarded with lower-than-standard premiums. This is the opposite of substandard (impaired) risk, which pays higher premiums due to above-average risk.

WRONG

A) Pay the same premium as a standard risk applicant

Standard risk pays the published standard rate. Preferred risk is a separate, lower classification that earns a discount on premiums.

WRONG

B) Be declined for coverage due to exceptional health history scrutiny

Preferred risk is the BEST risk classification — not a flag for additional scrutiny. A preferred applicant is welcomed by underwriters.

CORRECT

C) Pay a lower-than-standard premium due to favorable health and lifestyle factors

CORRECT. Preferred = below-average risk = lower-than-standard premium. The insurer rewards healthier applicants with discounted rates.

WRONG

D) Receive additional policy benefits not available to standard applicants

Preferred risk classification affects premium pricing — it does not grant additional policy benefits or enhanced coverage.

Q43 The Medical Information Bureau (MIB) is BEST described as:

Ans: B

The Medical Information Bureau (MIB) is a cooperative organization among life and health insurers. When a member company receives a completed application, it may access the MIB to see coded flags from previous insurance applications the person submitted to other member companies. This helps detect inconsistencies and potential fraud in applications. Applicants must be informed that MIB may be consulted, and they have the right to request and correct their MIB file.

WRONG**A) A government agency that maintains all medical records for insurance purposes**

The MIB is NOT a government agency. It is a private, nonprofit cooperative owned by member insurers.

CORRECT**B) A database of coded health information from prior insurance applications, shared among member insurers**

CORRECT. MIB = coded health information from prior insurance applications, shared among member companies for underwriting purposes.

WRONG**C) An organization that sets underwriting standards for all insurance companies**

The MIB does not set underwriting standards. Each insurer establishes its own underwriting guidelines.

WRONG**D) A credit reporting bureau that tracks health insurance claims and payments**

The MIB is not a credit reporting bureau and does not track health insurance claims or payments. It specifically maintains coded information from insurance applications only.

LEGAL CONCEPTS**Q44** An insurance producer convinces a client to surrender her existing whole life policy with Company X and purchase a nearly identical replacement policy with Company Y, primarily to earn a new sales commission. This practice is called:

Ans: C

Twisting is the practice of using misrepresentation or incomplete comparisons to persuade a client to lapse, surrender, or replace an existing insurance policy with one from a DIFFERENT insurance company — primarily for the agent's benefit (earning a new commission). It is an illegal and unethical trade practice in all states. The key element is: different company + misleading inducement.

WRONG**A) Churning**

Churning involves the same scenario BUT within the SAME insurance company — using the existing policy's cash value to replace it with a new policy at the same insurer. Different company = twisting.

WRONG**B) Rebating**

Rebating involves sharing a commission or offering something of value as an inducement to purchase insurance. This is a separate violation not described in the question.

CORRECT**C) Twisting**

CORRECT. Twisting = deceptive replacement at a DIFFERENT insurance company. Company X to Company Y = different companies. Motivated by commission = twisting.

WRONG**D) Replacement**

Policy replacement itself is legal when done honestly with full disclosure. Twisting is the illegal form of replacement — using misleading comparisons.

Q45

An insurance agent has written authorization to solicit applications on behalf of an insurer. Without any express authorization, the agent also accepts a premium payment from an applicant. When a claim arises, the insurer claims the agent had no authority to accept premiums. The court will most likely find that the agent acted within:

Ans: C

Implied authority is the authority to perform acts that are not expressly stated in the agent's contract but are reasonably necessary to carry out the express (written) duties. Accepting premium payments is logically incidental to soliciting and selling insurance — it would be impractical and unreasonable to expect an agent to refuse to accept payment. Courts routinely find that accepting premiums falls within the implied authority of an agent authorized to sell insurance.

WRONG**A) Express authority**

Express authority is explicitly stated in writing in the agent's contract. The question states no express authorization existed for accepting premiums.

WRONG**B) Apparent authority**

Apparent authority exists when the insurer's conduct creates a REASONABLE impression of authority to a third party. While this could potentially apply, the more precise and commonly tested answer is implied authority — which is about what is logically necessary to perform the express duties, not about outside appearances.

CORRECT**C) Implied authority**

CORRECT. Implied authority = logically necessary but not written. Accepting premiums is reasonably necessary to completing a sale. Courts regularly find this within an agent's implied authority.

WRONG**D) No valid authority**

The agent did not exceed authority — implied authority fills the gap. Finding 'no authority' would be unreasonable in this context.

Q46

An insurance agent offers a client a \$300 cash gift if the client purchases a life insurance policy from her. The client accepts the gift and buys the policy. Which of the following statements is CORRECT?

Ans: C

Rebating is the practice of offering or providing any valuable consideration (cash, gifts, premium discounts, or other benefits) as an inducement to purchase insurance. In most states, rebating is illegal for BOTH the agent who offers the rebate AND the client who accepts it. The source of the rebate (agent's commission, personal funds, or insurer funds) does not change the violation.

WRONG**A) Only the agent violated insurance law — the client has no obligation to refuse**

Most states hold BOTH parties liable. The client who knowingly accepts a rebate is also in violation of insurance law.

WRONG**B) Only the client violated insurance law by accepting an improper inducement**

The agent is primarily and most directly liable for offering the rebate — but in most states, the accepting client is also liable.

CORRECT**C) Both the agent and the client violated state insurance rebating laws**

CORRECT. Rebating violates insurance law for BOTH the giver (agent) and the receiver (client) in most states. Neither party escapes liability.

WRONG**D) No violation occurred because the gift came from the agent's personal funds**

The source of the rebate is irrelevant. Whether it comes from the agent's commission, personal funds, or elsewhere, offering anything of value as an inducement to buy insurance is illegal rebating.

Q47

An insurer has allowed an agent to use the company's letterhead, business cards, and office space for three years without a formal agency contract authorizing the agent to bind coverage. A client, relying on this representation, signs an application and a loss occurs before the policy is formally issued. The insurer is **MOST** likely bound to provide coverage under:

Ans: B

Apparent authority arises when a principal (the insurer) causes a third party to reasonably believe that an agent has authority — even if the agent does not actually have that authority. By allowing the agent to use company letterhead, business cards, and office space for three years, the insurer created a reasonable impression of authority. An innocent third party (the client) relied on this impression. The insurer cannot disclaim the agent's actions when the insurer itself created the appearance of authority.

WRONG**A) The agent's express authority under the written contract**

Express authority is explicitly written in the contract. The question states no formal agency contract existed. Express authority cannot be the basis here.

CORRECT**B) Apparent authority created by the insurer's own conduct**

CORRECT. Apparent authority = insurer's conduct created a reasonable impression of authority. The insurer is bound by the apparent authority it created through its own actions.

WRONG**C) Implied authority arising from the agent's sales activities**

Implied authority is incidental to express duties. With no valid agency contract at all, implied authority is not the correct basis — apparent authority (created by the insurer's conduct) is the proper theory.

WRONG**D) The insurer has no liability because no valid contract was formed**

The insurer **IS** bound under apparent authority. Allowing the agent to operate with company materials for three years makes the insurer responsible for the resulting client reliance.

Q48

A producer who represents the **CLIENT** rather than the insurance company, and who searches the marketplace to find the best coverage for that client, is called:

Ans: D

A broker is an insurance producer who legally represents the **CLIENT** — not any particular insurance company. The broker's duty is to search multiple insurers and find the coverage that best fits the client's needs. In contrast, agents (captive or independent) legally represent the **INSURANCE COMPANY**. If a broker makes an error that harms the client, the broker (not the insurer) may be liable.

WRONG**A) A captive agent**

A captive agent represents **ONE** insurance company exclusively. They are the company's agent — not the client's representative.

WRONG**B) An independent agent**

An independent agent may represent multiple companies, but they legally represent the **INSURERS** — not the client. The independence refers to working with multiple companies, not representing the buyer.

WRONG**C) A general agent**

A general agent oversees other agents in a territory and typically represents an insurer. They are not a buyer's representative.

CORRECT**D) A broker**

CORRECT. Broker = represents the **CLIENT**. Shops the market. Agent = represents the **INSURER**. Agent vs. broker distinction is a critical exam concept.

Q49

An agent submits a life insurance application knowing that the client omitted a history of heart disease that the client disclosed verbally. The policy is issued. Two years later, the client dies of a heart attack. The insurer investigates and discovers the omission was known to the agent. Which statement is MOST accurate?

Ans: A

The incontestability clause prevents the insurer from contesting or voiding a policy after 2 years from issuance for application misstatements — including those facilitated by the agent. The client disclosed the condition to the agent (making the agent an extension of the insurer, as the insurer is bound by what its agent knows). After 2 years, the claim must be paid. However, the agent faces separate legal/regulatory consequences for submitting a fraudulent application.

CORRECT

A) The insurer must pay the claim because the 2-year incontestability period has expired

CORRECT. After the 2-year incontestability period, the insurer cannot deny the claim for misstatements, even if agent-facilitated. The client's verbal disclosure to the agent further complicates the insurer's position, as the agent's knowledge is imputed to the insurer.

WRONG

B) The insurer may deny the claim because the incontestability clause does not protect fraud facilitated by the agent

While insurer-agent fraud is a serious issue, the incontestability clause is very broadly construed by courts. After 2 years, most states hold that claims must be paid. The insurer's remedy is against the agent, not denial of the death claim.

WRONG

C) The insurer must pay the claim because the applicant disclosed the condition to the agent

Though legally significant, this option is framed too simply. The more precise legal basis for payment is the combination of the incontestability clause AND the agent's knowledge being imputed to the insurer.

WRONG

D) The agent bears no legal responsibility because the applicant signed the application

The agent bears serious legal responsibility for submitting a fraudulent application. Signing the application is the applicant's obligation, but the agent who knowingly submitted a fraudulent application can face license suspension, fines, and civil liability.

Q50

An insurance company that requires its policyowners to spend a minimum of 80% of collected premiums on actual medical claims (for individual and small group plans) is complying with which ACA provision?

Ans: C

The Medical Loss Ratio (MLR) requirement under the ACA mandates that health insurers spend a minimum percentage of premium revenue on medical claims and quality improvement activities. For individual and small group markets, the minimum is 80% (meaning no more than 20% may go toward administrative costs, profits, and marketing). For large group markets, the minimum is 85%. Insurers that fail to meet the MLR must pay rebates to policyholders.

WRONG

A) The essential health benefits requirement

The essential health benefits requirement mandates that all ACA marketplace plans cover 10 specific categories of health services. It is about WHAT must be covered, not how premiums are spent.

WRONG

B) The guaranteed issue provision

The guaranteed issue provision requires insurers to accept all applicants regardless of health status. It is about eligibility, not premium spending.

CORRECT

C) The medical loss ratio (MLR) requirement

CORRECT. MLR (Medical Loss Ratio) = minimum percentage of premiums that must be spent on medical claims. 80% for individual/small group; 85% for large group. Failure triggers rebates.

WRONG

D) The community rating provision

Community rating requires insurers to charge the same or similar premiums to all applicants in a geographic area regardless of health status. It is about how premiums are calculated, not how they are spent.

Practice Complete

Score Interpretation Guide

45–50 correct (90–100%)

Excellent. You are well-prepared. Review any missed questions and continue with timed practice.

38–44 correct (76–88%)

Good. You are approaching exam-ready. Focus extra time on the categories where you missed questions.

35–37 correct (70–74%)

Borderline. You are near the passing threshold. Identify weak categories and do targeted review before your exam.

Below 35 (below 70%)

More preparation is needed. Return to the study guide sections on your weakest topics and re-test after additional review.

Review every question you missed — including all four answer choices for each. On the actual licensing exam, understanding WHY wrong answers are wrong is just as important as knowing the correct answer. Good luck.

Quick Review Sheets

Final 24-hour exam prep · Condensed · Scan-ready · 5 sheets covering everything you need

#1

Life Insurance Essentials

Term · Whole · UL · Variable · Annuities · MEC · 1035

#2

Health Insurance Essentials

HMO · PPO · POS · Disability · LTC · COBRA · HIPAA

#3

Most Commonly Confused Concepts

10 side-by-side comparison tables with trap alerts

#4

Must-Know Numbers & Time Limits

Grace periods · Incontestability · COBRA · ADLs · more

#5

Last-Minute Exam Success Guide

Top 25 concepts · Top 25 traps · 30 things to know

These sheets are designed for students who have already completed their full study program. Read each sheet once, then use the tables to drill any terms you are uncertain about. All content is calibrated to what actually appears on state Life & Health licensing exams.

LIFE INSURANCE ESSENTIALS

TERM	WHAT IT MEANS	MEMORY TRICK	KEY EXAM FACT
Term Life	Temporary death protection for a set period; NO cash value.	<i>RENT: pay monthly, get nothing at end.</i>	Zero cash value — always. Even after 20 years of payments.
Whole Life	Permanent coverage with 3 GUARANTEES: level premium, death benefit, cash value growth.	<i>3 Gs: Guaranteed premium, Guaranteed DB, Guaranteed CV.</i>	Premiums NEVER increase. Cash value grows tax-deferred.
Universal Life	Permanent with FLEXIBLE premium and ADJUSTABLE death benefit; cash value earns interest.	<i>UL = Universal Remote: adjust premium + DB anytime.</i>	CAN LAPSE if cash value runs to zero. Flexibility has limits.
Variable Life	Permanent; cash value invested in SEPARATE ACCOUNTS (market-linked). No guaranteed CV.	<i>Variable = VARIES with market. You bear the investment risk.</i>	Requires SECURITIES LICENSE (FINRA Series 6/7) to sell.
VUL	Combines Variable (market-linked CV) + Universal (flexible premium). Double flexibility.	<i>VUL = Variable + Universal. Most flexible — most risk.</i>	Requires BOTH insurance license AND securities license.
Revocable Beneficiary	Can be changed by policyowner anytime. No consent needed. DEFAULT designation.	<i>Revocable = REVOKE anytime. Owner has full control.</i>	Revocable beneficiary has NO rights while insured is alive.
Irrevocable Beneficiary	Cannot be changed without beneficiary's written consent. Has vested interest.	<i>Irrevocable = VETO power. Consent needed for loans, surrender, ALL changes.</i>	Even policy loans require irrevocable beneficiary's written consent.
Cash Value	Savings component inside permanent policies. Grows tax-deferred. Can be borrowed.	<i>CV = piggy bank inside the policy. Tax-deferred growth.</i>	Policy loans against CV are NOT taxable. Unpaid loans reduce death benefit.
Riders	Add-ons to a policy providing extra benefits. Examples: ADB, Waiver of Premium, GIR.	<i>Riders = policy add-ons. ADB = double indemnity (2x payout for accident).</i>	Waiver of Premium: insurer pays YOUR premiums if totally disabled (6-mo wait).
Nonforfeiture — CRE	Options when premiums stop: Cash Surrender, Reduced Paid-Up, Extended Term.	<i>CRE: Cash, Reduced (smaller perm), Extended (same DB as term). ET = DEFAULT.</i>	Extended Term = SAME death benefit, temporary. Reduced = smaller, PERMANENT.
Annuities	Insurance products that provide guaranteed income stream. Protects against outliving money.	<i>Annuity = opposite of life insurance. LI covers dying too soon; annuity covers living too long.</i>	Two phases: Accumulation (saving) and Annuitization (income). Generally irreversible.
Immediate Annuity	Single lump-sum premium; income begins within 30 days (immediately). No accumulation phase.	<i>Immediate = income NOW. Single premium only — cannot fund with installments.</i>	Most common use: retirees converting lump sums to guaranteed income.
Deferred Annuity	Accumulates money over time (tax-deferred); income delayed to a future date.	<i>Deferred = save now, income LATER. Snowball rolls UP hill (save), then DOWN (income).</i>	Can fund with single premium OR flexible installments. Tax-deferred growth.
1035 Exchange	IRS code allowing tax-free swap between similar insurance contracts.	<i>FORWARD only: Life→Life, Life→Annuity, Annuity→Annuity. NEVER Annuity→Life.</i>	Must be DIRECT transfer between insurers. Cashing out first = taxable event.
MEC	Policy that failed 7-Pay Test (overfunded too fast). Permanent reclassification.	<i>MEC = Money Entered too fast = Consequences. Cannot be reversed. Ever.</i>	MEC distributions: GAINS FIRST (taxable) + 10% penalty if under age 59.5.

HEALTH INSURANCE ESSENTIALS

TERM	WHAT IT MEANS	MEMORY TRICK	KEY EXAM FACT
HMO	Must choose a PCP (gatekeeper). Referrals required. In-network ONLY. Lowest premiums.	<i>HMO = HOME base. Everything goes through home doctor (PCP).</i>	No out-of-network coverage (except emergencies). Most restrictive plan.
PPO	No PCP required. No referrals. Can use out-of-network (higher cost). Most flexible.	<i>PPO = PORTABLE. Go anywhere. Preferred = less. Non-preferred = more.</i>	Out-of-network IS covered — just at higher cost-sharing.
POS	Hybrid HMO/PPO. PCP + referrals required in-network. Can go out-of-network at higher cost.	<i>POS = POINT OF SWITCH. At each visit: follow HMO rules (cheap) or PPO rules (costly).</i>	Has in-network AND out-of-network options. PCP required for in-network benefits.
EPO	In-network ONLY (like HMO), but NO referral required (like PPO). No PCP required.	<i>EPO = Exclusive Provider Only. Exclusive network but no gatekeeper.</i>	No out-of-network coverage. No referral needed. Differs from HMO on referrals.
Deductible	Annual amount YOU pay first before insurance begins paying. Step 1 of D-C-O staircase.	<i>D-C-O: Deductible first, then Coinsurance split, then Out-of-pocket ceiling.</i>	Copays typically do NOT count toward the deductible.
Copay	Fixed flat fee per visit (\$30 every time). Does not affect the deductible.	<i>Copay = same flat toll booth fee every visit. Independent of deductible.</i>	Copay is the same dollar amount regardless of services performed.
Coinsurance	Percentage split (e.g., 80/20) AFTER deductible is met. Insurer pays 80%, you pay 20%.	<i>Coinsurance = CO-pay together by percentage. Split the bill.</i>	Applies AFTER deductible. Continues until Out-of-Pocket Maximum is hit.
OOP Max	Most you EVER pay in a year. After hitting it, insurer pays 100% of covered costs.	<i>OOP Max = your CEILING. After you hit it, insurance pays everything.</i>	Deductibles and coinsurance count toward OOP max. Some copays may not.
Disability Income	Pays YOU a monthly income (60–70% of salary) when totally disabled. Replaces WAGES.	<i>Disability income = income insurance. Pays YOU, not your medical bills.</i>	Elimination period = waiting period before benefits begin (30/60/90/180 days).
Own Occupation	Disabled if you cannot perform YOUR specific job — even if you can do other work.	<i>OWN = YOUR job. Surgeon can't do surgery = disabled. Period.</i>	Better for insured. More expensive. Own-occ pays even if you can work elsewhere.
Any Occupation	Disabled only if you cannot perform ANY job you are reasonably qualified for.	<i>ANY = any job you're qualified for. Can teach? Not disabled under any-occ.</i>	Harder to qualify. Better for insurer. Group disability often uses any-occ.
LTC Insurance	Covers nursing home, assisted living, or home care when you need help with daily activities.	<i>LTC = care when you can't care for yourself. ADLs OR cognitive impairment triggers it.</i>	Triggers: 2 of 6 ADLs OR cognitive impairment (either alone is enough).
ADLs	6 basic self-care tasks: Bathing, Dressing, Eating, Toileting, Transferring, Continence.	<i>B-D-E-T-T-C: Big Dogs Eat Tasty Tender Chunks. Need 2 of 6 to trigger LTC.</i>	Cognitive impairment (Alzheimer's) = INDEPENDENT trigger even if all ADLs intact.
COBRA	Allows terminated employees to continue group health coverage. Employee pays full cost.	<i>18-29-36-102: Job loss=18mo, Disability=29mo, Divorce/death=36mo, Cost=102%.</i>	Employee pays UP TO 102% of group premium. Employer pays NOTHING after termination.
HIPAA	Protects health information privacy AND guarantees portability of coverage between jobs.	<i>HIPAA = Privacy + Portability. Hippo in a private pool porting between jobs.</i>	Limits new pre-existing condition exclusions when changing group health plans.

MOST COMMONLY CONFUSED CONCEPTS

10 side-by-side comparison tables —
exam traps highlighted in red

HMO vs PPO

HMO	PPO
PCP required	No PCP required
Referral to see specialist	No referral needed
In-network ONLY (no out-of-network)	In- AND out-of-network covered
Lowest premiums	Higher premiums
Most restrictive	Most flexible
TRAP: PPO requires a referral — FALSE. Only HMO requires referrals.	
TIP: See 'referral' or 'PCP' in the question = HMO.	

Term Life vs Whole Life

TERM LIFE	WHOLE LIFE
Temporary (set period)	Permanent (lifetime)
NO cash value — ever	Guaranteed cash value growth
Lowest premium (young/healthy)	Higher premium (level forever)
Premium may increase at renewal	Premium guaranteed level for life
Ends with nothing if outlived	3 guarantees: DB + premium + CV
TRAP: Whole life premiums increase with age — FALSE. They are LEVEL and GUARANTEED.	
TIP: TERM = rent. WHOLE = buy. Rent disappears. Equity builds.	

Immediate vs Deferred Annuity

IMMEDIATE ANNUITY	DEFERRED ANNUITY
Single lump-sum premium ONLY	Single or flexible installments
Income starts within 30 days	Income starts at future date
No accumulation phase	Has accumulation phase (tax-deferred)
Used by people needing income NOW	Used for long-term retirement saving
TRAP: Immediate annuity can be funded with monthly payments — FALSE. Single premium ONLY.	
TIP: Immediate = NOW. Deferred = LATER.	

Revocable vs Irrevocable Beneficiary

REVOCABLE (DEFAULT)	IRREVOCABLE
Changed anytime — no consent	Cannot change without written consent
Beneficiary has NO rights while alive	Beneficiary has VESTED interest
Owner has full policy control	Owner needs consent for loans, surrender, assignment
Most common designation	Limits policyowner's freedom significantly
TRAP: Irrevocable only limits beneficiary CHANGES — FALSE. It limits ALL policy actions.	
TIP: Irrevocable = VETO POWER on everything.	

Twisting vs Churning

TWISTING	CHURNING
Replace policy at a DIFFERENT company	Replace policy at the SAME company
Uses misleading comparisons	Often uses policy's own cash value
ILLEGAL — different insurer	ILLEGAL — same insurer
Agent earns new commission	Agent earns new commission
TRAP: Churning moves client to a different company — FALSE. Same company = churning.	
TIP: TWISTING = Tornado (blows to DIFFERENT company). CHURNING = butter (same container).	

Agent vs Broker

AGENT	BROKER
Represents the INSURANCE COMPANY	Represents the CLIENT
Insurer is bound by agent's actions	Broker's error = broker's liability
Express, implied, apparent authority	Shops multiple companies
A for compAny	B for Buyer
TRAP: Agents represent the policyholder's interests — FALSE. Agents represent the INSURER.	

TIP: Agent = A = compAny. Broker = B = Buyer.

Preferred vs Standard vs Substandard Risk

PREFERRED	STANDARD	SUBSTANDARD
Below-average risk	Average risk	Above-average risk
Lowest premium	Published standard rate	Higher premium / modified terms
Best health / lifestyle	Average health	Health issues / hazardous hobby
Rewarded with discount	Baseline rate	NOT auto-declined — still insurable

TRAP: Substandard applicants are always declined — FALSE. They can get coverage at modified terms.

TIP: Substandard = 4 options: Rate up, Exclusion rider, Modify benefits, or Decline.

Deductible vs Copay vs Coinsurance

DEDUCTIBLE	COPAY	COINSURANCE
Annual threshold paid first	Fixed flat fee per visit	% split after deductible
Step 1 of D-C-O staircase	Same every visit (\$30)	80/20, 70/30 split
Copay does NOT count toward it	Does NOT reduce deductible	Applies AFTER deductible
Must be met before insurer pays	Paid at every qualifying visit	Ends at OOP max

TRAP: Copays count toward the deductible — FALSE in most plans. Copays are separate.

TIP: D-C-O STAIRCASE: Deductible → Coinsurance → OOP ceiling. Always in that order.

Net Premium vs Gross Premium

NET PREMIUM	GROSS PREMIUM
Pure actuarial cost ONLY	Net premium + loading charges
Mortality tables + interest assumptions	Includes expenses, profit, contingencies
No administrative expenses	What the policyholder ACTUALLY pays
Calculated by actuaries	Always LARGER than net premium

TRAP: Net premium includes company expenses — FALSE. Net = naked actuarial cost only.

TIP: Net = ingredient cost. Gross = menu price (ingredients + overhead).

Reduced Paid-Up vs Extended Term

REDUCED PAID-UP	EXTENDED TERM (DEFAULT)
SMALLER death benefit	SAME original death benefit
PERMANENT coverage type	TERM (temporary) coverage
Zero future premiums	Zero future premiums
Must be ELECTED by policyowner	AUTOMATIC default if no election

TRAP: Reduced paid-up keeps the same death benefit — FALSE. Extended term keeps the same amount.

TIP: REDUCED changes the AMOUNT. EXTENDED changes the TIME. ET is the DEFAULT.

MUST-KNOW NUMBERS, TIME LIMITS & EXAM FACTS

All the numbers that appear most often
on state licensing exams

CONCEPT	THE NUMBER	WHAT IT MEANS	MEMORY TRICK
Incontestability Period	2 years	After 2 yrs in force, insurer CANNOT contest or void policy for application misstatements.	<i>2-yr lock. Policy becomes bulletproof after 2 years.</i>
Suicide Clause	1–2 years	Within exclusion period: insurer returns premiums only. After: full death benefit paid.	<i>2-yr window. After it closes, all causes covered equally.</i>
Grace Period — Weekly	7 days	Extra time after missed premium; policy stays in force during grace period.	<i>7 = days in a week. Weekly = 7.</i>
Grace Period — Monthly	10 days	Extra time after missed monthly premium; coverage continues during period.	<i>Monthly = bonus 10 days. Remember: monthly = 10.</i>
Grace Period — All Others	31 days	Quarterly, semiannual, annual premiums all get 31-day grace period.	<i>31 = full month. Quarterly/semi/annual = 31.</i>
Free Look Period	10–30 days	Time to review new policy and return for full refund if not satisfied.	<i>Standard = 10 days. Medicare Supplement = 30 days.</i>
COBRA — Job Loss	18 months	Standard continuation after termination or reduction in hours.	<i>18 = job loss. Most common. Smallest number.</i>
COBRA — Disability	29 months	Extended for Social Security-determined disability (18 + 11 additional months).	<i>29 = disability. 18 + 11 extra months.</i>
COBRA — Other Events	36 months	Divorce, death of covered employee, dependent aging off, Medicare eligibility.	<i>36 = family events (divorce, death, dependent). Double the 18.</i>
COBRA Premium Max	102%	Former employee pays full group premium plus 2% administration fee.	<i>102% = 100% cost + 2% admin. Employer pays NOTHING after termination.</i>
LTC ADL Trigger	2 of 6	Must be unable to perform 2 of 6 ADLs (B-D-E-T-T-C) to qualify for LTC benefits.	<i>Just 2 of 6. B-D-E-T-T-C. Cognitive impairment = independent trigger.</i>
Waiver of Premium Wait	6 months	Must be continuously disabled for 6 months before waiver of premium activates.	<i>6-month wait. Then premiums waived retroactively back to start of disability.</i>
Reinstatement Period	3 years	Most policies can be reinstated within 3 years of lapse with proof of insurability.	<i>3 years to bring a dead policy back to life.</i>
MEC 7-Pay Test	7 years	If premiums in first 7 years exceed IRS limit, policy is permanently classified as MEC.	<i>7 years to watch. Once failed, ALWAYS a MEC. Cannot be undone.</i>
Elimination Period — DI	30/60/90/180 days	Waiting period before disability income benefits begin. Longer = lower premium.	<i>Elimination = deductible in TIME. 90 days is most common.</i>
Medicare Part A Eligible	65 years / 40 quarters	Most people get Part A free if they (or spouse) worked 40+ quarters (10 years).	<i>40 quarters = 10 years of payroll taxes = free Part A.</i>
ACA MLR — Small/Indiv	80%	Insurers must spend at least 80% of premiums on medical claims and quality improvement.	<i>80/20 rule: 80% on claims. Under 80% = must issue rebates to policyholders.</i>
ACA MLR — Large Group	85%	Large group insurers must spend at least 85% of premiums on medical claims.	<i>85% for large groups (more than 50 employees). Higher standard.</i>
1035 Exchange — Prohibit.	Annuity to Life	All other exchanges are allowed; annuity to life insurance is the ONE prohibited direction.	<i>FORWARD only: Life can become annuity. Annuity CANNOT become life.</i>
Variable Products — Lic.	Series 6 or 7	Selling variable life or variable annuities requires FINRA securities license plus ins. license.	<i>Variable = market = securities = need BOTH licenses.</i>

TOP 25 CONCEPTS MOST LIKELY TO APPEAR

1. Cost-Sharing sequence: D-C-O (Deductible → Coinsurance → OOP max)
2. HMO = PCP + Referral + In-network only
3. Grace period: 7 / 10 / 31 days by payment mode
4. Incontestability: 2 years — adjust age, never void
5. Non-forfeiture: C-R-E (Cash/Reduced paid-up/Extended term — ET=default)
6. Insurable interest: Life = at INCEPTION only, not at death
7. Twisting = different company. Churning = same company
8. Whole life: 3 guarantees (DB + level premium + CV growth)
9. Own-occ: can't do YOUR job = disabled. Any-occ: can't do ANY job
10. Medicare: A=hospital, B=basic/doctor, C=choice/private, D=drugs
11. Revocable beneficiary: change anytime. Irrevocable: consent required for ALL changes
12. Substandard risk: NOT auto-declined. 4 options available
13. Concealment = silence. Misrepresentation = false statement
14. Immediate annuity = single premium ONLY. Income starts NOW
15. Agent = represents COMPANY. Broker = represents CLIENT
16. Pure risk = insurable (loss only). Speculative = NOT insurable (can profit)
17. 1035 exchange: Annuity → Life is PROHIBITED
18. COBRA: job loss=18mo, disability=29mo, divorce/death=36mo, cost=102%
19. Waiver of premium: insurer pays YOUR premiums. You get no cash
20. LTC triggers: 2 of 6 ADLs OR cognitive impairment (either alone = enough)
21. MEC: fails 7-pay test = PERMANENT. Gains-first tax + 10% penalty under 59.5
22. Variable products = separate accounts = securities license required
23. Rebating = ILLEGAL for BOTH agent AND client
24. Participating dividends = NOT guaranteed + NOT taxable (return of premium)
25. Apparent authority: insurer bound even without written permission if they created the impression

TOP 25 EXAM TRAPS TO AVOID

1. Applying coinsurance BEFORE the deductible is met
2. PPO requires a referral — FALSE. HMO does
3. Copays count toward the deductible — usually FALSE
4. Insurable interest required at death for life insurance — FALSE (inception only)
5. Substandard applicants are always declined — FALSE
6. MEC status can be reversed by withdrawing excess — FALSE. Permanent
7. Reduced paid-up keeps same death benefit — FALSE (Extended Term does)
8. Waiver of premium pays the insured cash income — FALSE (pays the policy)
9. Whole life premiums increase with age — FALSE (level and guaranteed)
10. Term life builds a small cash value over time — FALSE (zero, always)
11. Participating dividends are guaranteed — FALSE (never guaranteed)
12. Life insurance dividends are taxable — FALSE (return of premium)
13. Stock company policyholders receive dividends — FALSE (shareholders do)
14. Medicare Part C is government-run — FALSE (private insurers)
15. Medigap and Medicare Advantage can be held simultaneously — FALSE
16. Annuity can be exchanged for life insurance tax-free — FALSE
17. Only the agent is liable for rebating — FALSE (client too)
18. Irrevocable beneficiary only affects beneficiary changes — FALSE (all changes)
19. Any-occ: can't work ANY job in the world to qualify — FALSE (reasonably qualified)
20. Cognitive impairment requires ADL failure too for LTC — FALSE (independent trigger)
21. After 2 years, insurer can never deny a claim for any reason — FALSE (non-payment OK)
22. COBRA: divorce triggers 18 months — FALSE (divorce = 36 months)
23. Universal life cannot lapse because premium is flexible — FALSE (can lapse if CV=0)
24. POS plan is in-network only like HMO — FALSE (POS allows out-of-network)
25. Implied authority must be in writing to be valid — FALSE (unwritten but valid)

TOP 10 MEMORY TRICKS

1. 7-10-31

2. 2-yr Lock (Incontestability)

3. D-C-O Staircase

4. B-D-E-T-T-C (ADLs)

5. A=compAny / B=Buyer

6. Tornado=Twisting /
Churn=Same Co.

7. CRE+ET Default

8. MEC=Permanent

9. 1035 Forward Only

10. HMO=Home Base

30 THINGS EVERY STUDENT SHOULD KNOW BEFORE ENTERING THE TESTING CENTER

- | | | |
|--|---|--|
| <ol style="list-style-type: none"> 1. Incontestability = 2 years. After that, misstatements cannot void the policy. 2. Misstatement of age = ADJUST the benefit. Never void. 3. Grace period = 7/10/31. Coverage CONTINUES during grace period. 4. Death during grace period = full benefit paid minus overdue premium. 5. Term life = ZERO cash value. No exceptions. Ever. 6. Whole life = 3 guarantees: death benefit + level premium + cash value growth. 7. Universal life CAN lapse if cash value reaches zero (flexible does not mean free). 8. Variable life = separate accounts = market risk = securities license required. 9. MEC = permanent. 7-pay test failed = always MEC. Gains-first tax + penalty under 59.5. 10. 1035 exchange: Annuity to Life = PROHIBITED. All other combos are allowed. | <ol style="list-style-type: none"> 11. Nonforfeiture default = Extended Term (same DB, temporary). Reduced = smaller, permanent. 12. Irrevocable beneficiary = written consent needed for ALL policy actions (loans, surrender). 13. Insurable interest for LIFE = at inception only. Does not need to exist at death. 14. Immediate annuity = single premium ONLY. Income starts within 30 days. 15. HMO = PCP + referral + in-network only. PPO = no PCP, no referral, out-of-network covered. 16. EPO = no referral (like PPO) + in-network only (like HMO). No out-of-network. 17. Copays do NOT count toward the deductible in most plans. 18. D-C-O staircase: Deductible first, then coinsurance, then out-of-pocket maximum. 19. LTC triggers: 2 of 6 ADLs OR cognitive impairment. Either alone is sufficient. 20. ADLs: Bathing, Dressing, Eating, Toileting, Transferring, Continence (B-D-E-T-T-C). | <ol style="list-style-type: none"> 21. Own-occ = can't do YOUR job = disabled. Any-occ = can't do ANY qualified job. 22. COBRA: termination = 18 months. Divorce/death/dependent = 36 months. Cost = 102%. 23. Twisting = different company. Churning = same company. Both illegal. Both for commission. 24. Rebating = illegal for BOTH the agent who gives it AND the client who accepts it. 25. Agent = represents the insurer. Broker = represents the client (the buyer). 26. Apparent authority: insurer IS bound even without written permission if they created the impression. 27. Waiver of premium = insurer pays YOUR policy premiums. You receive no income from this rider. 28. Substandard risk is NOT automatically declined. 4 options: rate up, exclusion, modify, decline. 29. Participating dividends = NOT guaranteed and NOT taxable (return of excess premium). 30. Medicare Part C (Advantage) = PRIVATE insurers. Medigap supplements Original Medicare — they cannot be held simultaneously. |
|--|---|--|

You have done the work. Walk in with confidence. Read every question fully. Name the concept before reading the answers. Trust your preparation. PASS.

Exam Day Success Checklist

FINAL STEP

Fast Pass Kit

Your final review before you walk into the testing center · Read this. Breathe. Go pass.

NIGHT BEFORE THE EXAM

- ☐ Study guides, notes, ID, and directions confirmed
- ☐ Set alarm — plan to arrive 30 minutes early
- ☐ Light review only — no heavy cramming tonight
- ☐ Lay out clothes, ID, and anything you need
- ☐ Eat a real meal. Hydrate. Sleep 7–8 hours.

★ Rest consolidates memory. Sleep is your final study session.

MORNING OF THE EXAM

- ☐ Eat breakfast — fuel your brain
- ☐ Government-issued photo ID in hand
- ☐ Confirm testing center address and parking
- ☐ Leave early — arrive 30 minutes before start time
- ☐ No phones, notes, or electronic devices allowed

★ Most testing centers: 1 valid photo ID required. Check your state.

FIRST 90 SECONDS AT YOUR DESK

- ☐ Request scratch paper from the proctor
- ☐ Before Q1 — write your key mnemonics:

7-10-31 — Grace periods by mode

B-D-E-T-T-C — LTC ADLs (6 activities)

A-B-C-D — Medicare parts

18-29-36-102 — COBRA numbers

C-R-E / ET=default — Nonforfeiture options

D-C-O staircase — Cost-sharing sequence

★ Scratch paper removes retrieval burden. Use it immediately.

EXAM STRATEGY — EVERY QUESTION

- ☐ **STEP 1:** Read the FULL question before any answer choices
- ☐ **STEP 2:** Name the CONCEPT being tested (say it to yourself)
- ☐ **STEP 3:** Read ALL four choices before selecting one
- ☐ **STEP 4:** Eliminate the obviously wrong options first
- ☐ **STEP 5:** Flag uncertain questions — return to them later
- ☐ **STEP 6:** Trust your first instinct — don't over-second-guess

★ Traps only work when you read answers before naming the concept.

WHAT IS MOST LIKELY ON YOUR EXAM

- CRITICAL** HMO = PCP + referral + in-network only
- CRITICAL** Grace periods: weekly=7, monthly=10, all others=31
- CRITICAL** Deductible FIRST → coinsurance → OOP max (D-C-O)
- CRITICAL** Incontestability: 2 years. Age misstated = ADJUST
- CRITICAL** Nonforfeiture default = Extended Term (same DB)
- CRITICAL** Insurable interest: life = at INCEPTION only
- HIGH** Twisting=diff. co. Churning=same co. Both illegal
- HIGH** Own-occ: can't do YOUR job. Any-occ: can't do ANY
- HIGH** COBRA: 18/29/36 months. Cost = 102% of premium
- HIGH** LTC triggers: 2 of 6 ADLs OR cognitive impairment
- HIGH** Irrevocable beneficiary: consent for ALL changes
- HIGH** MEC: fails 7-pay test = permanent. Gains-first tax
- HIGH** 1035: Annuity→Life = PROHIBITED. All others OK
- HIGH** Agent=company. Broker=client. Apparent auth. binds
- MOD** Variable products require securities license
- MOD** Dividends: NOT guaranteed. NOT taxable.
- MOD** Waiver of premium: insurer pays policy. Not you.
- MOD** Term life: ZERO cash value. No exceptions ever.

60-SECOND CONFIDENCE CHECK

- ☐ I know the D-C-O cost-sharing staircase
- ☐ I can name all 3 HMO rules (PCP, referral, in-network)
- ☐ I know grace periods: 7 / 10 / 31 by mode
- ☐ I know nonforfeiture options: C-R-E (ET = default)
- ☐ I know COBRA: 18 / 29 / 36 / 102%
- ☐ I know the 6 ADLs: B-D-E-T-T-C
- ☐ I know twisting vs. churning (company distinction)
- ☐ I know insurable interest is at inception for life
- ☐ I know MEC is permanent — cannot be reversed
- ☐ I know agent=company, broker=client

★ If you checked every box — you are ready. Walk in with confidence.

COMMON MISTAKES TO AVOID

- ✗ Reading the answers BEFORE naming the concept
- ✗ Applying coinsurance before the deductible
- ✗ Thinking substandard risk is automatically declined
- ✗ Forgetting that irrevocable benef. controls ALL changes
- ✗ Mixing up twisting (diff. co.) with churning (same co.)
- ✗ Choosing the first answer that looks right — read all 4
- ✗ Second-guessing a solid first instinct without a reason

You have done the work.

Read every question fully · Name the concept · Trust yourself

Target: 80%+ to feel ready

Most states require 70% to pass